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France

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OECD ECONOMIC SURVEYS

1999-2000

France

OECD

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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Table of contents

Assessment and recommendations 9

I. The return of growh 23

Growth accelerated in 1999… 23
Growth is job rich 31
Underlying inflation remains moderate 36
Household and corporate indebtedness are accelerating 38
Growth should remain brisk in 2001, but strains may begin to appear 41

II. Fiscal policy issues 47

Short-term issues 47
Structural budgetary issues 60
Conclusion 70

III. Structural policies for sustainable growth 73

Reducing structural unemployment 73
Increasing the labour supply 81
Fostering an entrepreneurial climate 87
Policies to promote innovation 98
Conclusion 100

IV. The changing health system 105

Main features 107
Advantages and drawbacks of the system 113
Attempts to regulate a costly system 116
What else can be done? 121
Conclusion and recommendations 129

Notes 133
Glossary of acronyms 139
Bibliography 141

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Annexes

I. Employment policy 148
II. Health insurance reforms 158
III. Calendar of main economic events 161

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Boxes

1. France as the "engine" of the euro area 25
2. Business investment in the 1990s in France and the United States 28
3. Youth unemployment 36
4. Main measures relating to tax and social security contributions 53
5. An alternative scenario for medium-term public finance 58
6. How is tax collection to be rationalised? 65
7. The NAIRU 75
8. Part-time working 78
9. Universal health insurance 112
10. Public health policy 116

Tables

1. Balance of payments 30
2. Trend in employment 34
3. Summary of short-term outturns and projections 42
4. General government lending capacity (+) or borrowing requirement (–) 49
5. Central government budget 54
6. General government finances, 1997-2001 56
7. Recent NAIRU estimates 77
8. Labour cost reduction 79
9. Public enterprises and bodies 96
10. Follow-up to the recommendations on technology research and innovation policy 99
11. Overview of the progress of structural reform since 1998 101
12. International comparison of density of doctors 108
13. Hospital beds: international comparison 109
14. Health insurance spending targets and outturns 119

Annexes

A1. Overtime arrangements 150
A2. Scale of employer social contribution relief for a full-time employee in a firm on the 35-hour week 152

Figures

1. Economic indicators 24
2. Households: income, consumption, employment and confidence 26
3. Non-residential private investment 29
4. Foreign trade 30
5. Industrial production 32
6. Stock market indices 33

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7. Growth of total employment 33
8. Unemployment 35
9. Harmonised consumer price indices 37
10. Wage trends 38
11. Interest rates 39
12. Credit 40
13. Tensions on the goods and labour markets 43
14. Comparison of recoveries 44
15. General government finance 48
16. Financial balance of general government, 1998 50
17. Taxes levied by general government 51
18. Tax revenue 52
19. Multi-year public finance programmes 57
20. Central projection and alternative scenario 59
21. Stabilising primary balance of public finances 61
22. Public sector employment and wages 62
23. General government workforce 63
24. Trend productivity of production factors 74
25. Employment rates in the OECD area 82
26. Hours worked 84
27. Regulatory indicators 89
28. Openness of the electricity network in 2000 92
29. Internet access costs and Internet hosts 93
30. Use of resources in the health sector 106
31. Health spending 107
32. Total health care consumption 108
33. Health expenditure by source of funding, 1996 110
34. Health status indicators 114
35. Health expenditure in OECD countries 115
36. General health insurance scheme 117
37. Relative trend of health care expenditure and national income 120
38. Per capita pharmaceutical spending and GDP 126

Annexes

A1. Wage trends 151
A2. Employees covered by agreements 153
A3. Arrangements for reducing working hours 155

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BASIC STATISTICS OF FRANCE (1999)

THE LAND

Area (1 000 km^2), 1998	632.8
Agricultural area, excl. overseas departments (1 000 km^2), 1998	300.0
Major cities (thousand inhabitants), 1999:	
Paris	2 148
Marseilles	807
Lyon	453

THE PEOPLE

Population (thousands)	60 186
Number of inhabitants per km^2	95
Average annual increase (thousands) 1990-99	235
Total labour force, excl. overseas departments (thousands)	26 127
Percentage of employment in:	
Agriculture	4.2
Industry and construction	24.8
Services	71.0

PRODUCTION

Gross domestic product at market prices (FF billion)	8 818.8
Gross domestic product per capita ($)	23 701
Gross fixed investment as a per cent of GDP (current prices)	19.0
Gross value-added by activity, at basic prices (per cent):	
Agriculture	3.1
Industry	21.0
Construction	6.7
Services (excl. FISIM)	71.2

GENERAL GOVERNMENT

ESA95 concept, as per cent of GDP:	
Current expenditure	48.5
Current revenue	50.4
Gross fixed investment	2.9

FOREIGN TRADE

Exports of goods and services (% of GDP)	26.0
Main exports as a percentage of total exports (SITC):	
Food, beverages and tobacco (0 + 1)	13.9
Chemical products (5)	12.1
Manufactured products (6 + 8 + 9)	25.9
Machinery and transport equipment (7)	44.1
Imports of goods and services (% of GDP)	23.5
Main imports as a percentage of total imports (SITC):	
Food, beverages and tobacco (0 + 1)	8.7
Chemical products (5)	11.9
Manufactured products (6 + 8 + 9)	29.8
Machinery and transport equipment (7)	39.9

THE CURRENCY

Monetary unit: franc	
Currency unit per euro, since 31 December 1998	6.55957
Currency unit per $, average of daily figures:	
Year 1999	6.16
April 2000	6.94

Note: An international comparison of certain basic statistics is given in an annex table.

This Survey is based on the Secretariat's study prepared for the annual review of France by the Economic and Development Review Committee on 15 May 2000.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 7 June 2000.

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The previous Survey of France was issued in January 1999.

Assessment and recommendations

The best economic situation for ten years reflects…

France has not enjoyed such a favourable economic situation for ten years. After performing poorly during 1990-96, the French economy benefited from rapidly growing activity, low inflation and growth that was richer in jobs, and entered the new millennium with an effervescent stock market and favourable prospects. After a temporary pause in the wake of the Asian and Russian crises, activity picked up again, and the outturn for 1999 as a whole exceeded most forecasts, with real GDP growing by 2.9 per cent. Job creation in the private sector revived from 1997, putting an end to years of deterioration in the labour market. This recovery did not trigger off a resurgence of inflation, which remained below 1½ per cent, not only because spare production capacity was available but also because the greater degree of competition curbed price increases. As in most other OECD countries, companies specialised in the new information and communication technologies have started to expand. Admittedly, it is a sector that is still small, but it is growing at an exceptionally rapid rate.

… a favourable international environment,…

The buoyancy of the French economy was aided by a favourable international environment. Like other euro area countries, France benefited from the strong recovery of world trade. Exports grew at an annual rate of over 10 per cent in the second half of the year, especially those to North America and Asia. In addition, like the rest of the euro area, the French economy profited from the accommodating policy conducted by the European Central Bank during 1999. The rise in long-term interest rates in line with the revival of activity does not seem to have reduced the demand for credit significantly. Also, the depreciation of the euro against the US dollar and the yen has reinforced the

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competitiveness of French firms on world markets and facilitated exports outside the euro area.

… a recovery of domestic demand,…

In this context, the combination of job creation, a revival of households' confidence and rising disposable income boosted domestic demand, which became the main engine of growth. Consumption thus remained on a strong growth path even during the difficult winter period of 1998-99. The emergence of new services in information and communications technologies, the opportunities offered by the opening up of the telephone market, and the fall in consumer electronics prices were an additional stimulus. Historically low interest rates and tax breaks for investing in new housing and in the renovation of existing buildings encouraged households to invest in property. The construction sector thus had one of its best years in recent history. Business investment accelerated strongly as firms started to approach their maximum production capacity in some sectors, including the automobile sector.

… and clear progress in the structural area

The recovery under way is not explicable solely by the improved economic climate but also by a gradual return to more balanced growth. The pick-up in demand reveals the scale of the progress made on structural reform in the 1990s. Starting from a situation of high unemployment, the French economy has especially benefited from growth, which has been much richer in jobs. This stems from continuing wage moderation, the policies of cutting social contributions for unskilled workers, and the development of more flexible contracts of employment. At the same time, the French economy has also reaped the microeconomic benefits of the reforms of product and capital markets, in particular at the European level. Complementing the creation of the single market, the introduction of the euro has helped to make the financial system more efficient and to enhance the ability of the French economy to withstand turbulence arising from its external environment. Increasing competition, especially in network industries, and the withdrawal of the State from purely commercial activities have also helped to improve the economy's productive efficiency. These favourable developments have not yet translated into an acceleration of total factor productivity. The deepening and strengthening of structural reforms therefore remain important objectives.

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Growth should remain strong in 2000 and 2001…

The conditions seem to be in place for robust output growth in 2000 of about 3½ per cent. Growth is set to continue to be pulled strongly by household demand but also by business investment. Exports should also grow briskly on account of the buoyancy of foreign trade and continuing competitiveness of French products abroad. This phase of rapid growth of activity should be accompanied by the creation of about 450 000 jobs in the private sector, and by additional "*emplois jeunes*" in the public sector, which could approach the 50 000 mark. Consequently, after falling below 10 per cent, unemployment should continue to decline. These trends are set to persist in 2001, though at a slightly slower rate, as world trade loses momentum, especially imports from North America, and as the ECB tightens monetary policy. Real GDP growth could nevertheless approach 3 per cent and the unemployment rate could fall below 9 per cent by the end of the year. This phase of rapid growth is likely to be accompanied by a rise in inflation, with the increase in consumer prices projected to slightly exceed 1½ per cent on a year-on-year basis by the end of 2001, mainly due to a rise in unit labour costs.

… hence the risk of strains on the labour market and production capacity…

If this projection is confirmed, France will enter its fifth year of growth in 2001, with average annual real GDP growth of 3 per cent since 1997. Experience shows that, at this stage of the cycle, the French economy could be affected by overheating. The period 1987-90, which had seen strong growth of 3½ per cent per year, ended with production capacity over-stretched, hiring difficulties, wage drift and a property market bubble. Admittedly, as noted below, favourable structural changes have taken place in the past ten years. Nonetheless, the two periods show certain similarities. In particular, it cannot be ruled out that the output gaps and deviations from the NAIRU (non-accelerating inflation rate of unemployment) are comparable. For the first time since the 1980s, company managers are starting to report difficulties in increasing production, a sharp increase in capacity utilisation ratios and problems finding workers. However, these indicators have not reached their historic highs and for the moment the strains are limited to a few sectors and to a few categories of wage-earners, but they could become more accentuated and spread in the near future. In this

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context, the key question for the authorities is how to avoid the pitfalls encountered in the previous cycle. The answer lies, on the one hand, in further fiscal consolidation and, on the other, in a supply side policy to expand production capacity.

… which calls for further fiscal consolidation…

With monetary policy now being set for the euro area as a whole, the only instrument, which the French authorities have at their disposal to influence domestic demand, is the budget. The authorities have been pursuing a prudent fiscal policy for several years, reducing the general government deficit gradually without bearing down on domestic demand. After the sharp reduction in the deficit in 1999, they decided to concentrate on cutting taxes while continuing to reduce the deficit, but at a less rapid rate. The government has thus announced tax cuts of FF 170 billion by 2002 (about 1 per cent of GDP) with a view to boosting the supply potential of the economy. As the structural deficit is still not quite within the safety zone that would ensure that public finances were safe from a sharp economic downturn, fiscal consolidation should be continued in parallel with the tax cuts. A policy to restore budget balance rapidly would also help to avoid the emergence of possible inflationary pressures. Accordingly, fiscal consolidation and tax cuts require that efforts to bring public spending under tighter control be continued and stepped up. Similarly, if general government revenue is more buoyant than expected, the additional revenue should be used to cut the budget deficit, rather than increase expenditure, as the authorities have already announced for 2000. Finally, tax cuts would be more effective if they were announced as part of a multi-year programme of tax reform.

… and the implementation of the reduction in working time…

The reduction in working hours could also increase the risks of cyclical strains. The new law provides for a reduction in the statutory working week from 39 to 35 hours. Under the new framework, hours worked beyond 35 hours have to be considered as overtime. It comprises state assistance to limit the rise in production costs automatically produced by the reduction in working time. The results of the first agreements covering a third of the employees concerned suggest

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that state assistance combined with productivity gains and wage restraint seem to have prevented wage costs from rising. They also suggest that the transition to the 35-hour week is often accompanied by work reorganisation, in particular by greater recourse to annualised working time and an increase in the length of plant utilisation time. In addition, in those firms that have switched to the 35-hour week, wage moderation should prevail since the indexation mechanism guaranteeing the monthly remuneration of workers on the SMIC rises less rapidly than the hourly wage. This being so, the government projects that the net number of jobs created as a result of the reduction in working time should amount to 150 000 over the period 2000-01. This estimate is largely based on the first Aubry Law. It cannot be easily extrapolated because the second Aubry Law has no specific requirements regarding job creation. If this official projection materialised, net job creation could have a slightly expansionary effect on income and prices despite wage moderation and the elements of flexibility in the agreements that have already been signed.

… requires particular flexibility at this stage of the cycle

Eventually, the reduction in working time could push up production costs and damage the competitiveness of firms if it is not implemented with sufficient flexibility. Several risks can be identified. Productivity gains may be difficult to achieve in small firms since they are often too small to adopt a new work organisation. Also, during a cyclical upswing, firms could be hampered by the new restrictions on the quota of overtime. Lastly, the acceleration of the hourly wage produced automatically by the introduction of the 35-hour week is likely to have a negative impact on firms that have not reduced the working time. These firms will have to increase the hourly minimum wage, which is indexed to the average hourly wage rate. However, they will not benefit from the wage moderation, productivity gains, or lower social security contribution linked to the 35 hours. It is thus important that the hikes in the hourly minimum wage be as moderate as possible in order not to push up labour costs, especially for low-skilled workers. In addition, the new overtime arrangements should be applied flexibly. Lastly, the application of the 35-hour week to SMEs in 2002 should be very flexible.

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An uncertain impact on public finances

The authorities hope that the government subsidies for the 35 hours will be self-financed, thanks to the expected favourable impact of the reduced working time on employment, and therefore on social security contributions and unemployment benefits. Similarly, in the long term, a lower unemployment rate benefits the public finances. As mentioned above, however, such a favourable impact is uncertain. It is particularly important that the reduction in working time does not exacerbate the financing difficulties of the pension system, especially if it leads to a reduced labour supply and social security contributions.

Continuing structural reforms could help to raise the growth potential of the economy…

The aforementioned risks could also be averted by continuing a policy to raise the economy's growth potential. Irrespective of the method of calculation used, the potential growth rate seems unlikely to exceed 2¼-2½ per cent per year on a sustainable basis in the near future, and probably even less in the long term, given the projected decline in the labour force. As the experience of some countries shows, not only in North America but also in Europe, structural reforms can help raise potential growth, notably by promoting the supply of skilled labour, the expansion of the capital stock and total factor productivity. Priority areas for such reforms in France are: improving the working of the labour market, combating inactivity traps, taxation, and the entrepreneurial climate.

… especially measures to make the labour market more flexible…

With the disappearance of cyclical unemployment in the near future, the main priority is still to reduce structural unemployment. The experience of some European countries (like the Netherlands) shows that structural unemployment can be reduced drastically on a lasting basis. In France, progress has been made since the early 1990s towards this goal, with the policy of reducing employers' social security contributions on low wages, a more flexible labour market and moderate wage increases. Measures to reduce the labour costs implemented by the central and local governments are, however, costly from the budgetary point of view and, consequently, they have probably gone as far as they can. Labour market flexibility has increased as a result of the growth of new types of contractual relationships (temporary work, fixed-term contracts, part-time

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work). Impediments to a better functioning labour market still exist however, in particular an ill-adapted vocational system and financial and tax disincentives to work (see below). For this reason, the progress made towards a more flexible labour market and work organisation in firms should be continued.

… to reduce inactivity traps…

Strong, sustainable growth also calls for an increased labour supply. The unemployment rate among the working-age population is high, especially among the young, over-fifty year-olds and those on the fringes of society. The situation regarding young people is starting to improve thanks to the recovery of employment. The average length of studies is starting to fall, with some young people deciding to get a job instead of accumulating qualifications. Nevertheless, those who quit the schooling system very early without any qualification are likely to miss out on the recovery. For them, the existing vocational training system seems ill-adapted since it is primarily tailored to those who already have a job rather than to those who need to learn a job. For adults on the fringes of the labour market, the supply of labour may be discouraged, especially for part-time jobs, by the fact that basic income support and tax exemptions are badly co-ordinated. This creates "inactivity" and "poverty" traps. The authorities have recently taken measures to remedy this and others are under consideration. Several other possibilities also deserve to be explored. Income support benefits could continue to be paid for some time after the resumption of a professional activity in order to ease the transition. They could also be made more conditional on accepting a job or training. In any case, a reform of income support benefits seems required to make them easier to use and more transparent. Lastly, reform of certain taxes would help to encourage the excluded to return to the labour market.

… and lower taxes

The tax system may also penalise people on middle or high incomes. Income tax is paid by only half of the total number of families, and thus at high rates. The average rate of income tax and social contributions (including tax/social contributions and employers' social security contributions) for a childless single person earning the average wage is

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48 per cent. For an executive earning three times the average wage, the average rate is 58 per cent. Mobile taxpayers have to pay other taxes such as wealth tax and taxes on capital gains and stock options. These high average rates of taxes and contributions may encourage very productive and innovative people, who are often also very mobile, to move to other countries. A fresh approach to tax may thus be needed, one which, while recognising the need to maintain progressive taxation, neither encourages inactivity nor the departure of productive and innovative people. It could consist, as in several OECD countries, in a medium-term fiscal strategy offering lower average and marginal income tax rates, in exchange for a widening of the tax base, *i.e.* the elimination of income deductions and tax reliefs.

To improve the entrepreneurial climate, the privatisation programme and the opening of markets to competition should be continued

For the moment, growth is rich in jobs but still fairly poor in business creation. The number of start-ups has fallen steadily since 1994 and, despite a slight recovery in 1999, the current level is still below that in the mid-1990s. To a large extent, this reflects the regulatory environment. The authorities have recently decided to simplify the administrative procedures of business registration, but other impediments still prevail, especially the fact that several markets are closed to competition. As shown by the successful examples of the telephone and Internet access markets, increased competition can encourage business creation and have beneficial effects on employment. However, the transposition into French law of the European directive on the opening of the electricity market has been done belatedly, and then the opening-up has been *a minima*. The same is likely to happen for natural gas and probably rail transport and postal services – three sectors covered by European directives – the opening-up of which also seems likely to proceed gradually. The approach adopted in the telecommunications sector could be extended to public enterprises in these sectors so as to give them the margin of manoeuvre they need to remain competitive in a more open market.

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Reform of government to accompany the modernisation of society

A new approach to relations between government and business is also important for improving the entrepreneurial climate. Thus, SMEs still have to deal with several departments when paying taxes and social insurance contributions. In this connection, the authorities aim to modernise tax collection, and in particular eventually to create a one-stop shop for tax formalities. It is important that the discussions with the personnel concerned be continued with a view to achieving this modernisation. The authorities recognise that the administration needs to be modernised so that it supports rather than impedes economic growth. For example, the "performance contracts" which were experimented by the Budget Directorate of the Ministry of Economy, Finance and Industry could be a useful model for defining the objectives of government departments and the budgetary resources required, while introducing monitoring indicators. This new approach could be extended to other departments. Greater transparency of public finance is also needed to facilitate dialogue between the administration and the public. Progress has been made but efforts should continue to make data even more transparent. The complete presentation of public finance statistics on an accruals basis would be an important step in this direction.

A medium-term programme to control public expenditure…

More generally, it is by bringing public expenditure under tighter control that the tax burden on the economy can be lightened. The efforts to rein in public spending should be continued and stepped up. In the short term, the 2000 budget provides for a freeze on real public spending which will require resources to be reallocated to offset the increases in public spending decided for education and hospitals. In the medium term, the authorities have shown a certain degree of moderation in their multi-year public finance programme, as they have done for several years. These positive orientations would be more effective if the manner in which expenditure will actually be controlled were spelt out in detail. As civil servants represent 25 per cent of the total number of jobs (more than in most other OECD countries) human resource management is a particularly important dimension of fiscal policy. With nearly half of all civil servants retiring in the next ten years the evolution of the number of public employees could mirror more

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closely the reduction in the labour force. Accordingly, it seems timely to continue the policy of freezing public sector jobs. Furthermore, pensions and health care reform are prerequisites for controlling public expenditure in the medium and long term.

... especially pensions...

As in other OECD countries, a demographic shock is looming, as large groups of workers born during the baby boom retire. According to a report by a commission of experts (the Charpin Report), pension schemes will be in balance during the period 2000-05, slightly in deficit until 2020, and heavily in deficit between 2020 and 2040, when the additional financing required could reach 5 per cent of GDP per year. As pension reforms operate with long lags, action needs to be taken rapidly. A first reform package introduced in 1993 has improved the prospects of the private sector pension system. The authorities recently proposed opening further discussions on the reform of all pensions. Greater equity between the various pension schemes, in particular between public and private sector pensions, should be the first aim of this reform. The latter should also aim to restore the long-term sustainability of pension schemes and to permit the introduction of funded pension arrangements or employee saving schemes. It would also be desirable that they encompass actuarially neutral methods of calculation which would make it possible to choose the retirement age and at the same time encourage those who wish to go on working to do so. Lastly, the forthcoming negotiations should consider ways of curbing the number of early retirements, which are costly and deprive the economy of experienced workers. International experience shows that pension reform can take many forms, that solutions are often found by combining various approaches, and that none should be ruled out in advance.

... and health spending

The ageing of populations that have been accustomed to large amounts of health care spending is also likely to cause health expenditure to soar. The French health system delivers good-quality medical care, it offers wide freedom of choice and generally there are no waiting lists for treatment. However, it is expensive compared with the health systems in most other OECD countries. As the special chapter in this

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S*urvey* points out, France spends nearly 10 per cent of its GDP on health, which makes it one of the countries that spends the most on health, preceded only by the United States, Germany and Switzerland who spend more. On average, each dependent worker devotes 20 per cent of his or her gross income to financing the health system, mainly *via* social security contributions and premiums paid to *mutuelles* (mutual insurance companies) and private insurers. After Japan, the French are the biggest consumers of drugs per capita in the OECD countries. Hence, the rapidly rising growth of health care consumption has led to recurrent deficits on the health insurance funds.

Health reform plans have had partial results

The authorities have implemented a series of reforms of the health care system in the past twenty years. These reforms have generated savings but have not produced lasting changes in the microeconomic behaviour. In particular, spending on ambulatory care (doctors and drugs) has not been curbed. Public hospital staff have been unhappy about the budget squeeze and the authorities have decided to increase funding to hospitals. Reform of the health sector should thus be continued.

Reforms should now seek to modify behaviour and the remuneration of providers…

A new approach to consumption and prescription behaviour is desirable. Experience shows that too extensive health cover can lead to over-consumption by patients and over-prescription by health professionals. The French system, which, *via* supplementary insurance schemes and universal health insurance, refunds treatment generously, encourages such behaviour. Basic and supplementary insurers could usefully engage in discussions with a view to drawing up timely solutions for financing health care, to redefining cover appropriately, and to striking a better balance between prevention and curative care. These discussions could also encompass the definition of a basket of reimbursable medical goods and care such as exists in other OECD countries. Pending the outcome of such discussions, a strengthening of the existing "gate-keeper" system could lead to a better control over ambulatory expenditure. For instance, access to certain categories of specialists, for which excessive expenditures have been noticed, could be made subject to the filtering by a general practitioner.

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... and to advance reforms in the hospital sector

Reform of the hospital sector is more complex than that of the ambulatory sector since it is not only necessary to reintroduce the notion of "price" but also to reform institutions which operate largely on the basis of budget allocations, which are essentially renewed automatically every year. Eventually, these could be replaced by a system in which the best possible hospital care would be bought by regional hospitalisation agencies (ARH) at the lowest cost. The ARH would represent the insured, buying medical care on their behalf as cheaply as possible, while ensuring that it is of the best possible quality and delivered in optimal conditions of safety. Hospital care could be paid for on the basis of diagnostic-related groups, after appropriate adjustments. A new type of governance is also needed in the decision-making structures of hospitals to ensure that budgets are used efficiently. Hospital boards should thus be made more accountable for their decisions. The legal status of hospitals could be modified to give them more freedom in the management of their human and financial resources. Lastly, more weight should be given to public health policy and to prevention and screening in particular. These measures would help to make the various actors in the system more accountable and to bring about a lasting change in the trend of health care expenditure while preserving the main strengths of the French system – quality of care, freedom of choice and equity of access.

To sum up

From 1997, France entered a phase of rapid growth. Domestic demand is particularly buoyant, thanks to a virtuous circle of job creation, renewed household confidence and increased disposable income. Business investment has also revived. This recovery is not only due to the improved economic situation but also reflects the beneficial effects of the structural reforms that have been implemented since the start of the 1990s. However, strains are starting to emerge, with some sectors finding it difficult to increase production and to recruit skilled workers. A vigilant economic policy is therefore required now that the economy seems to have caught up. In this connection, the authorities have decided to lower taxes in order to reduce the obstacles to more rapid growth of production potential. However, in the short term these tax cuts will stimulate demand.

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During this rising phase of the cycle, in order to continue to reduce taxes it will be necessary to step up efforts to bring public expenditure under tighter control so as to prevent inflationary pressures and to return rapidly to a balanced general government budget. Prudence and pragmatism are also called for in reducing working time and setting the minimum wage so as not to push up production costs and not to hamper job creation. The return of growth also opens up an opportunity to speed up the pace of structural reforms. In this connection, it is important that the reform of the pension system and health sector move forward rapidly, given the imminent demographic shock. This should go hand in hand with continuing reforms to create a better entrepreneurial climate and to promote business creation. The deepening of structural reforms will enable France to continue to grow on a sustainable basis, to create jobs and to combat social exclusion more effectively.

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I. The return of growth

After going through a period of uncertainty in the first half of the 1990s, the French economy has been growing steadily since 1997. At present, the recovery is combining low inflation, strong job creation and vigorous investment by private companies (Figure 1 and Box 1). Signs of tension are already beginning to show, however. The economy had rebounded on several occasions in the past, but only fleetingly, imbalances on the goods and labour markets soon halting the acceleration in activity. Growth is expected to remain brisk in 2000-01, but for the present rate of growth to be sustained beyond that period, supply potential will have to be boosted considerably.

Growth accelerated in 1999…

The upturn in activity since 1997 has been driven largely by domestic demand. Private consumption benefited from the renewal of household confidence, job creation and, more generally, purchasing power gains. Momentum was also provided by households' housing investment, which picked up strongly as a result of the fall in interest rates and specific tax incentives introduced by the government. The need to renew capital stock stimulated corporate investment. Lastly, a strong build-up in inventories made a further contribution as the new millennium approached. Exports picked up sharply from the trough caused by the Asian and Russian crises. The housing construction and automobile sectors benefited most from the recovery.

… thanks to strong household demand…

Household expenditure was the main driving force behind activity in 1998-99. Household consumption increased during that period at a rate of nearly 3 per cent per year, compared with just 0.7 per cent per year between 1990 and 1997. That upturn in consumption is attributable mainly to the increase in households' disposable income (Figure 2), which was itself helped by the rebound in net job creation and the rise in real wages in 1998. Household consumption tracked disposable income very closely, easing slightly at end-1998 when the economy slowed temporarily and picking up again in early 1999.

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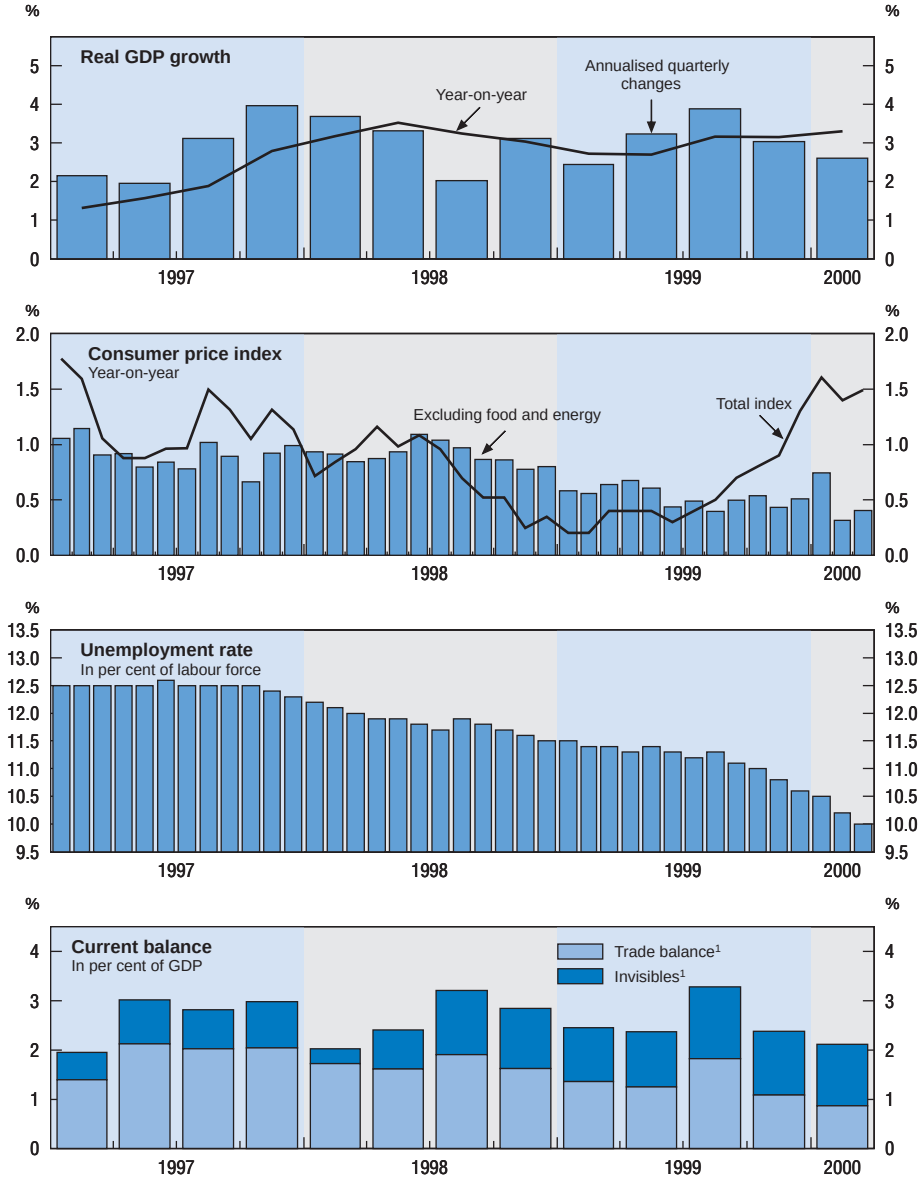
Figure 1. **Economic indicators**



1. Seasonally-adjusted data.
Source: INSEE and Bank of France.

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Box 1. France as the "engine" of the euro area

After growing more slowly than the rest of Europe, the French economy picked up sooner and more briskly than the other major euro area countries, especially Germany and Italy. Between the period 1990-96, France's real GDP grew at an average annual rate of 1 per cent, which was lower than that of the euro zone, and of Germany in particular. Between 1997 and 1999, on the other hand, French growth bounced back, reaching an annual rate of 3.0 per cent, which was higher than in the euro area, and well above the rate in Germany and Italy. This cyclical gap is surprising in that, over the long run, France's economic cycle appears to be in step with that of the euro area as a whole.* The gap has therefore to be seen as the consequence of exceptional exogenous factors, a number of which may be put forward (Moëc, 1999): France escaped the Asian and Russian crises better than other countries; the service sector is more important in France than elsewhere, and thus did more to offset the slowdown in industry; the construction cycle picked up again partly thanks to government measures, whereas it was slowing in Germany after the reunification boom; fiscal policy has been more gradualist in approach than in other European countries. Lastly, and especially, growth has been richer in jobs, thereby boosting household incomes and their confidence. With the notable exception of the greater responsiveness of employment, most of these factors are cyclical in nature, so the gap between France, on the one hand, and Germany and Italy, on the other, is likely to narrow in the short term.

* See Fournier (1999) and Artis and Zhang (1999).

Expenditure was focused above all on durables, especially motor vehicles, with over 2 million new cars being registered during the year, which was back to the record level reached ten years earlier. Purchases of consumer durables also focused on household equipment, following the upturn in new housing construction. Lastly, demand was buoyed by the wave of new technologies, in particular mobile phones, micro-computers and the services linked to these new products. Demand for durables was also underpinned by the fall in the relative prices of these products, especially consumer electronics, but also domestic appliances and cars which benefited from the increased competition in that sector.

In contrast with those in other OECD countries, French households have not significantly reduced their saving ratio since 1997. The latter has remained very stable at some 15½ per cent of gross disposable income for the past three

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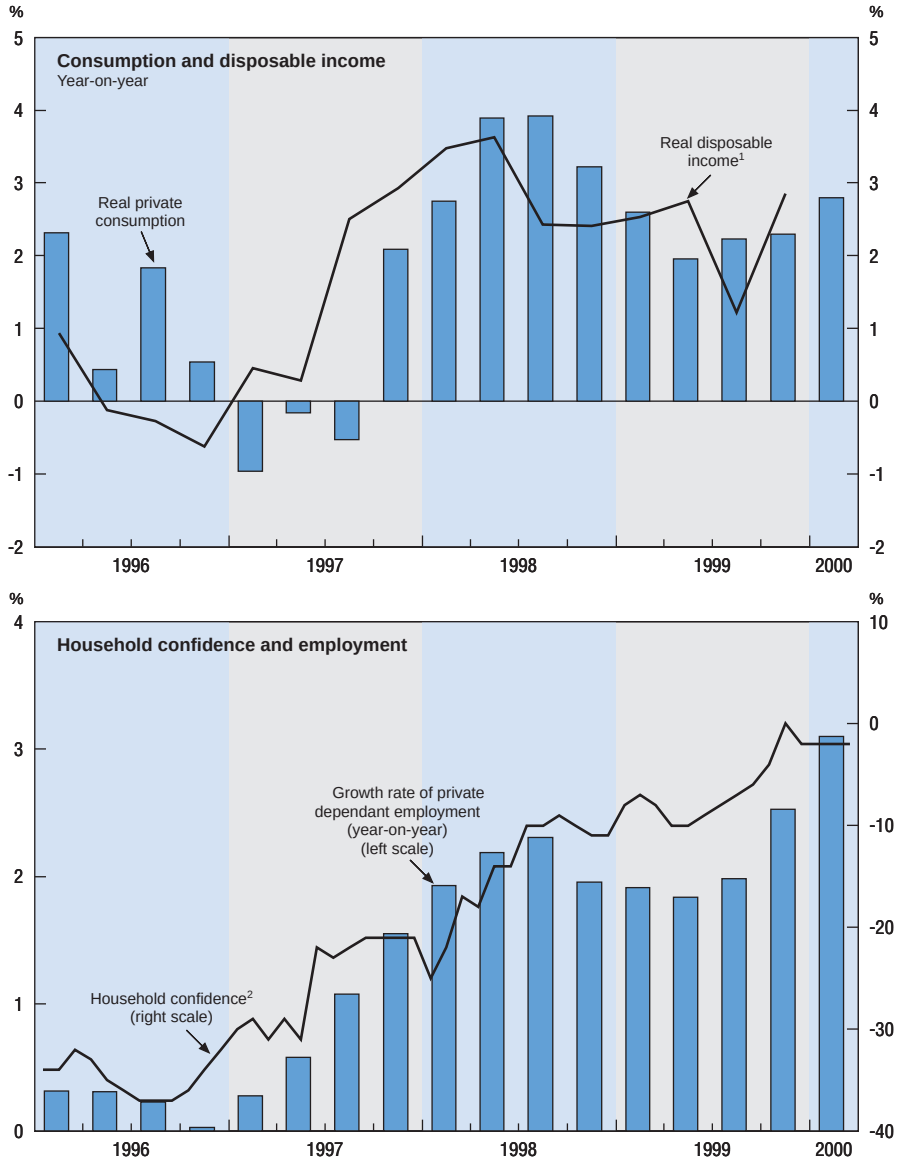
Figure 2. **Households: income, consumption, employment and confidence**



1. Deflated by private consumption deflator.
2. Balance of optimistic (+) and pessimistic (-) answers.

Source: INSEE, *Comptes nationaux trimestriels*, and OECD, *Main Economic Indicators*.

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years, consumers financing their purchases from their income, without dipping into their accumulated saving. This atypical development, which is surprising in view of the fall in unemployment and the probably positive trend in household wealth,[1] may be attributable to French institutional particularities. First, given the uncertainties surrounding the financing of pensions, households build up long-term savings that they have no intention of using before they stop working. Second, nearly half of household saving is invested in products which are taxed in such a way that they discourage people from consuming financial income (capital gains and dividends) before a specified period is up (life insurance, PEP insurance, PEA). This corroborates the econometric results indicating a low propensity to consume financial income by comparison with income from work.

... an upturn in corporate investment...

Corporate investment[2] picked up as of Q2 1997 and has grown uninterruptedly since then, even through the cyclical downturn in winter 1998-99. However, the long-run performance of investment is disappointing because corporate investment went through a sluggish phase in the first half of the 1990s. Between 1990 and 1998, business investment stagnated in real terms. Industrial companies offset this stagnation through increased productivity of capital, the average length of use of capital having risen from 47.5 hours per week in 1993 to 53 hours in 1999. Firms used their capital stock more intensively, for example by resorting more to shift work (Banque de France, 2000). This more intensive use of capital stock undoubtedly prevented the lag in investment weighing too heavily on growth. However, the more efficient use made of capital finally reached its limit and it became essential to increase investment again, the result being that corporate investment grew in 1998-99 at an annual average rate of 8 per cent at constant prices.

To a large extent, the pick-up in investment in 1998-99 can be explained by the accelerator effect (market growth prospects), the level of real interest rates, business profitability and the capacity utilisation rate.[3] These factors explain, in particular, the sharp upturn in investment in the automobile industry, where the production outlook is favourable and capacity utilisation rates are above their historic average. Corporate investment is also underpinned by the specific buoyancy of computer expenditure, spending on electrical and electronic capital goods having risen steeply in 1999.[4] This expenditure is attributable to the need to upgrade equipment because of the Y2K bug, and to the tendency among firms to become more computerised. Despite this recent trend, France is lagging a long way behind the United States in terms of productive investment which, in the latter country, grew by 90 per cent between 1990 and 1999. If that differential is not narrowed, it could handicap the competitiveness of the French economy in the future (see Box 2 and Figure 3).

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Box 2. Business investment in the 1990s in France and the United States

Business fixed investment[1] was sluggish in the 1990s in France, as in other large countries in the euro area, especially in comparison with the United States. For the entire 10-year period, business investment in France rose by only 15 per cent in real terms, as opposed to 89 per cent in the United States. In relative terms, business investment fell from 13 to 10 per cent of GDP in France over the 10-year period, but rose from 11 to 13 per cent in the United States. This divergence in the rate of accumulation of capital stock is likely to have an impact on the medium-term potential growth of both countries. An attempt to understand the difference in the performance of the two countries is therefore a worthwhile exercise.

The first factor has to do with the business cycle. As Irac and Jacquinot (1999) observe where France is concerned, the variables reflecting activity in the investment econometric equations (capacity utilisation rates and changes in value-added) clearly explain its sluggishness between 1990 and 1997. Because of the accelerator effect, decisions to invest are sensitive to expected trends in market growth. Until 1997, the business cycle inhibited investment by French firms. In contrast, the strong recovery in economic growth in the United States from 1992 onwards partly explains the positive investment trends there, after a period of sluggish investment during the second half of the 1980s. This cyclical divergence between France (and, more generally, the euro area) and the United States partly explains why investment has lagged behind. However, the business cycle factor alone does not explain everything.

The second factor relates to investment in computers. Looking at all products, conventional econometric equations fail to explain the corporate investment boom in the United States. On the other hand, disaggregating investment into two separate equations – one for computers and one for other products – does produce a satisfactory explanation of US investment behaviour in the 1990s (Tevlin and Whelan, 2000). Investment in computers appears to have two quite specific characteristics: since computers become obsolete very rapidly, US firms have been quicker to replace computers than other equipment. In addition, US firms responded to falling computer prices by investing heavily in information technology.

The findings for the United States prompt the following question for France: did French firms respond to these two factors in the same way?[2] Available statistics suggest that the reaction of French firms was more timid. Investment in "information technology" rose in constant prices by 9 per cent per year in France from 1991 to 1998, as opposed to 17 per cent per year in the United States (and 22 per cent for 1999 alone), using comparable deflators. Yet, the fall in the price of computer equipment was much the same in both countries[3] (Schreyer, 2000). It is possible that there was a lag in information technology diffusion in France, because of institutional rigidities and a less conducive entrepreneurial climate. Given this lagged reaction, it may be that French investment will see a period of strong growth from 2000 on, just as US investment did in the 1990s.

1. Gross-fixed capital formation by the non-financial corporate enterprise sector and by unincorporated entrepreneurs, as defined in France's national accounts; private non residential fixed investment in the United States.
2. French national accounts also make the hypothesis that information technology equipment becomes rapidly obsolete: computer software is assumed to become obsolete after 3 years, and computer hardware after 5 years.
3. Caution needs to be exercised, however, in interpreting these figures because product categories used by US and French national accounts are not strictly comparable. For France, the data refer to category GE31 ("office machines and computer equipment") which includes not only computers but also photocopiers, cash registers, and computer terminals. For the United States, the category used is entitled "information processing and software".

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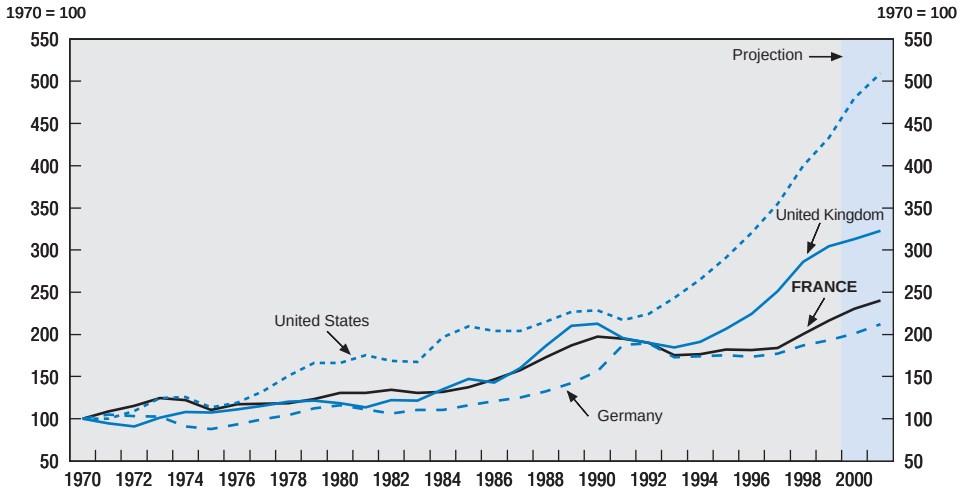
Figure 3. **Non-residential private investment**[1]



1. At constant prices.
Source: OECD.

... and dynamic exports

After a slowdown following the Asian and Russian crises, exports benefited in the second half of the year from the dynamism of world demand, particularly the economic strength of the United States and the United Kingdom, and the recovery of the Asian economies (Figure 4). Also, the price-competitiveness of exports, which was already high, benefited from the steady and gradual depreciation of the effective euro exchange rate. Exports were very buoyant, notably in the automobile sector, with strong sales in the European Union, and also Airbus sales to the countries of the Near and Middle East. The sharp slowdown in world trade, which fell from 13½ per cent year-on-year to 1½ per cent in a year and a half as a result of the financial crises in the emerging economies, led to a deceleration in exports in 1999, which was moderated, however, by the offsetting effect of intra-European trade. Import volumes also proved very buoyant in 1998-99 because of the strength of domestic demand. All in all, foreign trade volumes made a slightly negative contribution to growth in 1998-99.

The current balance deteriorated slightly in 1999, mainly because of worsening terms of trade (Table 1). The rise in crude oil prices following the OPEC price agreement increased France's energy bill, while exceptional champagne and

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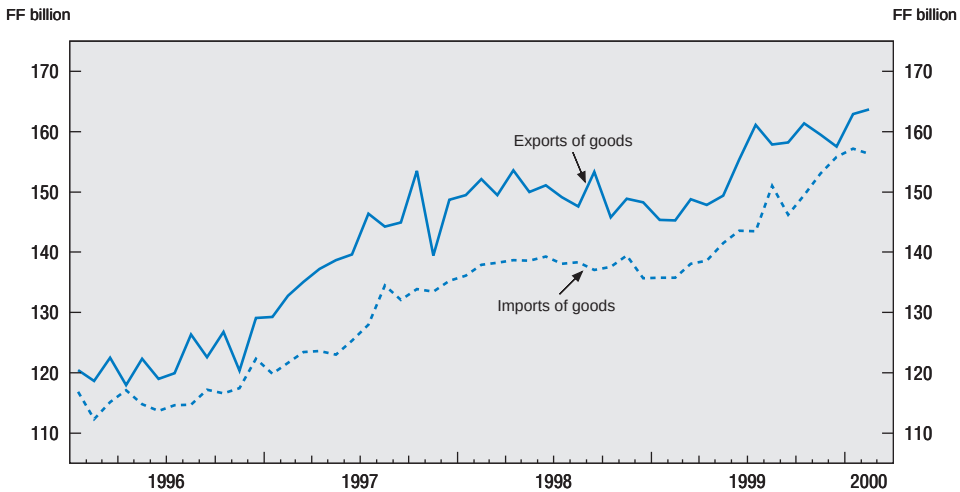
Figure 4. **Foreign trade**[1]



1. Seasonally-adjusted, monthly values.
Source: OECD, *Main Economic Indicators.*

Table 1. **Balance of payments**[1]

Balances, FF billion

	1995	1996	1997	1998	1999[2]
Current account	54.5	105.0	226.6	236.4	226.2
Goods	54.9	76.5	157.3	154.0	140.4
Services	71.6	77.3	106.1	109.8	125.4
of which: tourism	55.9	54.3	66.7	71.6	85.3
Other goods and services	17.9	6.0	0	0	0
Revenues	–41.0	–10.0	19.2	29.0	16.6
Current transfers	–49.0	–44.8	–56.0	–56.5	–56.3
Public sector	–49.7	–40.3	–46.8	–48.1	–45.2
Other	0.8	–4.5	–9.1	–8.4	–11.0
Capital account	2.6	6.3	8.6	8.5	9.3
Financial account	–40.4	–115.9	–264.4	–295.7	–274.2
Investment					
Direct	39.5	–43.3	–72.4	–74.0	–313.3
Portfolio	31.2	–309.0	–149.1	–305.1	–199.7
Other	–107.5	237.6	–8.6	199.0	231.7
Reserves	–3.6	–1.2	–34.3	–115.7	7.1
Net errors and omissions	–16.7	4.6	29.2	50.8	38.7

1. The economic territory of France has been redefined for statistical purposes and now includes the métropole and the Overseas Departments. This change, introduced in January 1997, has been incorporated for previous years in the table.
2. Provisional data.
Source: Bank of France.

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cognac sales spurred by the approach of the year 2000, as well as the tourism surplus, failed to offset the trend. That said, France's current account surplus remains comfortable.

Housing construction and automobile manufacturing have benefited from the physiognomy of the upturn

Growth in activity, which had been strongest in manufacturing industry in 1997-98, spread to the economy as a whole in 1999 (Figure 5). Manufacturing industry remained dynamic, with the automobile industry in particular posting record levels of production, but the rate of growth was slowed by the effect of the Asian and Russian crises. In other sectors, however, growth accelerated in 1999, particularly that of house building and certain services. Activity in the housing construction sector picked up sharply as a result of the upturn in households' investment in housing. This encouraging trend was mainly due to an economic environment that is favourable for housing, and notably to the low level of interest rates and the expectation of tax exemptions expiring (Périssol amortisation). Housing maintenance activity also seems to have benefited from the reduction in VAT on building maintenance work. The construction industry, which employs more than 1 million people, increased its workforce for the first time in 10 years, with some firms even experiencing increased difficulty in hiring. In the tertiary sector, business services were especially dynamic, in particular temporary work agencies. The volume of temporary work rose by 12 per cent in 1999, with an increasing use by service enterprises. The transport industry was also highly buoyant, in particular road freight and passenger transport by rail and by air. The new information and communications technologies have also contributed to the growth of activity. Firms specialising in these new technologies have attracted the attention of consumers and investors and enjoyed big increases in their market value (Figure 6). Although the information and communications technologies sector is still relatively small in size (accounting for some 5 per cent of GDP), it is expanding rapidly.

Growth is job rich

The job content of economic growth over the period 1997-99 was high, continuing the trend since the first half of the 1990s. As in other OECD countries, employment has risen sharply since the start of the cycle (Figure 7). Total net job creation reached 380 000 year-on-year in 1998 and 450 000 in 1999 – levels not often recorded in recent years (Table 2). According to business surveys, total employment should continue to increase in 2000. In the private sector, job creation is largely the result of a rebound in activity. It is the service sectors that are the most dynamic where job creation is concerned, while the construction and manufacturing industries are no longer destroying jobs and even contributed, at

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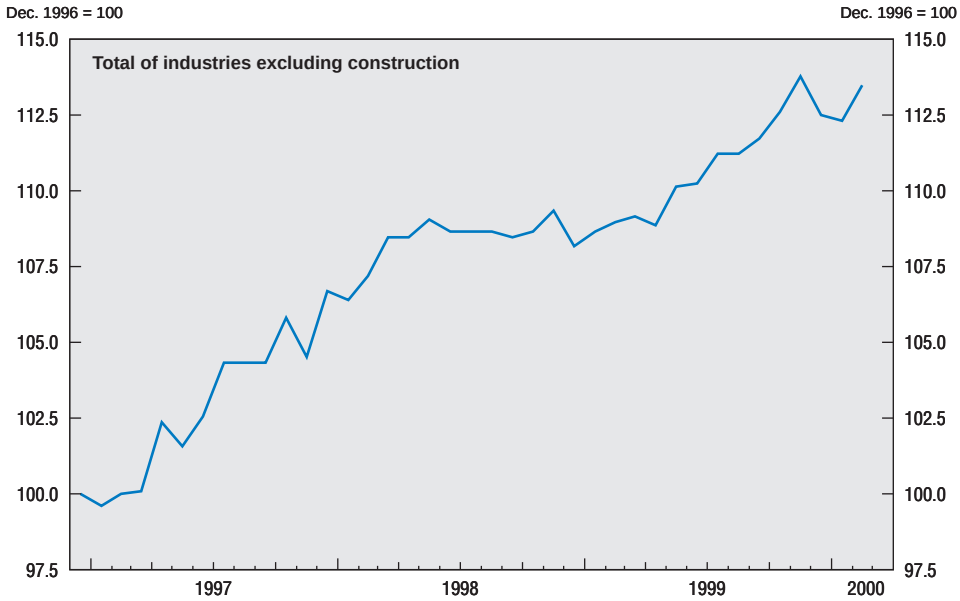
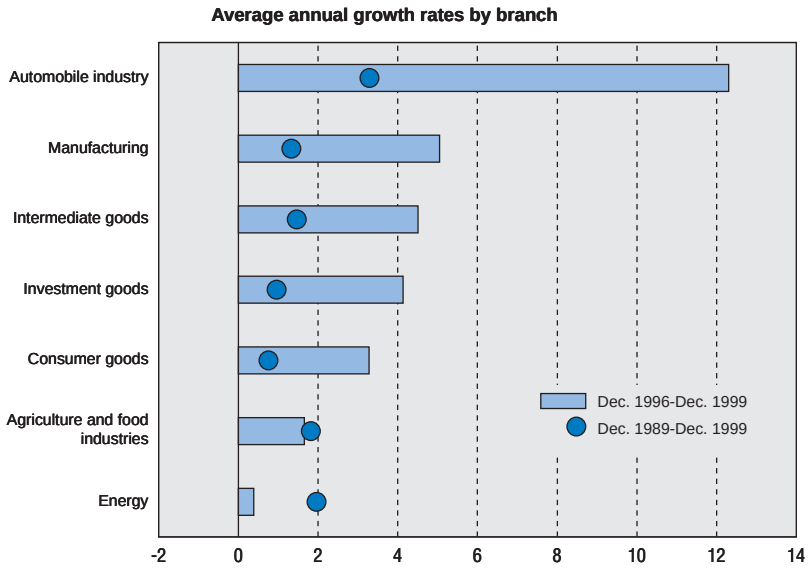
Figure 5. **Industrial production**





Source: OECD, *Main Economic Indicators.*

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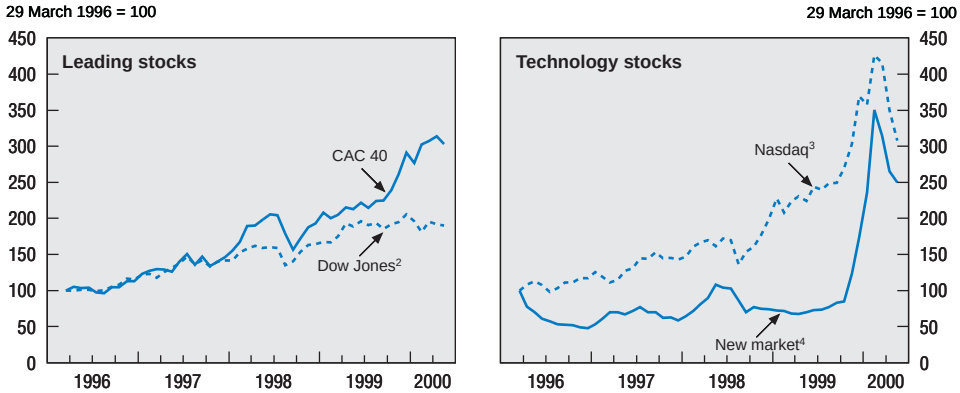
Figure 6. **Stock market indices**[1]

Paris - New York

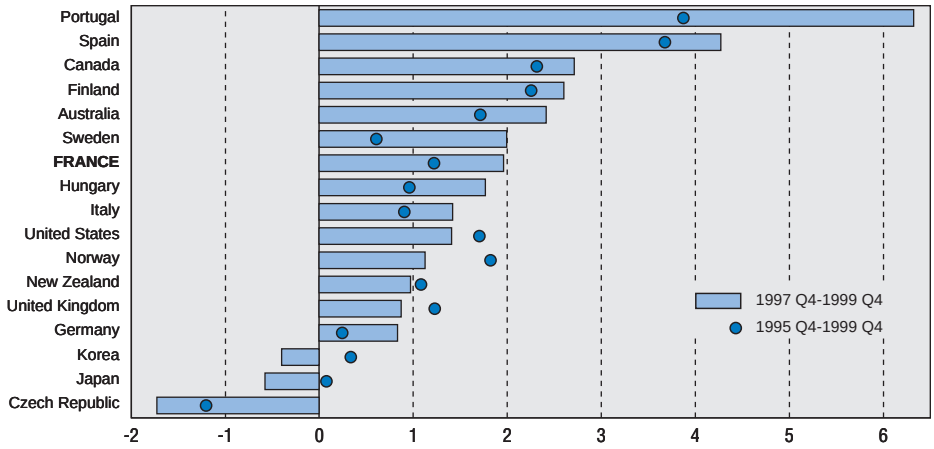


1. End-of-month; last observation: 19 May 2000.
2. Dow Jones Industrial Index.
3. Nasdaq Composite Index.
4. High growth stock.

Source: Bloomberg.

Figure 7. **Growth of total employment**

Percentage changes



Source: OECD, *Main Economic indicators.*

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Table 2. **Trend in employment**[1]

	Six-month change, per cent				12-month change, per cent			End-of-year level, gross, thousands		
	1998		1999		1997	1998	1999	1997	1998	1999
	I	II	I	II						
Private sector employees	1.3	0.8	1.2	1.5	1.6	2.1	2.7	13 480	13 755	14 117
Industry, including construction	0.3	0.0	0.2	0.6	–0.5	0.3	0.8	5 159	5 172	5 212
of which: Manufacturing	0.4	–0.1	–0.2	0.4	–0.5	0.3	0.3	3 271	3 281	3 289
Construction	0.3	0.1	1.3	1.3	–0.9	0.4	2.6	1 110	1 113	1 141
Market tertiary sector	1.9	1.2	1.8	2.0	2.9	3.2	3.9	8 321	8 583	8 905
Public sector (incl. employment-solidarity contracts (CES) and consolidated employment contracts (CEC)					0.6	1.8	1.6	6 192	6 306	6 410
Total employment[2]					1.0	1.7	2.0	22 436	22 819	23 273

1. Seasonally adjusted data.
2. Excluding military draftees.
Source: INSEE.

the end of the period, to the overall increase in employment. In addition to the upturn in activity, the schemes put in place by the public authorities also boosted employment, in particular the cuts in social insurance contributions on low wages. In the public sector, job creation is mainly attributable to the "youth employment" scheme set up in late 1997 with the object of creating 350 000 jobs in government and associations. In December 1999, some 170 000 people had jobs under the youth employment scheme.

Many workers have been hired using contractual arrangements, which place the emphasis on flexibility. With the upturn in activity, the growth in these types of jobs seems to have slowed. Thus, according to the ACEMO survey, the share of part-time jobs in total employment has grown at an annual rate of 0.4 point since 1997, compared with 1 point previously. The growth of temporary work also slowed, with an increase of 12 per cent in 1999 compared with 27 per cent a year earlier. Lastly, firms gave more emphasis to hiring on indefinite-term contracts (CDI) during the first half of 1999, more especially in the automobile and service sectors, while the number of hirings on fixed-term contracts was stable except in industry, where it fell slightly (DMMO survey). This is because, in sectors where growth in activity is high, firms experiencing difficulty in recruiting are offering indefinite-term contracts in order to attract skilled employees.

The rate of unemployment on the ILO definition reached about 10 per cent of the labour force in early 2000 (seasonally adjusted data), *i.e.* 2.6 million people.[5] On that definition, unemployment fell by some 500 000 over two years,

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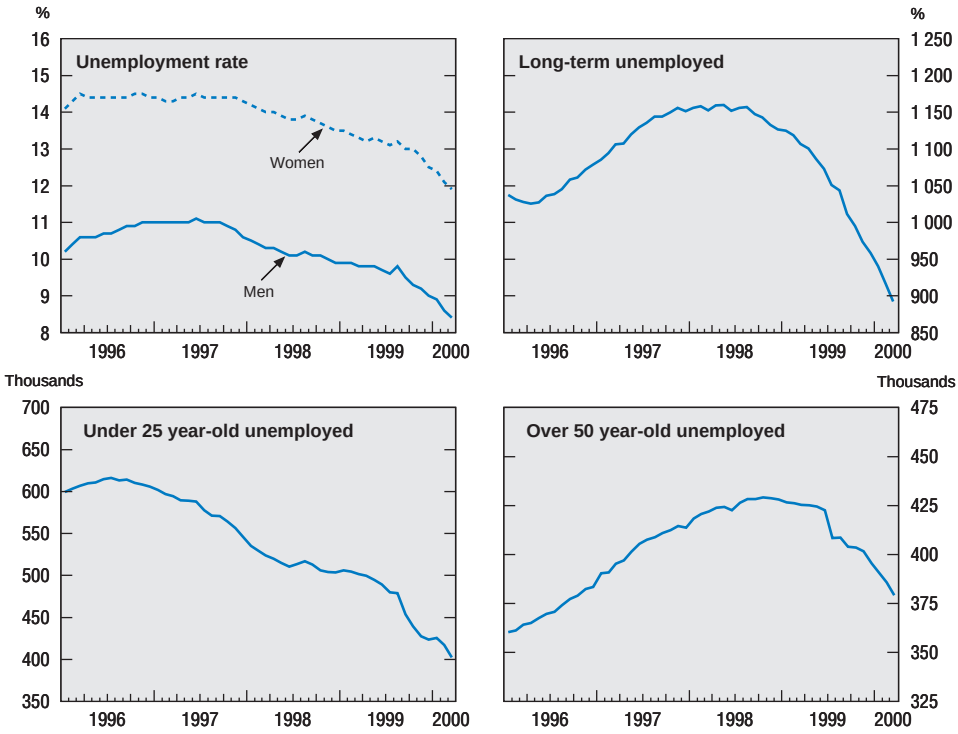
while net job creation over the same period exceeded 800 000. The large difference between the fall in unemployment and job creation was mainly due to the trend increase in labour supply. Because of the entry on the labour market of large numbers of young persons,[6] approximately two new jobs have to be created to reduce unemployment by one. In addition to this demographic trend, the participation rate of young persons appears to be beginning to stabilise, the economic recovery encouraging young people not to prolong their studies as they were previously. Accentuating the increase in labour supply was the fall-off in certain employment policy measures, in particular occupational training courses and early retirement schemes.[7] The decline in unemployment has particularly favoured the young aged between 15 and 24; in this age bracket the unemployment rate fell from 26 per cent in early 1997 to 20 per cent in late 1999 (Figure 8 and Box 3).

Figure 8. **Unemployment**
Seasonally adjusted



Source: INSEE.

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Box 3. Youth unemployment

Unemployment among young people aged between 15 and 29 has fallen more than among other groups since 1997. Nevertheless, as in other European countries, it remains high, attaining nearly 20 per cent in 1999. The favourable economic situation and the youth employment programme have admittedly improved the access of young people to employment, but despite this upturn, the share of young people in employment fell between 1990 and 1999, partly because they studied for longer at the start of the decade. The fall was across-the-board, irrespective of sex, age and social category. Most sectors of activity continue to limit hiring of young people, the exception being sectors with a high labour turnover. In 1999, three-quarters of young people worked in the service sector (hotels and catering, retailing, personal and family service jobs). A large share of jobs offered were unskilled and often on a temporary basis (fixed-term contracts, temporary work, apprenticeships) (Brunet and Mini, 1999). Educational qualifications, however, still offer protection against unemployment, only 10 per cent of young people with higher-level credentials being unemployed in 1999, compared with 35 per cent of young people without such qualifications.

Persons in this age bracket have had the benefit of a number of specific programmes (youth employment, alternating classroom-workplace training, TRACE programme). Unemployment amongst the economically active in the 50 and over age bracket fell only slightly, however, largely because of the demographic influx of the post-war baby boom generations. All in all, although it is declining steeply, unemployment in France remains high and continues to affect young people and women to a disproportionate degree.

Underlying inflation remains moderate

The consumer price index went up at a rate of less than 1 per cent on a year-on-year basis through most of 1999. The fall in prices of manufactured goods, agricultural products and intermediate goods contributed to the low level of inflation. Other factors of domestic origin also played their part, in particular wage moderation and the labour productivity cycle (*i.e.* the growth of productivity during a period of economic recovery). Increased competition in the services sector and the fall in the price of electronics products played only a minor role (Moëc, 1999). Inflation picked up a little during the year as a result of the sudden hike in oil and other commodity prices and the depreciation of the euro. The annual rate of inflation was 1.3 per cent in April 2000, which even so was one of the lowest rates among the euro area countries on the basis of harmonised data (Figure 9). Underlying inflation also accelerated slightly in early 2000, but it remains close to 1 per cent on a 12-month basis.

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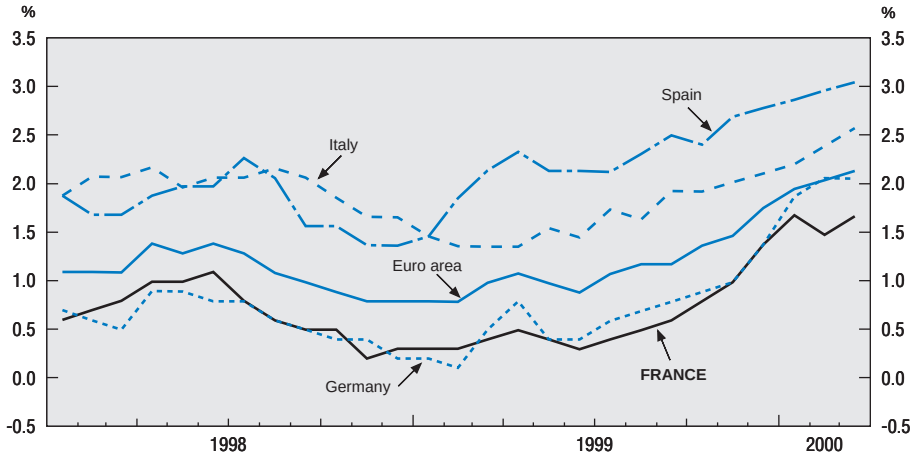
Figure 9. **Harmonised consumer price indices**[1]
Year-on-year change



1. Calculated by the European Central Bank.
Source: OECD, *Main Economic Indicators.*

The trend in nominal monthly wages since 1997 has been moderate, with average basic monthly wages in the private sector showing a year-on-year increase of less than 2 per cent. In real terms, monthly wages benefited from unexpected disinflation in 1997 and 1998 and rose at rates close to or even slightly higher than per capita productivity.[8] However, the upswing in inflation slowed real wage growth in 1999. The onset of recruitment difficulties in certain sectors has not for the moment resulted in any acceleration in monthly wages.

One wage restraint factor that is often mentioned is the impact of the 35-hour week agreements. Most of these agreements signed under the first Aubry Law up to June 1999 provide for the maintenance of monthly pay but also contain moderation clauses such as a freeze or just a small increase during the first two years after the signing of the agreement. Preliminary results confirm that wage moderation has actually been implemented. However, the possibility of the reduction in working hours increasing wage costs cannot be ruled out. This is because most of the agreements provide for full replacement of earnings on a monthly basis (*i.e.* 35 hours paid 39 hours), so that the basic hourly wage of the average production worker (APW) accelerated sharply in the second half of 1999 and in the first quarter of 2000 (Figure 10). In principle, this initial acceleration in hourly wages should be offset by subsequent wage restraint and state assistance so should not impact lastingly on production costs. However, the increase in

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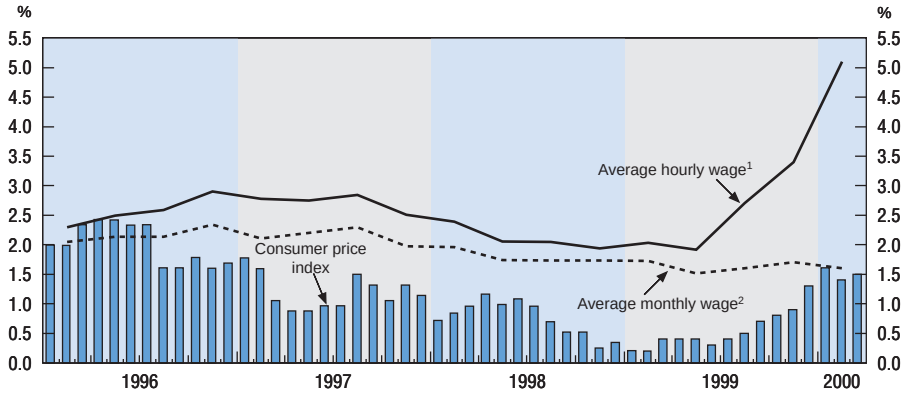
Figure 10. **Wage trends**
Year-on-year



1. Index of end-of-quarter basic hourly wages of production workers in non-agricultural market sectors.
2. Index of end-of-quarter basic monthly wages of all employees in non-agricultural market sectors.
Source: INSEE and Ministry of Employment and Solidarity.

hourly wages is liable to trigger a number of indexation mechanisms, notably the hourly SMIC rate. The government has also made known its intention of giving the SMIC "a helping hand" in the future, so as to ensure that wage earners paid on a monthly basis and those paid on a weekly basis receive equitable treatment. This would mean raising the hourly SMIC rate by 11.4 per cent (the percentage difference between 39 and 35 hours) on top of inflation. Indexing the SMIC on a rapidly increasing basic hourly wage, together with the planned "helping hand", will affect companies that have remained on a 39-hour week. Lastly, companies with more than 20 employees, which fail to reduce the working week to 35 hours, have to give their employees a premium in the form of time-off corresponding to 10 per cent of overtime in 2000 and to 25 per cent thereafter (see Annex I). An acceleration of wage costs and a deterioration in firms' competitiveness cannot therefore be ruled out although for the moment they have not been observed.

Household and corporate indebtedness are accelerating

As in the rest of the euro area, monetary conditions in France were favourable in 1998 and 1999. The 0.5 percentage point cut in the European Central Bank's leading rates in April 1999 eased credit terms, the 3-month euribor falling from 3.3 per cent in December 1998 to 2.6 per cent in May 1999 (Figure 11). Short-term rates picked up during the summer on expectations of rates being tightened

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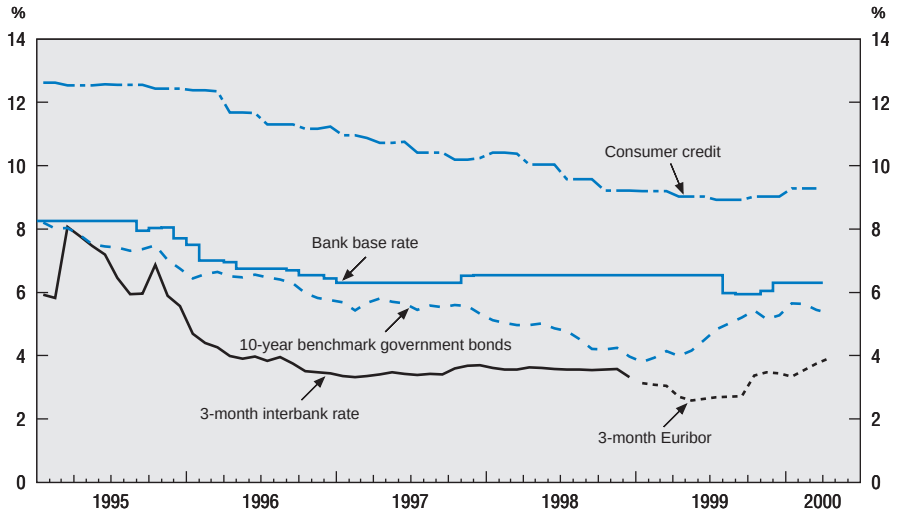
Figure 11. **Interest rates**



Source: Bank of France, *Bulletin de la Banque de France*, and OECD, *Main Economic Indicators.*

by the ECB, which happened in November with a 0.5 point rise. Long rates pursued an upward trend throughout 1999, in conjunction with US rates, the rate on 10-year French government benchmark loans reaching 5.6 per cent in February 2000. All in all, despite the interest rate rises, private agents considered financing conditions to be favourable and increased their borrowing and indebtedness in general (Figure 12). Non-financial companies increased their borrowing by nearly 9 per cent in March 2000 (year-on-year), notably by borrowing directly on the bond market, in the case of some of them in order to finance mergers and acquisitions. Households increased their borrowing by nearly 8 per cent, using both consumer credits to finance purchases of durables, and home loans to finance their housing investment.

All told, lending to the private sector rose by 7½ per cent[9] in 1999 mainly due the lagged effect of the easing of monetary conditions. This growth nevertheless fell short of the growth of credit to the private sector in the euro area as a whole (9.6 per cent). This situation reflects in particular the combination of two factors: a lower rate of increase in property prices than in other countries in the euro area, which helped to moderate the growth of housing loans; less recourse to credit by financial companies due to their better financial situation and more marked growth of commercial paper. Finally, the relative moderation of the growth of lending to the private sector could indicate that France is less sensitive than

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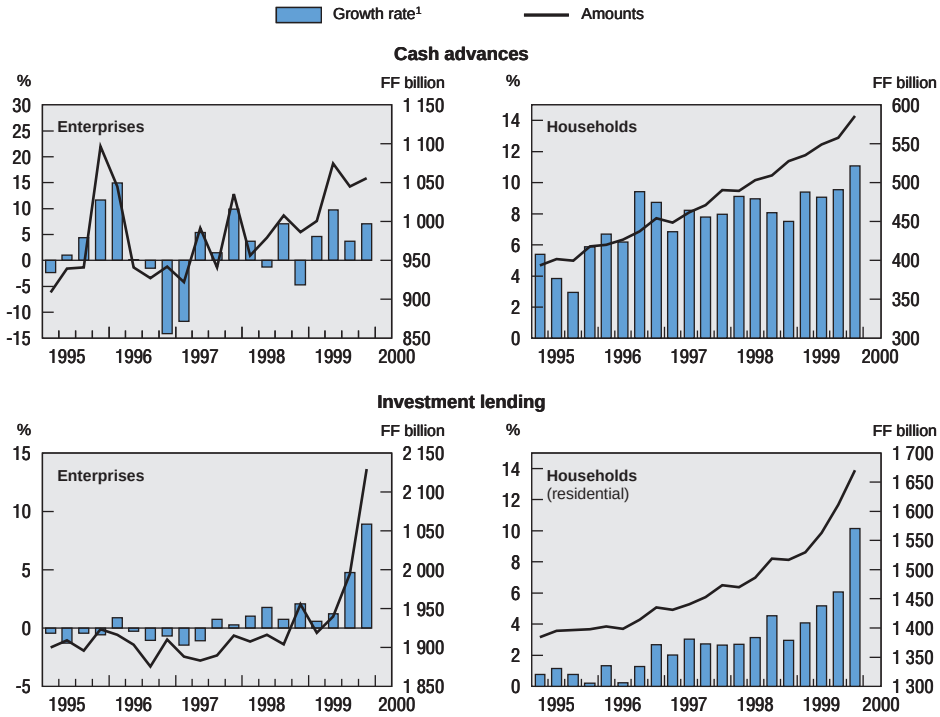
Figure 12. **Credit**

End-of-quarter nominal credit outstanding



1. Year-on-year.
Source: Bank of France.

other euro area countries to changes in monetary policy (Corsetti and Pesenti, 1999). It is true that there are institutional characteristics to suggest that French households are less affected by changes in short-term rates than their counterparts in other countries, in particular because they resort less to consumer credit and because they borrow more at fixed rather than variable rates (notably for mortgages). These institutional characteristics would suggest that the French economy has benefited less than others from the easing of monetary conditions and that, conversely, it should suffer less from any tightening of monetary policy. Nevertheless, because of financial liberalisation in the 1990s changes in leading rates and market rates began to be passed on more rapidly and to a larger extent to the cost of bank loans, thereby helping to bring the French economy closer into line with other European economies; today, only adjustments to regulated rates seem to slow this transmission to the cost of personal bank loans (Pfister and

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Grunspan, 1999). Also, econometric studies using VAR models to compare transmission mechanisms in the euro area produce contradictory results.[10] It is thus not possible to arrive at the conclusion that there are significant differences in the transmission of monetary policy between France and the rest of the euro area.

Growth should remain brisk in 2001, but strains may begin to appear

According to the opinion polls, businessmen and consumers are predicting a still very favourable economic environment over the short term. The business climate remains good in industry, distributors' expectations are at a high level, household confidence remains excellent, housing starts and new car registrations are at unprecedented levels and order books in the construction industry are full. Businessmen's personal production forecasts are very positive, and firms are saying that they intend to increase their investment substantially.

The outlook for 2000 and 2001 depends to a large extent on the trend in foreign demand. A slowdown in world demand is foreseeable after the surge in the second half of 1999, this because the recovery in South East Asia can be expected to stabilise following the initial strong catch-up period. In the United States, domestic demand will probably slow under the effect of the tightening of monetary policy, with the result that American imports will lose momentum. In Europe, following the steep rebound in late 1999, growth of domestic demand should stabilise at a more sustainable pace. All in all, in line with the increase in world trade, exports should grow a little more slowly than during the previous period, but strongly, nevertheless.

For reasons which are not yet completely clear, in 1999 tax revenue increased more rapidly than had been forecast, particularly revenue from corporate income tax and personal income tax. Central government, the Social Security and local authorities enjoyed higher-than-expected tax revenues, which reduced the general government borrowing requirement. The total general government deficit thus reached 1.8 per cent of GDP (compared with 2.3 per cent of GDP in the initial Budget Law). The initial 2000 Budget Law adopted by Parliament provides for a government deficit of 1.7 per cent, but the government has announced that it intends lowering this target to 1.5 per cent in view of the buoyancy of tax receipts. The central government budget is based on the assumption that public spending will be frozen in real terms. In view of the expected fall in public debt service, that assumption implies a slight real increase in primary spending. Expenditure by the Social Security authorities is likely to increase again strongly in 2000, in particular because of the introduction of universal medical cover (CMU) and the dynamism of spending on pensions. On the revenue side, the public authorities expect income tax and social insurance contributions to fall by 1 GDP point thanks to a number of tax relief measures. All told, fiscal policy should have a slightly expansionary thrust in 2000 because of the tax cuts. The general government deficit

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ought to decrease by about 0.4 per cent of GDP, though mainly for cyclical reasons. According to OECD estimates, the structural deficit will not decrease in 2000, in contrast to the trend in previous years.

Real GDP growth should be slightly over 3½ per cent in 2000 and some 3 per cent in 2001 (Table 3). Foreign trade is likely to make only a small contribution to the increase in activity because of the expected slowdown in exports and the strength of imports. The driving force behind activity will therefore continue to be domestic demand, especially household consumption and corporate investment. Consumption will be underpinned by the purchasing power gains of disposable income, as job creation will remain buoyant. Nevertheless, private investment is likely to slow after growing strongly in previous years.

Table 3. **Summary of short-term outturns and projections**
Percentage changes, 1995 prices

	1997	1998	1999	2000	2001
Private consumption	0.1	3.4	2.3	3.1	3.3
Public consumption	2.1	0.3	2.5	1.8	1.4
Gross fixed investment	0.0	6.6	7.3	5.6	3.5
General government	–5.5	2.8	2.2	1.5	1.9
Private residential	0.9	3.6	8.2	6.0	2.6
Private non-residential	1.3	9.0	8.2	6.5	4.2
Stockbuilding[1]	0.1	0.7	–0.4	0.1	0.0
Total domestic demand	0.6	3.9	2.9	3.3	2.9
Exports of goods and services	12.1	7.7	3.8	10.9	8.9
Imports of goods and services	7.1	11.3	3.7	10.2	9.3
Foreign balance[1]	1.3	–0.6	0.1	0.4	0.1
GDP	1.9	3.2	2.9	3.7	2.9
Employment	0.5	1.1	2.0	2.3	2.0
Unemployment rate[2]	12.4	11.8	11.1	9.8	8.8
Household saving ratio[3]	16.0	15.6	15.7	15.2	15.0
Private consumption deflator	1.4	0.7	0.7	1.3	1.5
GDP price deflator	1.2	0.8	0.3	1.0	1.6
Interest rates (yearly averages, per cent)					
Short term	3.5	3.6	3.0	4.3	5.1
Long term	5.6	4.7	4.6	5.9	6.3
General government balance[4]	–3.0	–2.7	–1.8	–1.4	–1.1
Current balance[4]	2.7	2.8	2.6	2.5	2.6

1. Contribution of change to GDP growth.
2. Per cent of the labour force.
3. Per cent of disposable income.
4. Per cent of GDP.

Source: OECD, *Economic Outlook*, June 2000 (based on data available on 19 May 2000).

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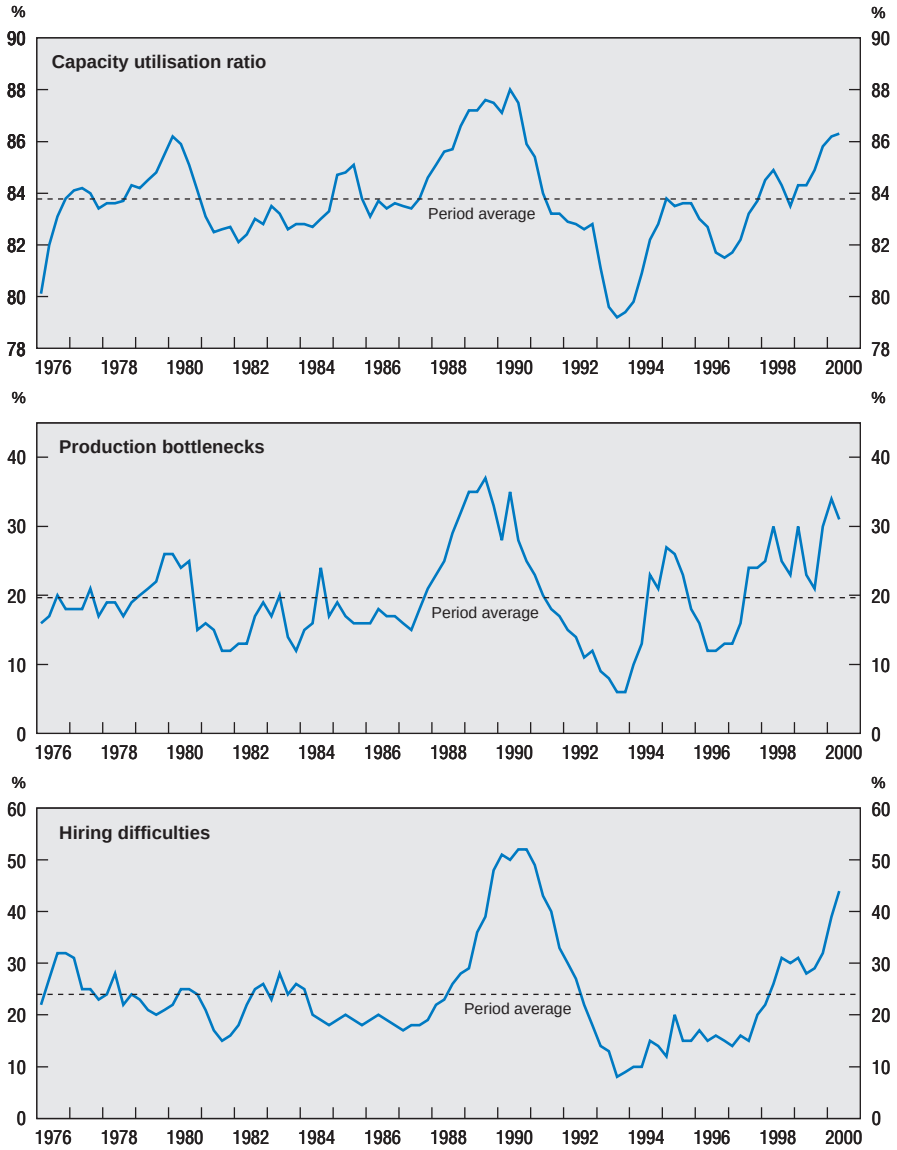
Figure 13. **Tensions on the goods and labour markets**[1]
Manufacturing



1. Seasonally adjusted.
Source: INSEE.

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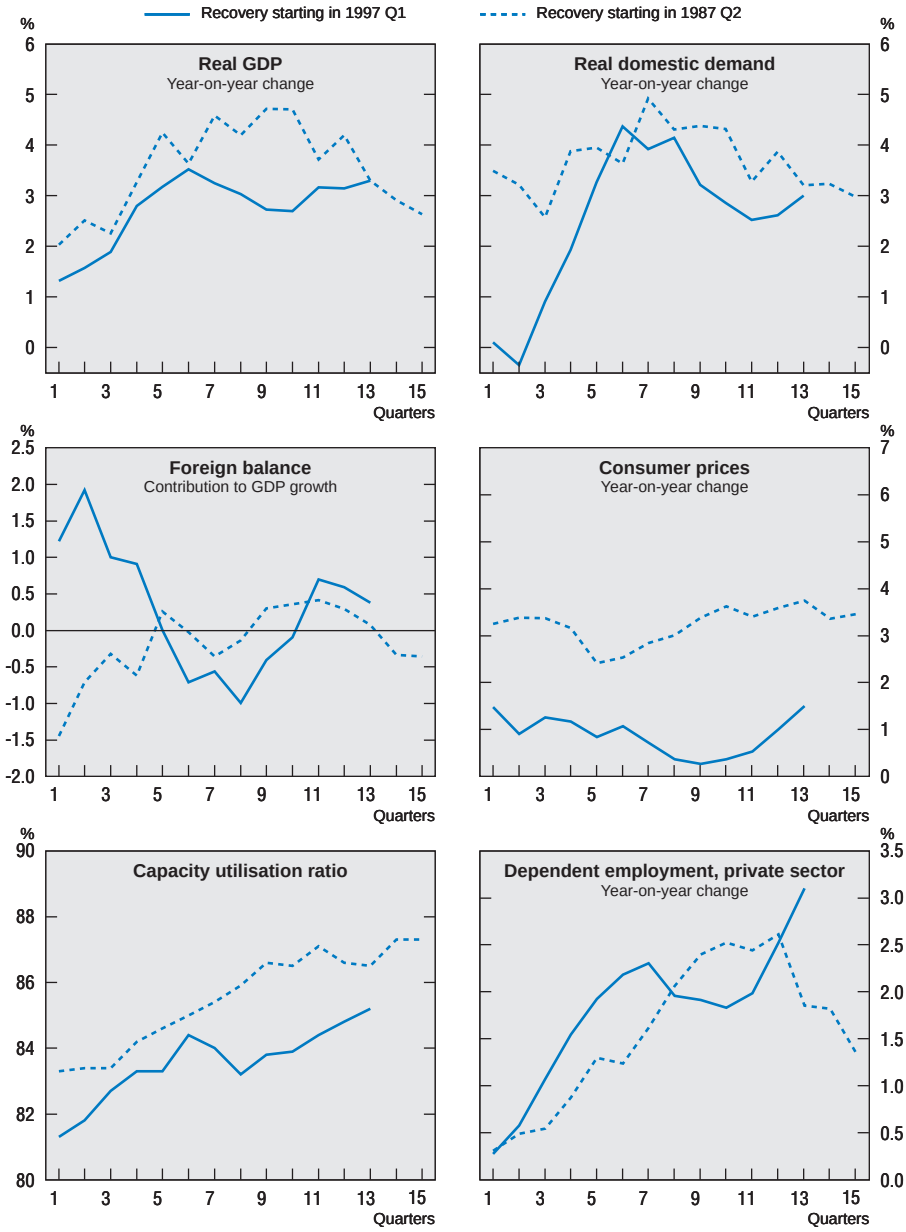
Figure 14. **Comparison of recoveries**



Source: OECD, *National Accounts.*

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This scenario assumes that the international environment remains favourable and, in particular, that the financial markets do not experience excessive corrections despite the high level of stock market valuations. That projection also assumes that households and businessmen stay confident about the future and remain ready to consume and invest. A more rapid growth scenario is not impossible, for example if French households, reassured by the improvement on the labour market, and especially the relative decline in insecure jobs, were to decide to save less and consume more. More rapid growth would, however, test the limits of France's potential growth. According to OECD estimates, which differ from those of the French authorities,[11] the output gap should disappear in 2000 and brisker activity would take factor utilisation beyond their potential level. The appearance of bottlenecks in a number of sectors (Figure 13) and the hiring difficulties being experienced by certain firms show that the economy is nearing its limits. Beyond that point, growth would become less sound, companies' profitability could deteriorate, preventing investment from becoming a new factor of growth. Inflation could therefore accelerate, as in the peak phase of the cycle of the late 1980s (Figure 14). Having gone through a demand stimulation phase, economic policy now has to be geared towards encouraging sustainable growth by keeping domestic demand under control and by stimulating factor supply.

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II. Fiscal policy issues

In the 1990s, French public finance went through a period of crisis culminating in a general government borrowing requirement of 6 per cent of GDP, twice the limit imposed by the Maastricht convergence criteria. Since the mid-1990s, the authorities have implemented a policy of fiscal consolidation to get government finance back on track and establish a sustainable situation for the medium term. These efforts brought the budget deficit down to 3 per cent of GDP in 1997 (Maastricht criterion) and 1.8 per cent of GDP in 1999. Further to these efforts, France has started to refocus public expenditure on sectors considered as underfunded, and to cut taxes significantly.

Fiscal consolidation needs to be continued, however. The authorities have chosen a gradual approach midway between support to activity and financial consolidation (Figure 15). Unlike most other OECD countries, France has not yet quite brought its government finance into a safety zone where it would be protected against a downturn in activity. This being so, a severe cyclical turnaround could bring the deficit over the limit of 3 per cent of GDP imposed by the Treaty of Amsterdam. In particular, the situation is fragile because the public debt has grown by 20 percentage points of GDP in ten years and now stands at 59 per cent of GDP.

Cuts in certain taxes have been implemented in order to boost production potential. But structural fiscal problems that could not be tackled during the period of crisis are still outstanding. Compared with other OECD countries, France devotes a large share of its resources to public current expenditures. Financing pensions may be difficult in the long term without a thorough reform. Progress still has to be made in improving the transparency of budgetary practices. Healthcare expenditure is discussed in detail in Chapter IV.

Short-term issues

Gradual fiscal consolidation between 1997 *and* 1999…

The early 1990s saw a crisis in French public finance, with the total deficit peaking at 6 per cent of GDP in 1993. This was due not only to operation of the

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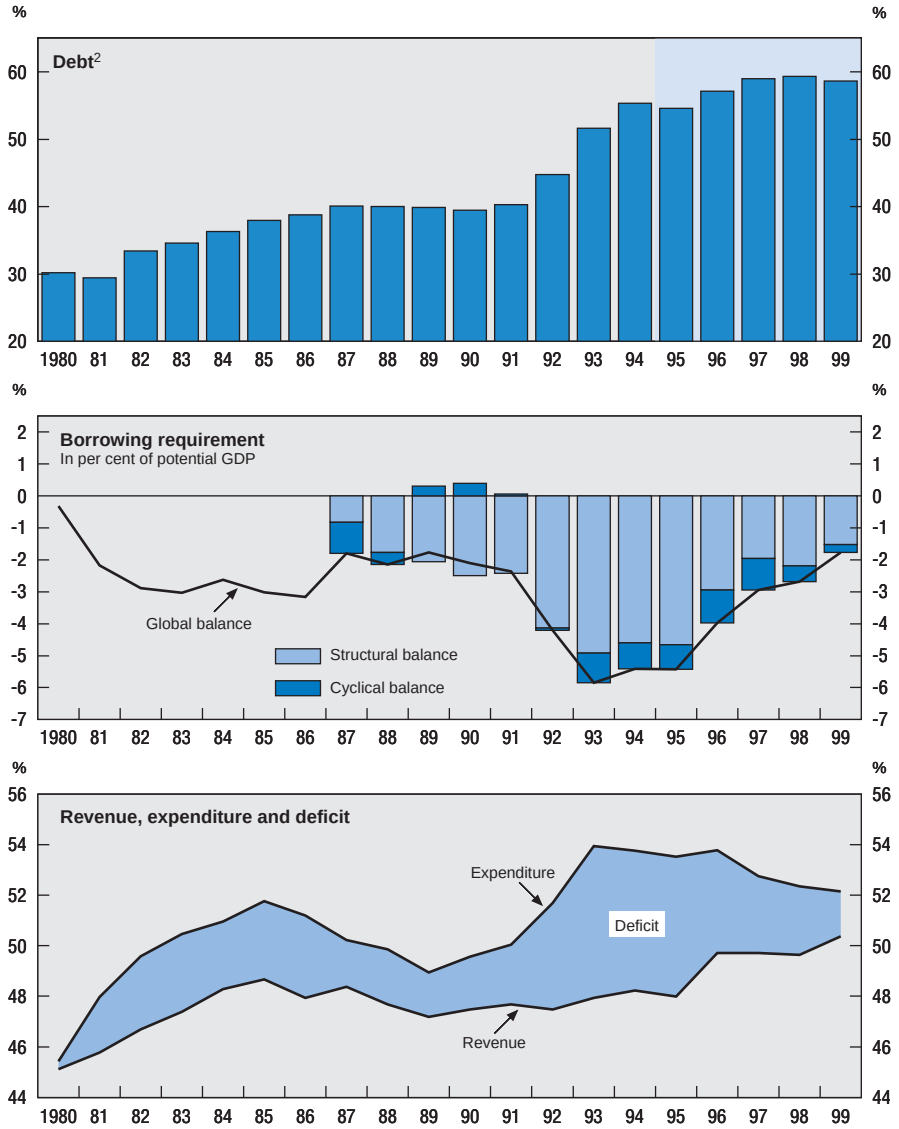
Figure 15. **General government finance**[1]
In per cent of GDP



1. Excluding an exceptional transfer from France Télécom in 1997 (0.5 per cent of GDP).
2. From 1980 to 1994, former national accounts base (SEC80); from 1995 to 1999, new base (SEC95).

Source: INSEE and OECD.

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automatic fiscal stabilisers in a period of recession, but also to the strongly counter-cyclical stance of fiscal policy throughout the first half of the 1990s. Since 1996, governments have implemented a succession of fiscal consolidation plans that have reduced the borrowing requirements of central government and social security (Table 4). Between 1995 and 1999 the general government deficit narrowed each year by 1 per cent of GDP on average, initially as the result of discretionary action, then increasingly by allowing automatic fiscal stabilisers to operate. But the improvement was more gradual than in other OECD countries. In 1999, even though the general government balance was back to its 1990 level, France still had one of the highest deficits of any OECD country (Figure 16). Further efforts are needed, notably to reduce the central government borrowing requirement and to consolidate the financial situation of the social security and local government accounts which are now back in equilibrium.

Table 4. **General government lending capacity (+) or borrowing requirement (–)**

	1992	1993	1994	1995	1996	1997	1998	1999
	Per cent of GDP							
Borrowing requirement								
General government	**–4.2**	**–6.0**	**–5.5**	**–5.5**	**–4.2**	**–3.0**	**–2.7**	**–1.8**
Central government	–3.3	–4.9	–4.8	–4.7	–3.7	–2.8	–2.9	–2.3
Local government	–0.5	–0.2	–0.2	–0.2	0.1	0.3	0.3	0.4
Social security	–0.4	–0.9	–0.5	–0.7	–0.5	–0.5	–0.1	0.2
Memorandum item								
Public debt[1]	39.6	45.6	48.5	54.6	57.1	59.2	59.5	58.7
Revenue	48.8	49.3	49.4	49.7	51.4	51.9	51.3	52.1
of which : Direct taxes and social contributions	42.7	42.9	43.4	43.7	44.8	44.9	44.9	45.7
Public expenditure	52.9	55.2	54.9	55.2	55.6	55.0	54.0	53.9
Primary public expenditure	49.9	51.7	51.3	51.5	51.6	51.3	50.4	50.5
	Percentage change							
Nominal changes								
Revenue		2.5	4.0	4.1	6.1	4.3	2.8	4.9
Public expenditure		5.9	3.1	3.9	3.2	2.1	2.2	3.0
Primary public expenditure		5.6	3.0	3.6	2.9	2.5	2.3	3.5
In real terms[2]								
Revenue		0.2	2.3	2.3	4.6	2.9	2.1	4.6
Public expenditure		3.5	1.4	2.2	1.8	0.8	1.5	2.7
Primary public expenditure		3.2	1.3	1.9	1.5	1.0	1.6	3.1
Real GDP	1.5	–0.9	2.1	1.7	1.1	2.0	3.4	2.9

1. Maastricht definition. SEC80 up to 1994, SEC95 thereafter.
2. Deflated by GDP deflator.
Source: INSEE, *National accounts*.

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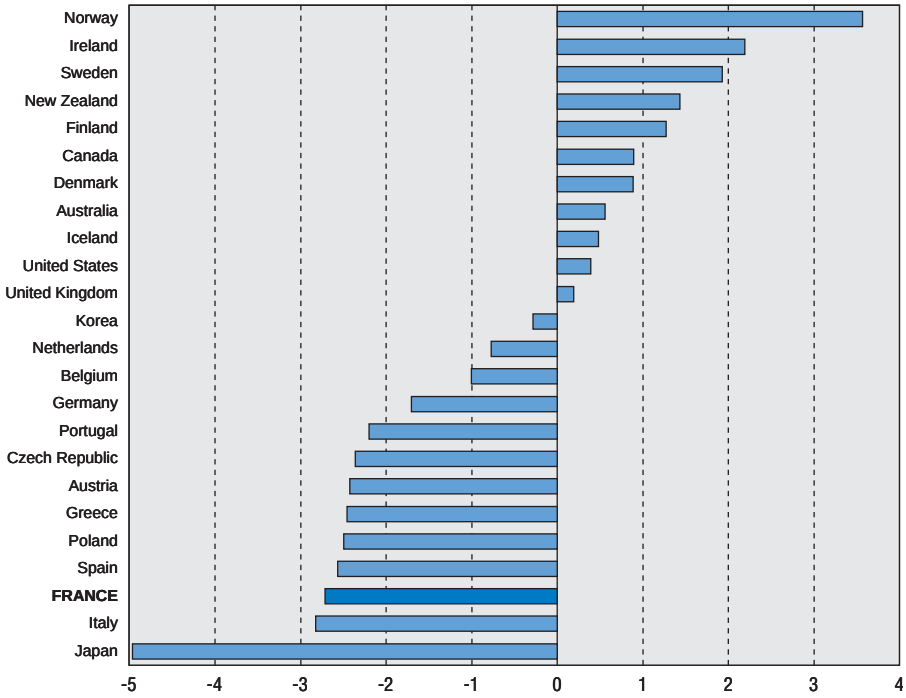
Figure 16. **Financial balance of general government, 1998**
In per cent of GDP



Source: OECD, *National Accounts*.

... through a more rigorous discretionary policy...

A breakdown of the general government balance into its cyclical and structural components makes it possible to identify, with the necessary caution, the factors driving fiscal developments to date. The public finance crisis in the 1990s had three causes: a counter-cyclical discretionary policy favouring support to domestic demand, notably between 1990 and 1994, in a context of tighter European monetary policy following German reunification; a worsening of the cyclical balance through the action of automatic fiscal stabilisers; and an increase in the public debt burden until 1998. Symmetrically, the improvement in public finances can be explained by a more rigorous discretionary policy since 1996, based on compliance with the Maastricht convergence criteria. The taxation measures taken in 1995-96 – particularly the VAT increase from 18.6 to 20.6 per cent, the introduction

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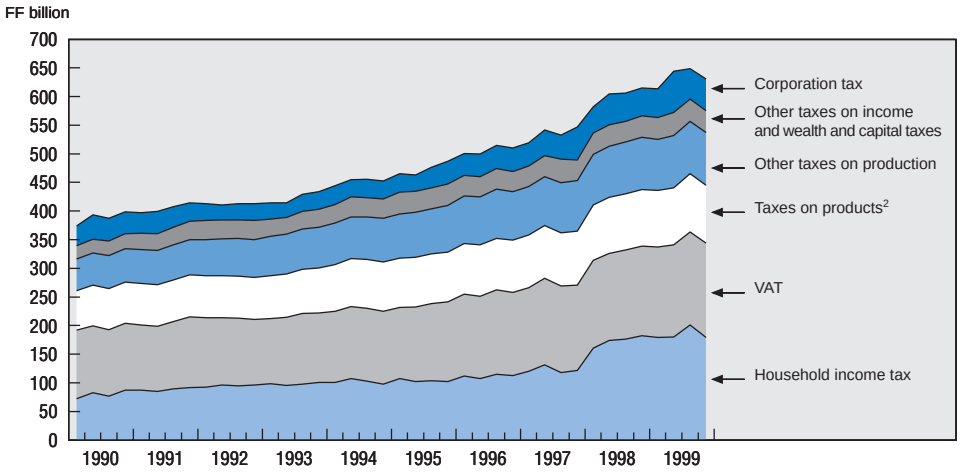
of the CRDS direct tax on households, the successive rises in the CSG tax and the special surtax on corporate profits – did a great deal to reduce the deficit of central government and social security. With the economy now back to its potential, the cyclical component of the deficit has decreased considerably, receipts having benefited in full from the earlier taxation measures. On the expenditure side, unemployment benefits and passive employment-related spending have stabilised. But central government expenditure on active labour market policies is still very heavy, as a result of the measures taken to combat structural unemployment and reduce exclusion (youth jobs ("*emplois jeunes*"), rebate on employer social security contributions for low-wage workers, etc.).

... based on a higher tax burden...

The decrease in the general government deficit since 1995 is partly attributable to heavier direct taxes and social insurance contributions (Figures 17 and 18). The growth of these taxes and contributions observed in 1999, despite the tax cuts introduced by the authorities (Box 4), was due especially to the expansion of tax bases. Growth of receipts from corporate income tax was particularly brisk, reflecting the increase in corporate profits in 1998. Also, an increase in households' disposable income brought an additional 1.3 million people into the

Figure 17. **Taxes levied by general government**[1]



1. Taxes levied by central and local government, and social secutity taxes (excluding social security contributions).
2. Primarily excise duties.

Source: INSEE, *Comptes nationaux trimestriels*.

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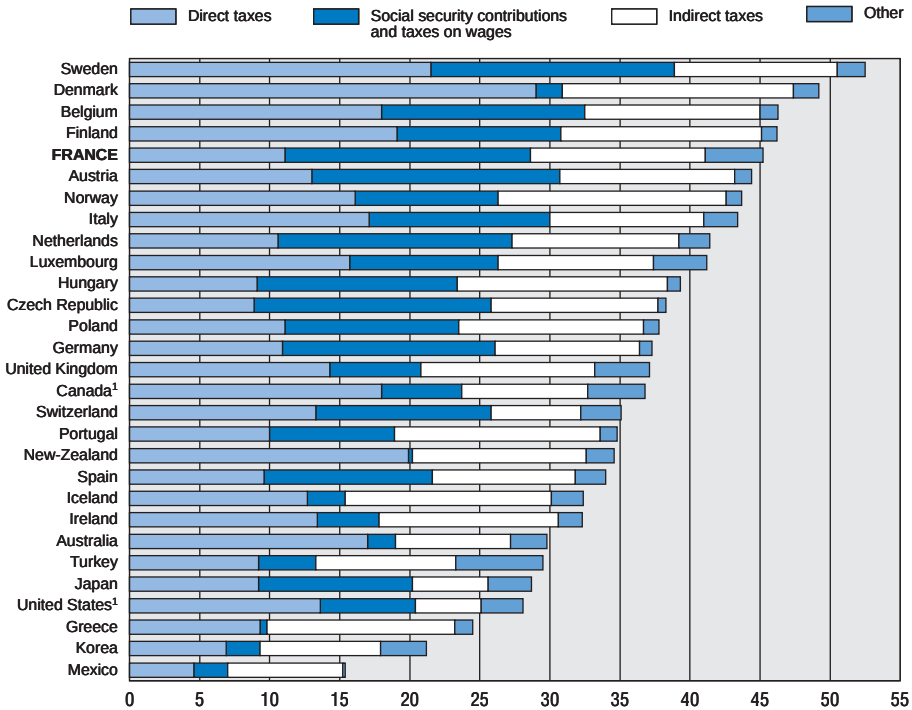
Figure 18. **Tax revenue**
In per cent of GDP, 1998



1. 1997
Source: OECD, *Revenue Statistics.*

tax net. Finally, the stock exchange boom increased the yield from taxes on investment income and capital. Some of these unexpected revenues are exceptional, particularly the heavy inflows from corporate income tax and, no doubt, unsustainable.

... and better control of central government expenditure

The improvement in public finance also reflects a greater degree of restraint in public expenditure, notably central government expenditure, which is the only spending category directly under the government's control. In 1999, central government expenditure grew, as provided by the initial Budget Law, by 1 per cent in real terms (Table 5).[12] In the course of the year, with inflation lower

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Box 4. Main measures relating to tax and social security contributions

1999 Budget

Cuts

- Reduction of VAT on electricity and gas network access, appliances for handicapped persons, sorted waste treatment, and renovation of public rental housing; exemption from VAT on building lots purchased by private individuals (FF 5 billion).
- Reduction of real estate transaction tax for dwelling premises (FF 5 billion).
- Reform of the *taxe professionnelle* (FF 8 billion net for central government).
- Extension of the rebate on employer social security contributions for low-wage workers (FF 7 billion).
- Structural aid for the reduction of working time (FF 6 billion).

Increases

- Reduction of the ceilings for family-related and alimony payment income tax rebates (FF 4 billion).

2000 Budget*

Cuts

- Reduction, from 20.6 to 5.5 per cent, of VAT on work related to dwelling improvement, conversion, equipment and maintenance and on home services supplied by enterprises (partly offset by readjustment of the tax rebate for dwelling improvements) (FF 21 billion).
- Further reduction of the real estate transaction tax for dwelling premises (FF 5 billion).
- Abolition of the contribution representing the lease tax on rents of up to FF 36 000 per annum, total abolition being scheduled for 2001.
- VAT reduction from 20.6 to 19.6 per cent (FF 18 billion in 2000, FF 31 billion in full year).
- Reduction of income tax rates for the first two income brackets (FF 11 billion).
- Reduction of the property tax (FF 11 billion).
- Second stage in the phase-out of the wage share of the *taxe professionnelle* (FF 13 billion).
- Abolition of the surtax on corporate profits.

Increases

- Social security contribution on profits and increase in the general tax on polluting activities (FF 5 billion).
- Increased taxation of consolidated group profits (FF 4 billion).
- Increase in the diesel oil tax (FF 2 billion).

* Includes both the decisions of the initial Budget Law and the Revised Budget Law.

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Table 5. **Central government budget**
FF billion

	1998 Outcome	1999		2000	
		Budget[1]	Outcome	Budget[1]	Revised Budget[2]
Total revenue	**1 420.6**	**1 446.9**	**1 511.5**	**1 463.7**	**1 473.7**
Income tax[3]	304.0	322.8	333.6	338.2	338.7
Corporation tax, net[3]	184.7	199.3	229.7	226.4	243.7
Domestic duty on petroleum products	153.9	160.1	161.7	167.2	167.1
Value added tax (VAT), net	641.9	673.1	671.1	679.0	672.1
Other tax revenue, net[3]	167.8	179.6	169.5	135.8	124.8
Non-tax revenue[4]	157.7	183.3	168.4	199.7	215.6
Transfers to local authorities and EU	–254.4	–271.3	–267.7	–287.0	–288.3
Loans (*fonds de concours*)	65.0	–	45.2		
Total expenditure	**1 672.9**	**1 686.6**	**1 726.8**	**1 682.0**	**1 692.0**
Compensation, pensions and social charges	555.0	516.1	571.1	535.6	537.8
Debt service	250.2	253.3	244.7	251.9	251.9
Other current expenditures	701.4	752.4	742.5	730.5	738.1
Capital expenditures (military and civilian)	166.3	164.8	168.5	164.0	164.2
Balance on special Treasury accounts	**4.8**	**3.1**	**9.3**	**3.0**	**3.0**
Balance	**–247.5**	**–236.6**	**–206.0**	**–215.3**	**–215.3**

1. Budget Law as approved by Parliament.
2. Revised budget.
3. Up to 1998, lease taxes were booked under "other fiscal receipts"; in 1999, they were booked with income tax and partly with corporation tax.
4. Includes revenue that offset part of debt service expenditures ("recettes d'ordre").

Source: Ministry of the Economy, Finance and Industry.

than expected, the government made additional savings of about FF 10 billion so as to meet its volume target. This was achieved and, as a result, central government spending grew less rapidly than potential GDP. Within this limit, the authorities shifted FF 30 billion to spending on employment, social justice and the improvement of daily life. Management contracts (*"contrats de gestion"*) between the Ministry of Economy, Finance and Industry and the other ministries contributed to the improved control of central government expenditure. In contrast, spending by the social security agencies and local authorities continued to grow at a rate close to, if not higher than, that of potential GDP.

The 2000 budget focuses on reducing taxes

In 1999, the entire additional revenue generated by strong growth was used to reduce the pubic deficit, which was cut from 2.7 per cent of GDP in 1998 to 1.8 per cent. Following this steep rise in revenue in 1999, the authorities have undertaken to accelerate tax cuts in order, in particular, to stimulate the economy's supply potential. To this end, measures amounting to FF 40 billion were included

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in the initial Budget Law adopted by Parliament. Also, in March 2000, the government announced further tax cuts of another FF 40 billion in respect of VAT, personal income tax and the property tax. In all, the reduction of the tax burden in 2000 should attain 1 point of GDP. True, the budget is based on zero real growth of central government expenditure, but the tax cuts are such as to rule out a marked reduction in the State borrowing requirement.[13] Thus, according to the OECD's projections, the cyclically adjusted public deficit should not improve in 2000. In order not to renew the experience of the late 1980s, when maintenance of the central government's deficit at an unchanged level in the upswing phase of the cycle resulted in a deterioration of the structural balance, it is necessary to continue to reduce the central government deficit. In particular, if tax revenue turns out to be larger than projected in 2000, the extra revenue should be used entirely, as the authorities have announced, to reduce the central government borrowing requirement.

The 2001 *budget should continue to rein in central government spending*

The government submitted to Parliament a report summarising its views on the economic and budgetary situation, together with broad proposals for 2001. In this report, the government projects that real GDP growth will be about 3 per cent in 2001, thus closing the output gap that emerged during the first half of the 1990s. In view of this, the authorities underscore that economic policy should now aim at increasing potential growth, so that growth can last in a sustainable and sound environment. The authorities acknowledge that the potential growth rate is insufficient, and that structural reforms are required to expand production capacity. They consider that fiscal policy can help reach this goal, notably measures to reduce the budget deficit, cut taxes and control public spending. In the framework of these broad fiscal trends, the authorities suggested to reduce the budget deficit by 0.2/0.4 point of GDP in 2001, to cut government revenue by 0.6/0.7 point of GDP and to reduce government outlays by 0.8/0.9 point of GDP (Table 6). This would imply that central government spending ("*budget général*") would grow by only 0.33 per cent at constant prices in 2001 (after a freeze in 2000). As for taxes, the government suggests to cut taxes on labour income (such as CSG, social security contributions and personal income tax), notably those taxes that can contribute to "inactivity traps", as well as taxes on investment and highly-skilled workers (which can escape taxes by moving abroad).

The *authorities intend to continue gradual consolidation over the medium term…*

The authorities intend to continue their fiscal consolidation effort over the medium term. This intention is clearly evident in the multi-year public finance programmes presented by France to the European Commission in the context of the Stability and Growth Pact established by the Treaty of Amsterdam. Central to

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Table 6. **General government finances, 1997-2001**
In per cent of GDP

	1997	1998	1999	2000	2001
Revenue	51.9	51.3	52.1	51.2	50.6/50.5
of which: Taxes and SS contributions	44.9	44.9	45.7	44.7	44.2/44.1
Spending	55.0	54.0	53.9	52.6	51.7/51.8
of which: Central government[1]	. .	. .	1.0	0.0	0.33
Balance	–3.0	–2.7	–1.8	–1.5	–1.1/–1.3
of which: Central government	–2.8	–3.0	–2.5	–2.3	–2.1/–2.2

1. Annual change in percentage at constant prices, excluding exceptional spending, at constant perimeter, on the basis of budgetary accounts.

Source: Based on the following official reports; "*Politique économique* 2000, *Rapport du printemps*" and "*Rapport du gouvernement pour le débat d'orientation budgétaire*".

the French medium-term programmes is an inflexible norm for spending growth, set at constant prices for the general government, and designed to preclude fluctuations in public expenditure. This norm is then each year built into the Budget Laws for central government and the Laws on the Finances of the social security. The possible windfall gains stemming from economic growth are shared between deficit reduction and taxation reduction, and are thus preserved. These windfall gains cannot be used for additional spending, because the expenditure norm is inflexible.

In January 2000, the government presented its public finance programme for the period 2001-03. This is based on two growth scenarios, one close to the potential growth path (2½ per cent a year), the other assuming a higher growth rate (3 per cent a year). In both scenarios the multi-year programme incorporates an inflexible norm for government spending growth of 4 per cent in volume over the period 2001-03 (*i.e.* 1.3 per cent a year), representing a slight increase relative to the previous multi-year programme. For central government, expenditure growth is limited to only 1 per cent in volume over the three years, spending by the social security agencies and local government being allowed to grow a little faster. The programme is set to reduce the tax burden and to trim the general government deficit to 0.5 per cent or 0.3 per cent of GDP by 2003, depending on the growth scenario, which will make it possible to step up the reduction of public debt as a share of GDP begun in 1999 (Figure 19).

... but more ambitious objectives seem both desirable and attainable

In many respects, the programme's objectives should be regarded as minima rather than optima. Further fiscal consolidation over the medium term is needed in order to reach the safety zone in which government finance would be protected against a cyclical downturn and would remain in compliance with the

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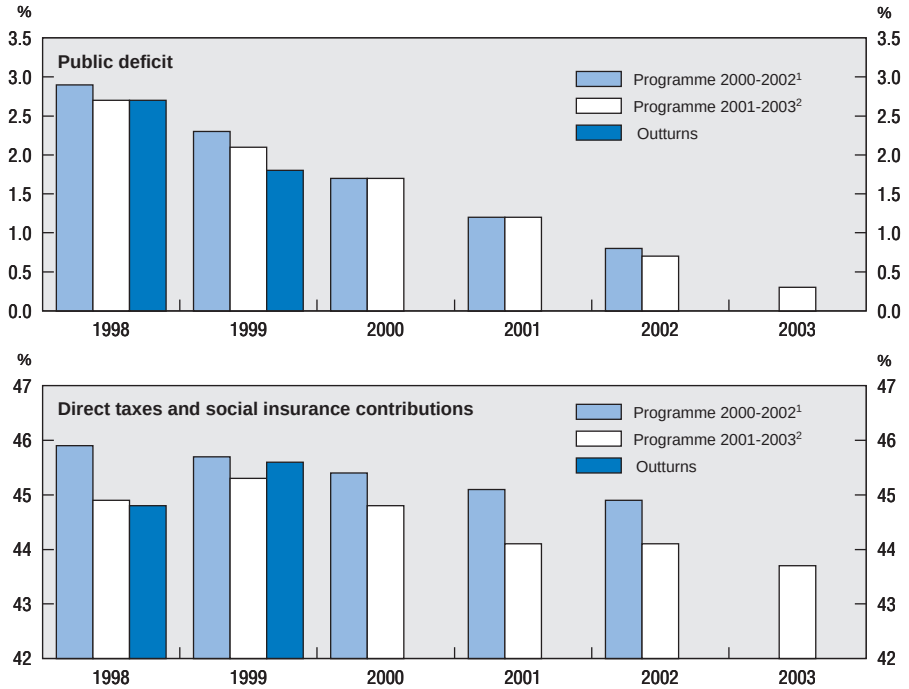
Figure 19. **Multi-year public finance programmes**
In per cent of GDP



1. 2000-2002 programme. On the basis of SEC80 (average GDP growth scenario at 3 per cent per year).
2. 2001-2003 programme. On the basis of SEC95 (average GDP growth scenario at 3 per cent per year).
Source: Ministry of Economy, Finance and Industry.

limits set by the Stability and Growth Pact. In the case of France, on the basis of observed cycles in the recent past, the safety zone should be reached when the structural (*i.e.* cyclically adjusted) deficit falls below 1 per cent of GDP[14] (Dalsgaard and de Serres, 2000), as compared with a structural deficit estimated by the OECD Secretariat at 1½ per cent of GDP in 1999. It is possible to reach the safety zone in 2001 by making a further consolidation effort of the same order as the annual average achieved between 1995 and 1999. Given past developments, and assuming that growth remains brisk, a return to budget equilibrium by 2002 seems possible, with a budget surplus in 2003. A simulation with the Interlink model suggests that a budget surplus of 1½ per cent of GDP could be achieved in 2005, based on the assumption of stricter controls of public expenditure than envisaged (Box 5). Given such a context, fiscal consolidation and a reduction in the tax burden call for further, increased efforts to control public spending.

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Box 5. An alternative scenario for medium-term public finance[1]

France's multi-year public finance programme for 2001-03 is based on the choices that will guide fiscal policy in the medium term. The authorities have opted for public spending control, cuts in taxation and the quasi-elimination of the public deficit by 2003.

An alternative scenario, constructed using the Interlink model, is compared here with a central scenario based on the authorities' fiscal objectives. To show the impact of fiscal measures over time, the simulation covers the period 2000-05.[2] The alternative scenario is based on a more significant adjustment in public spending than planned by the authorities, so as to achieve fiscal balance as rapidly as possible, reduce the debt burden and avoid inflationary pressures.

This scenario is predicated on zero growth of general government spending in real terms in 2001-02, followed by a return to a moderate rate of increase. For the period covered by the authorities' multi-year programme, the cumulative increase in general government spending in real terms is 1 per cent in the alternative scenario, compared with 4 per cent in the government programme. This lower rate of increase in public expenditure than in the multi-year programme could, for example, reflect an evolution in the number of public employees more in line with that of the labour force and demand for public services. With a growing number of civil servants retiring and *emplois jeunes* being cut back gradually from 2002, it is possible to envisage naturally moderate growth of the general government wage bill in the next few years. Trends in direct taxation are similar in both scenarios. In contrast, the alternative scenario assumes bolder structural reforms than those currently envisaged by the authorities in their 2.5 per cent growth scenario.[3] These structural reforms would have a positive impact on total factor productivity and increase potential real GDP growth from 2.4 to 2.6 per cent on average over the period 2000-05.

This alternative scenario shows the merits of combining a policy of fiscal consolidation with structural reforms. In the short term, the fiscal adjustment causes a slowdown in economic growth but, in the medium term, the disinflation induced by greater wage restraint, combined with the beneficial effects of structural reforms, would enable slightly higher real GDP growth than in the central scenario (Figure 20). The unemployment rate would follow suit: higher in the short term than in the central scenario, it would be in 2005 around 1 percentage point lower than in the central scenario. The assumption here is that the more moderate increase in wage costs than in the central scenario would promote growth in private sector employment. The assumed zero growth of public spending would produce a rapid turn-around in public finances: the general government balance would show a slight surplus in 2003 (as opposed to a deficit of around 0.5 per cent of GDP in the authorities' programme) and a surplus of 1.5 per cent of GDP in 2005. This would enable a rapid decrease in government debt, which in 2005 would be around 5 per cent of GDP below the level in the central scenario.

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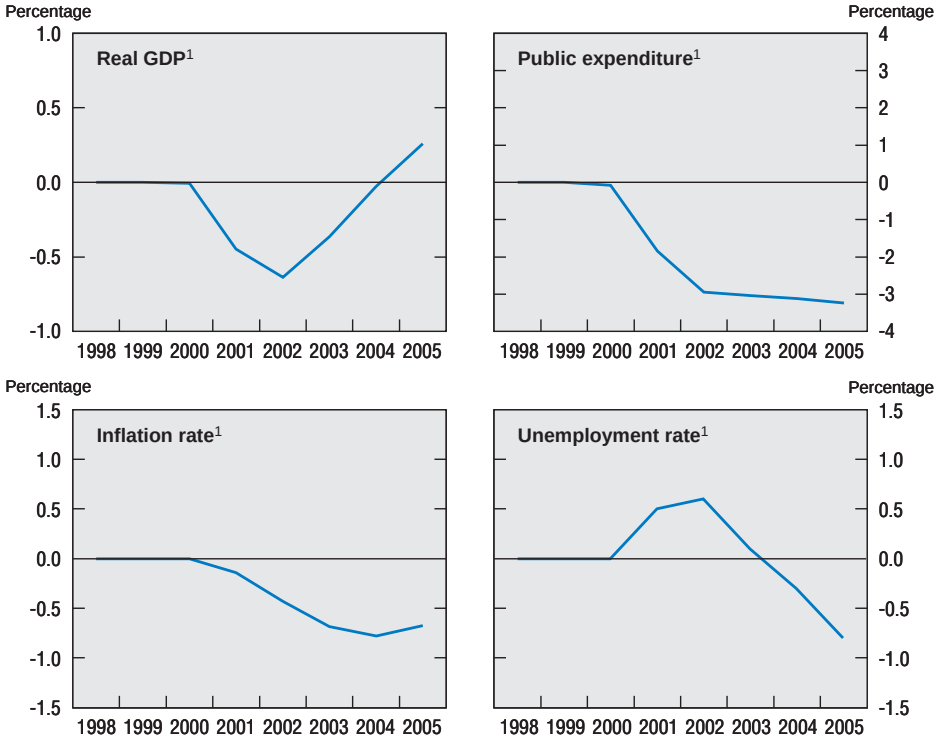
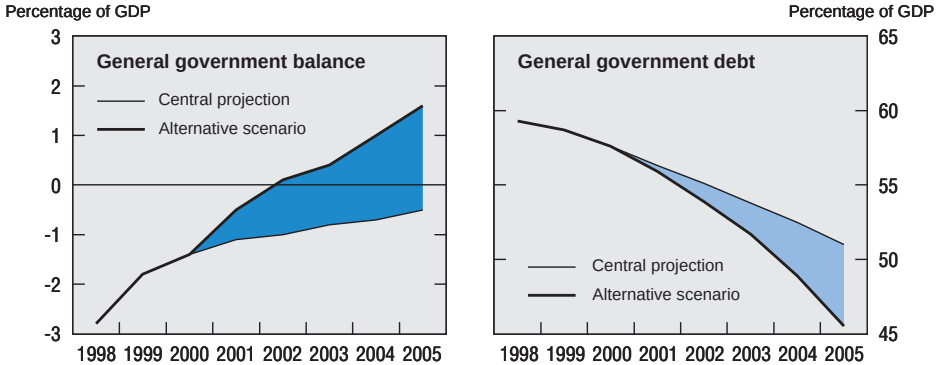
Figure 20. Central projection and alternative scenario

1. Deviations from central projection



2. Central projection and alternative scenario



1. The curve shows the difference between the level of the indicator in the alternative scenario and its level in the central projection.

Source: OECD.

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Box 5. **An alternative scenario for medium-term public finance**[1] (*cont.*)

Although the alternative scenario should be interpreted with some caution, since it is based on a set of assumptions, it does show that a slightly tighter fiscal policy, in conjunction with structural reforms would probably lead rapidly to a positive fiscal trend and create the environment for a more sustainable increase in activity and employment in the medium term.

1. In this box, the term «public sector» means general government according to the national accounts definition.
2. The central scenario is based on the authorities' multi-year programme for 2001-03 (variant assuming GDP growth at 2.5 per cent per year), extended to 2005 by extrapolating the trends. Over the period 2004-05, real GDP is assumed to grow by 2.2 per cent per year, public expenditure by 1.5 per cent and overall taxation to decline by 0.3 per cent of GDP per year.
3. A second variant in the authorities' programme assumes ambitious structural reforms that would increase real GDP growth from 2.5 to 3 per cent per year over the period 2001-03.

Reducing the deficit would make it possible to reduce the public debt, which in 1999 was equivalent to nearly 60 per cent of GDP, and hence to reduce the debt service burden. For public indebtedness to decrease, the primary budget balance has to exceed the debt-stabilising primary balance. As Figure 21 shows, the resumption of economic growth, and the decline in the apparent interest rate on the public debt, enabled the structural primary budget balance to converge with the stabilising balance for the first time in 1999. Further consolidation of the primary balance should make it possible to reduce the debt as a percentage of GDP.

Structural budgetary issues

The resumption of growth and the loosening of budgetary constraints are creating an opportunity to step up the structural reform of French public finance. The fiscal challenges that have to be met are: reducing taxes and social contributions, control of operating expenditure, reform of the pensions system and transparency of budgeting.

Reducing taxes and social insurance contributions

France has tax rates and social insurance contributions that are among the highest in the OECD in terms of both average and marginal rates. The authorities are aware that these high rates have adverse effects on the performance of the

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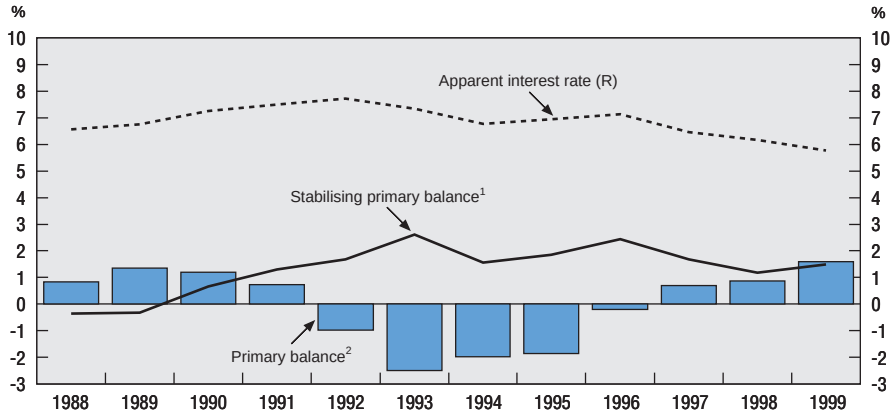
Figure 21. **Stabilising primary balance of public finances**
In per cent of GDP



1. Stabilising primary balance = $[(R - \acute{Y})/(1 + \acute{Y})]*(D_{(t-1)}/Y)$, with R = apparent nominal interest rate, $\acute{Y}$ = rate of change of GDP at constant prices and D = gross public debt.
2. Primary balance = total balance minus interest on gross debt (excluding interest received by general government).

Source: INSEE and OECD.

economy. For this reason, since 1997 they have implemented a series of tax cuts focussing on three main areas. The first set of cuts were designed to reduce the average tax burden on mobile tax bases, and thus to lessen the incentive to invest and work outside France. They consisted in the abolition of the surtax on corporate profits and the wage share in the *taxe professionnelle*, as well as a reduction in real estate transaction taxes. The second thrust of the reform consisted in reducing the overall tax wedge between the cost of labour borne by the employer and the purchasing power received by employees. These measures comprise the reform of the *taxe professionnelle* and the reduction in VAT. They reinforce the favourable effect on employment of the reduction in employers' contributions on low wages. A third, more recent, set of reforms aims to reduce "inactivity and poverty" traps. Thus, the direct tax cuts which have already been decided for 2001 increase the financial incentive for getting back into work: the reduction in the first two income tax rates cuts the marginal tax rate for a single person on the SMIC by two points; the reform of the property tax (*taxe d'habitation*) eliminates certain tax increases that occur when a person ceases to receive the guaranteed minimum income. The authorities have announced their intention to continue these tax cuts so as to rapidly bring the share of tax and social insurance contributions in GDP back to its 1995 level. However, these cuts would be all the more effective if they were announced as part of a multi-year tax reform.

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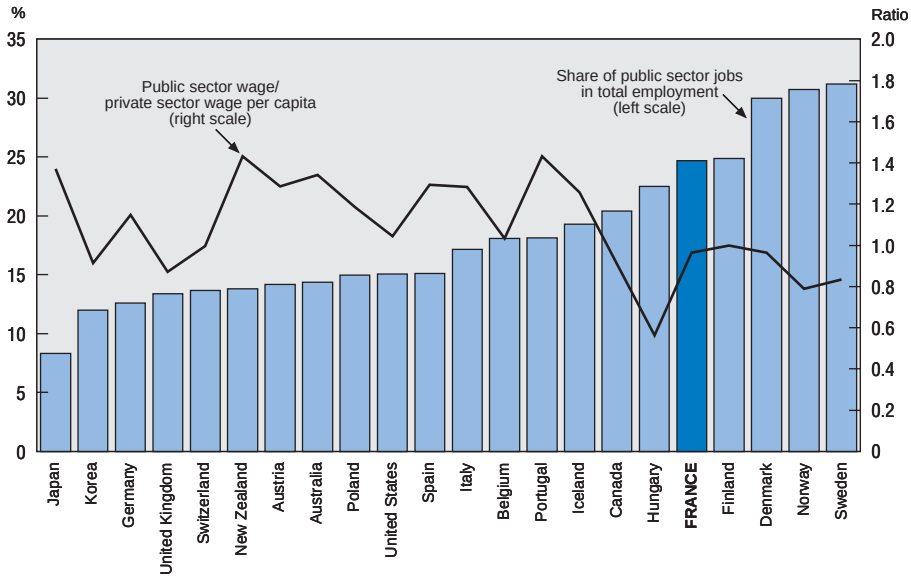
Greater control of operating expenditure is necessary

After the Nordic countries, France is the OECD country with the highest level of public expenditure as a percentage of GDP. The French authorities have managed to lower the public spending/GDP ratio for some years, notably by limiting the growth of public service employment. But this trend came to a halt in 1999, when primary public expenditure accelerated. Public spending restraint depends particularly on control of public workforce growth.

In 1997, general government was employing 4.5 million persons.[15] About one-half of civil servants were employed by central government, one-third by local authorities and the remainder by public hospitals. Public servants, broadly defined, accounted for about one-fourth of total employment, one of the highest proportions in the OECD area, after the Nordic countries (Figure 22). Whereas the other major European countries reduced their civil services in the 1990s, notably the United Kingdom and Germany after unification, France has barely managed to stabilise its public workforce (Figure 23). Moreover, the general government wage bill increased steeply in real terms as a result of wage increases for public

Figure 22. **Public sector employment and wages**
1998



Source: OECD, *National Accounts.*

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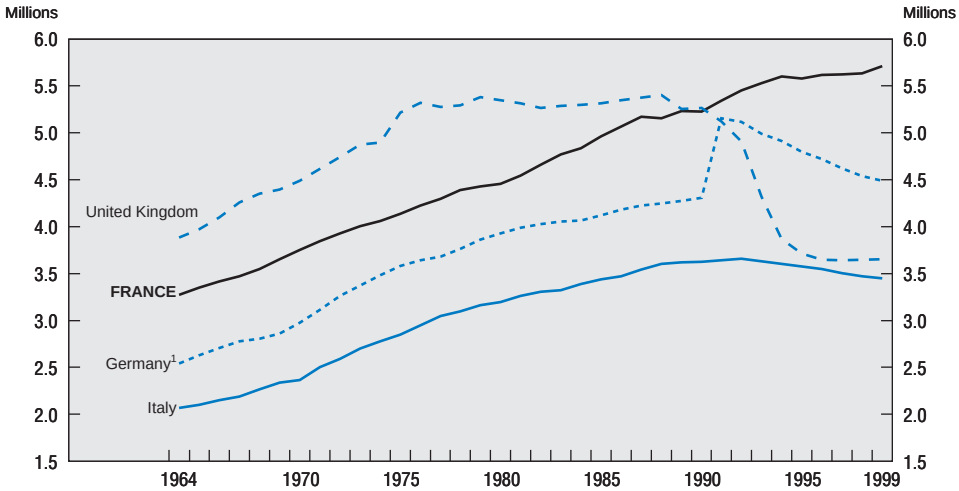
Figure 23. **General government workforce**



1. Reunification in 1991.
Source: OECD.

servants phased in between 1988 and 1997 (Durafour plans).[16] Following these pay adjustments, the net average wage in the public sector in 1997 was higher than in the private sector, which can also be explained by a higher average level of skilling.[17] Owing to the statutory regulations whereby pay automatically rises with length of service, as well as the new job skills required, the central government's wage bill grows mechanically by about 1½ per cent each year, excluding across-the-board pay increases.[18] This spontaneous growth in the wage bill, allied to the rigidity of public service staff rules and budgetary regulations, makes it difficult to control general government operating expenditure in real terms.

In the heavily regulated context of the civil service, the human resource management practices of ministries have been departing more and more from the statutory rules. In some cases, jobs are created without budgetary authorisation, bonuses awarded with no real justification and tax-free payments made (Cour des comptes, 1999). Human resource management in the public sector is now midway between a centralised model based on strict rules and a reality that is much more complex and heterogeneous. Over the past ten years or so, OECD countries having been moving away from the rigid centralised systems of civil service management and over to more decentralised systems (OECD*a*, 1999). This approach consists in allowing government agencies greater flexibility in using their financial resources, in return for an increased evaluation of their performance.[19]

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Where this system of management has been introduced, savings have been made on operating expenditure. In France, an approach of this type was initiated in 1999, in the form of pilot experiments with performance contracts. These contracts, between the Budget Directorate of the Ministry of Economy, Finance and Industry and other government agencies, arrange for managers to receive budgetary overall appropriations over a number of years that can be used for different types of expenditure. In return, the agencies must commit themselves to performance targets defined in terms of the expectations of public service users. Contracts of this kind have been concluded with the General Directorate of Taxes (DGI) and the Directorate of External Economic Relations (DREE). Other new approaches are being introduced for the purpose of better evaluating and increasing public sector efficiency. Performance indicators are being established for the different areas of government action so as to link budget resources with results, and these indicators will be used in budget discussions. A benchmarking system is also being introduced so as to compare operating costs between France and other countries (*e.g.* in respect of tax collection, see Box 6), between ministries and within ministries.

A more decentralised approach to human resource management should help government agencies to prepare for the demographic shock in the civil service, which is close at hand. The civil servant population is now heavily concentrated in the 45 -55 age group and 45 per cent of currently serving staff will retire between now and 2010. This offers a historic opportunity to increase public service productivity, as other OECD countries have already done. It is therefore undesirable that the State should attempt systematically to replace all retirees, given the great size of the civil service in France. In any case, the financial situation will not permit this, since the pensions of former civil servants will have to be paid out of the budget, and tax revenue will decline because of the ageing of the French population as a whole. This population ageing could cause labour to become scarcer, and mass recruitment of new public servants would commensurately crowd the private sector out of the labour market, with negative consequences for potential growth. On this assumption, a reduction of the public service workforce should accompany that of the labour force.

Will pensions be financed over the long term?

Few subjects have aroused as long and heated a debate in France as pensions have. The debate was launched with the Pensions White Paper produced in 1989 on the initiative of the then Prime Minister (Michel Rocard), which concluded that there would be problems of long-term financing if the system were not reformed. A major change in the general pension scheme and auxiliary schemes was successfully introduced in 1993 by the Prime Minister at that time (Edouard Balladur), the purpose being to consolidate the financing of

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Box 6. How is tax collection to be rationalised?

In France, tax collection represents a significant expenditure for the State. A study by the *Inspection des Finances* (Lépine Report, 1999)* estimates that the collection cost represents 1.6 per cent of the tax collected, compared with 0.5 per cent in the United States and 1.1 per cent in the United Kingdom. Three different services are in charge of tax receipts (General Directorate of Taxes – DGI, the Treasury and the customs administration). Three other services are responsible for collecting social security contributions (URSSAF, ASSEDIC and the supplementary pension schemes). Each employer thus has to deal with no fewer than six tax agencies.

The government put forward a plan to reform the tax collection system by 2003. In its original form, the proposed reform would have unified the work of the two agencies, produced a single network of support and information at the service of SMEs, established a single tax authority for the formalities of filing returns and paying taxes due, brought skills up to date and given support to local authorities. It was suspended however in order to allow the personnel concerned to be consulted more closely. The authorities consider that tax collection still needs to be modernised, notably with the aim of creating a one-stop shop for tax formalities. The purpose of the consultations with the personnel is to work out the ways in which this modernisation can be implemented.

The discussions under way are designed to streamline the activities of the DGI and the Treasury. The tradition has been that direct taxes like income tax are collected by the Treasury and the other taxes (like VAT) by the DGI. In the case of income tax, the DGI assesses the amount due by each taxpayer and the Treasury collects it. This division of roles is hard to justify since it inconveniences the taxpayer who has to deal with two parties, and it hampers checking of information by the tax inspection services. In addition, the two agencies have built up computer systems that are incompatible, making crosschecks impossible. The plan under discussion aims eventually to resolve these problems.

* Available on *www.finances.gouv.fr.*

private sector pensions over the long term. On the other hand an attempt by the Prime Minister in 1995-96 (Alain Juppé) to extend this reform to the public sector failed, as did the law introducing a pension fund system (*Loi* Thomas), which was not implemented. The debate was reactivated in 1999 by a series of reports (Charpin, Taddéi and Teulade).[20] As mentioned below, in March 2000, Prime Minister Lionel Jospin proposed an opening of discussions on the future of pensions.

The scale of the debate reflects the importance of this issue for all categories of society, but also the uncertainty inherent in long-term projections and analyses. In addition, it reveals the institutional complexity of the French pensions

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system. The latter can be broken down into three broad categories (Blanchet and Legros, 2000).

- Employees in the private sector (about 68 per cent of the nation's workforce) are covered by a two-pillar system comprising the general scheme (CNAVTS, one of the two branches of Social Security) and the supplementary schemes (ARRCO and AGIRC). Although the social partners manage the system, the State has modified some of its basic aspects on several occasions.
- Employees of government agencies and state-owned enterprises (about 21 per cent of the workforce) are covered by special schemes, most of them more generous than in the private sector. In addition to the major schemes, like those of the State and the SNCF, there are special schemes for small numbers of employees (Paris Opera, Comédie Française).
- Self-employed persons, including farmers, have their own schemes, which cover about 11 per cent of the labour force.

The pension schemes have come under increasing demographic pressure during the past 20 years as a result of longer living and stable workforce numbers. In 1960, there were four contributing employees to one pensioner under the general scheme. By 1997, the ratio was down to 1.5:1 (INSEE, 1999). Demographic projections indicate that these pressures will increase considerably in 2005-10 with the retirement of large cohorts of baby boomers and the concomitant decrease in the labour force as from 2005.[21]

Demographic pressures notwithstanding, the system is generous to pensioners. The purchasing power of pensioners is comparable on average to that of employees (Charpin Report, 1999). On average, pensions are admittedly lower than wage earnings, but pensioners supplement their pensions with property and investment income, have smaller households than wage earners do and are more often home owners. Even so, this relatively enviable position of the average pensioner masks wide disparities. Men receive significantly larger pensions than women do. Retirees who have not contributed over the normal period stipulated by their scheme see their incomes reduced more than proportionately; pensions in the public sector are on average higher than in the private sector (INSEE, 1999), although the replacement ratios are not very different for comparable careers.

The French system is founded on the principle of intergenerational solidarity and is pay-as-you-go. In the event of a demographic shock, other things being equal, PAYG schemes can be kept in balance only by reducing pensions or by increasing contributions. Since contributions already bear down excessively on labour, the first of these two solutions has been chosen in France. To meet present and future demographic pressures, the Balladur Reform of 1993 introduced several important measures for the private sector basic schemes. Pensions were

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index-linked to prices and no longer to wages.[22] Pensions are now calculated on the basis of pay over 25 years instead of 10 years as previously.[23] The minimum period of contribution required for retirement on full pension at age 60 is now 40 years instead of 37½.[24] Private sector supplementary schemes also took steps to modify their rules for calculating pensions in 1995-96.

Large deficits in the long term…

In spite of the Balladur Reform, the long-term outlook for pensions remains difficult. Most reports agree that, on the basis of present potential growth, the long-term financing of pensions would necessitate large increases in contribution rates and steep reductions in earnings replacement ratios, or a significant increase in the length of the period of work. The Charpin Report predicts, in the absence of reform, a pension system deficit of 5 per cent of GDP in 2040 for an unemployment rate of 9 per cent, and a deficit of 4 per cent of GDP at 6 per cent unemployment. To prevent such a development, the report explores the possibility of lengthening the minimum period of contribution to 42½ years for all, public sector employees included. D*e facto* this would put back retirement age to 65, except for low-skilled workers, who enter the labour market very early. The report also explores the possibility of reducing the penalty rates for early retirement in the private sector basic scheme, which are currently at 10 per cent a year. Finally, the report explores the possibility of introducing a reserve fund for the existing schemes.

… and the risk of widening inequalities between pensioners

The Balladur Reform, which applies only to private sector employees, will cause substantial reductions in the replacement ratios for retirees, especially in the case of those who entered the labour market late because of extended studies. This is going to create a gap between the replacement ratios of private and public sector pensions. The contribution period in the private sector is 40 years as opposed to 37½ years in the public sector. Furthermore, private sector pensions are based on earnings over 25 years, while public sector pensions are based on the salary paid during the last six months of employment.[25] The reform proposed by the Juppé government aiming to establish equality of treatment between the public and private sectors had to be abandoned because of the social unrest that occurred in 1996. Ultimately the situation could become highly inequitable and the system highly unpopular. If there is no reform, the finances of the public pension schemes will deteriorate until they are quite out of balance. Given that 45 per cent of the public workforce will be retiring between now and 2010, a reform of the public sector's pension system should be regarded as a priority.

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What reforms for the future?

Proposals to lengthen contribution periods are meeting with strong resistance in France. Deferring the retirement age is seen as liable to cause further unemployment, in an environment where the unemployment rate for the over-50s is already high. France's experience has shown, however, that lowering the average age of retirement has not prevented a steep rise in unemployment. More generally in the OECD area, the correlation between retirement age and unemployment rate is weak.

Postponing the retirement age does not guarantee that employees will continue to work and contribute until that age. In many OECD countries retirement is often preceded by long periods of unemployment or disability (Visco, 1999). For public finance, the consequences of large groups of workers retiring or becoming unemployed or disabled are equivalent. An effective reform must therefore establish economic incentives for workers to defer their retirement age themselves. Here, the net marginal tax rate (*i.e.* the difference between the income and tax situation of a working person and that of a non-working person) is particularly important. A different linkage between the contribution period and the amount of pension is also essential, in order to encourage workers who so wish to work longer. Actuarially neutral systems of calculation could be introduced.

A number of OECD countries have introduced funded pension schemes alongside existing PAYG schemes (Poland, Hungary, Sweden).[26] In France, the authorities have created a national reserve fund, the F*onds* N*ational de* R*éserve des* R*etraites*, to back up the PAYG schemes. This fund is designed to smooth the effects of the imminent demographic shock. It has drawn on several sources under the provisions of the budget laws for 1999 and 2000. An in-depth study (Bismut and El Mekkaoui-de Freitas, 2000) reveals that personal pension arrangements already exist in France. About half the financial assets of households are held in the form of life insurance products that strongly resemble personal pension funds. These products could be adjusted or supplemented to increase personal saving (for instance, saving plans with a maximum duration of more than six years could be introduced).

Furthermore, the industrial assets of the State, the bulk of which are currently invested in stock market securities, are a possible source of long-term financing for pensions. The State's financial wealth now amounts to more than FF 1 000 billion, excluding industrial assets held in the form of industrial and commercial public corporations (like the postal service and the SNCF). Managed rightly, these assets of the State could meet a share of future pension requirements, the authorities undertaking to reserve the portfolio for this purpose. An overall reform of the pension system thus remains necessary.

In March 2000, the authorities set out a series of proposals based on the diagnosis in the Charpin report, for the reform of the pay-as-you go pension

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scheme. They suggested several paths of reform, which will have to be discussed with the social partners and adapted to each scheme. Further to consultations, they proposed the following reforms. For civil servants, one of the solutions suggested is to gradually increase to 40 years, as is the case in the private sector, the period of contributions necessary to qualify for a full pension. In addition, the pensions reserve fund created in 1999 would be augmented in order to "smooth" the effects of the demographic shock; this would make it possible to accumulate reserves while the demographic situation is still favourable and then to use them when it worsens. All told, the reserve fund should exceed FF 1 000 billion (constant francs) in 2020. These proposals form part of a global approach to dealing with the various problems that will arise as a result of population ageing. For the authorities, all these issues require that the consequences of the measures implemented be regularly monitored in the light of economic, social and demographic changes. For this purpose, a pensions advisory council providing a long-term framework for consultations with the social partners has been set up to provide forward analysis, taking account of demographic data and the growth and employment prospects at a given moment.

Towards greater transparency of public finance

Most of the industrialised countries have for some years been making efforts to increase fiscal transparency, as recommended by the IMF[27] and the OECD.[28] In this connection, France has introduced a series of measures and new practices.

- Timetable. Submission of the finance bill to Parliament has been brought forward by two weeks to allow the finance committees more time. The extension period for budget execution, during which the government can conduct operations relating to the previous year, has been shortened from 8 March to 31 January in order to accelerate publication of budget outturns.
- Relations with Parliament and other institutions. A debate on fiscal stance takes place in the spring in order to allow members of parliament to influence the broad policy choices for the year to follow. The Minister for the Economy and Finance presents the budget situation to the finance committees once every two months.
- Presentation of information. Major budgeting changes have been made in order to increase transparency. Sixty-nine *fonds de concours* (extrabudgetary funds) and six special treasury accounts were abolished. Budget aggregates for homogeneous categories of appropriations will make it possible in 2001 to better analyse each ministry's expenditure, and performance indicators will provide a gauge of efficiency.

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– Accounting. In accordance with IMF rules,[29] the Ministry of Economy, Finance and Industry publishes a monthly statement of budget execution,[30] on a cash basis. The latter method of accounting is being phased out in favour of the accruals basis, which will be used in respect of debt and tax revenue in 2001. The debt service cost on inflation-indexed government debt issues[31] is funded year by year, in accordance with international rules. Accounting of the State's physical and financial assets is also being introduced, with improved valuation of equity and real estate holdings and provision for depreciation. Certain contingent liabilities of the State are now appended to the budget, including liabilities in respect of civil service pensions, state guarantees and future charges not entered in the balance sheet.

France has achieved greater fiscal transparency. But further efforts are needed in order to supplement accounting on a cash basis by accounting on an accruals basis, this being the only way to keep accurate track of the government sector's commitments. It might be possible ultimately to introduce quarterly budgetary indicators showing the infra-annual financial situation of general government and not just central government. The fact that the central government and social security budgets are submitted separately to Parliament is also a source of complexity. Separate acts of parliament apply to each, and the large cross flows between State and Social Security are not always clearly specified. Given this complexity, better harmonised documentation showing the cross-flows between the two sectors should be presented. France should also continue to do away with extra-budgetary funds like the *fonds de concours* and the special treasury accounts. If these extra-budgetary transactions were re-budgeted, public finance would gain in transparency and flexibility. Finally, the authorities should continue to abolish the earmarked taxes and quasi-taxes assigned to specific items of expenditure. For example, there is no justification for a compulsory TV licence fee that serves solely to finance publicly owned channels, since they can be financed directly from the State's general budget. These earmarked taxes and quasi-taxes are costly to collect, they make government finance less flexible and they put automatic upward pressure on public expenditure.

Conclusion

The resumption of economic growth has given new buoyancy to tax revenue, the downturn in unemployment has stabilised the cost of employment policy, and lower interest rates are reducing the government debt service burden. But these growth dividends should not be allowed to mask the difficulties inherited from the 1990s. The public deficit is still not quite within the safety zone that would make public finances safe from the impact of a severe economic turndown. Continuing to reduce the deficit at this stage of the cycle would also contribute to

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a more balanced European policy mix and would facilitate the task of the European Central Bank. For all these reasons, public debt should continue to be reduced.

Structural reforms are still also needed in public finance. The reduction in some direct taxes is well under way and should have positive effects on the economy's potential supply. Further cuts should preferably form part of a medium-term strategy of tax reform, and be based on continuing tight control of public spending. In particular, government sector resources should be better defined in terms of the needs of public service users and the performances expected. Mass retirement of civil servants between now and 2010 offers a historic opportunity to change the mode of public workforce management. An overhaul of the pensions system is also essential in order to avoid financial deterioration of the pension schemes in the future and establish a greater degree of equity as between the private and public sector schemes. Finally, now is the time to introduce greater transparency into government finance and budgeting practice.

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III. Structural policies for sustainable growth

The rebound in the French economy seems to have closed the output gap that developed in the first half of the 1990s with the period of restrictive monetary policy in Europe and fiscal consolidation in order to meet the Maastricht Treaty's convergence criteria. As stated in Chapter I, barring major new influences, growth of real GDP should continue in the immediate future and reach 3½ per cent in 2000, slowing to about 3 per cent in 2001. The short-term outlook is thus a favourable one. In addition, since the mid-1990s, French growth has benefited from an increase in capital productivity, which has offset the slowdown of labour productivity (Figure 24). Nevertheless, the potential growth rate to which the economy should eventually converge is still limited for the moment to 2¼-2½ per cent annually. For the first time since the 1980s business surveys reveal doubts by entrepreneurs on their ability to produce more. These indicators have not yet peaked and strains are limited to a few sectors as yet, but they might spread in the near future.

This situation, which shows similarities with the one observed during the late 1980s cycle, suggests that progress still remains to be made to dislodge the obstacles to growth. Structural action therefore needs to be continued energetically and much remains to be done if the authorities' objective of "full employment"[32] is to be achieved. To put it simply, there are four main factors that contribute to medium-term growth: a declining structural rate of unemployment, a buoyant supply of high-quality labour, a business climate favourable to investment, and technical progress such as to permit growth of total factor productivity. This chapter reviews these four factors and examines their contribution to sustainable growth.

Reducing structural unemployment

As the *Jobs Study* noted, in the OECD high structural unemployment impedes an economy's development. The individuals that constitute hardcore unemployment have economic characteristics in common that limit their employability. High structural unemployment therefore reduces the labour supply. Structural unemployment has complex origins and its magnitude is the subject of

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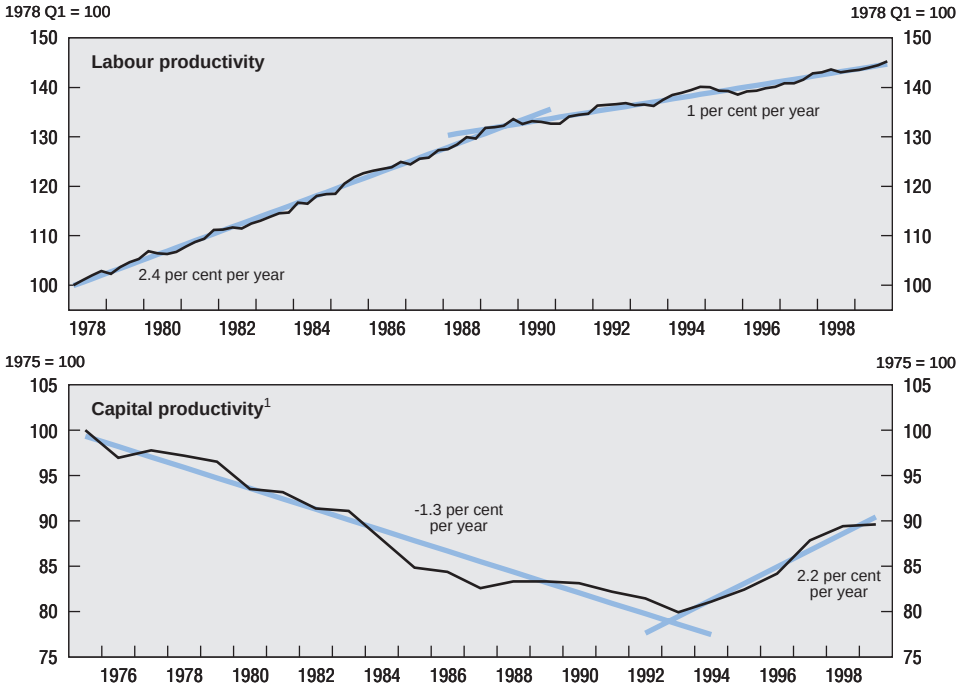
Figure 24. **Trend productivity of production factors**

Business sector



1. Based on capital stock data using national account SEC80.
Source: Ministry of Economy, Finance and Industry.

considerable debate. Nevertheless, it is generally accepted that lack of labour market flexibility is a prime cause, and notably the rigidity of low-skilled labour costs. Empirical studies of capital/labour substitution all agree on the adverse effects of high labour costs on employment. These effects are of widely varying amplitude in the macroeconomic studies concerned with the link between aggregate employment and average labour cost. They are more convergent in microeconomic studies, especially those concerning the link between employment of low-skilled labour and the latter's cost.

In France, for low-skilled labour, the SMIC is a floor below which wages cannot fall, and it is generally considered that the rise in the relative cost of unskilled labour up to the start of the 1990s had a partially adverse effect on

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employment. Not surprisingly, therefore, the French unemployment statistics still reveal large groups of unqualified persons and inexperienced youth, since the cost of labour at SMIC level has long been an impediment to hiring these persons. Other factors also contribute to structural unemployment, notably certain features of the tax and social system. According to recent estimates (Box 7), the non-accelerating inflation rate of unemployment (NAIRU) was about 10 per cent in 1999, after a slight decrease since the early-1990s.

Box 7. The NAIRU

The structural rate of unemployment is central to mainstream economic theories explaining the relationship between the rate of change in inflation and unemployment. In practice, however, the concept is difficult to define and there can be uncertainty concerning its measurement and use in policy analysis. Even so, national administrations and researchers find it useful to estimate the non-accelerating inflation rate of unemployment (hereafter the NAIRU) as an input to key policy analysis. The NAIRU is the rate of unemployment at which inflation stabilises, in the absence of any temporary supply shocks. Thus, if unemployment falls below the NAIRU, inflation will rise until unemployment returns to the NAIRU, at which time inflation will stabilise at a permanently higher level. Hence, in the short term, there may be a trade-off between inflation and unemployment, but in the long run, unemployment depends on essentially structural variables, and inflation is a monetary phenomenon.

Alternative approaches to estimating the NAIRU can be described as structural or reduced-form. A number of recent studies, including those of the OECD, favour a reduced-form approach, which combines a filtering technique with an expectations-augmented Phillips curve. Such an approach does not explain the level of the NAIRU, but provides estimates that are directly related to inflation and can be produced in a timely and consistent fashion across OECD countries. The estimated NAIRU, which is time-varying, is jointly estimated with the Phillips curve without requiring all the supply factors affecting it to be specified explicitly, but rather to be embodied in the NAIRU estimate. Such estimates play a useful role in economic analysis and policy assessments, as a pedagogical device to help explain macro- policy reactions to short-term inflation developments (see Richardson *et al.*, 2000), for measuring potential growth and structural budget balances (Giorno *et al.*, 1995), and for monitoring progress in structural labour/product market reforms (OECD Jobs Study, 1994, 1999). However, the reduced-form approach provides little insight into the factors that determine the future evolution of the NAIRU and the policy actions to reduce it, for which a structural approach would be more adequate.

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Box 7. The NAIRU (*cont.*)

A number of other studies use structural approaches to estimate the NAIRU as the solution of wage and price setting structural relationships. A specific advantage of this approach is that it provides insights into the determinants driving the NAIRU. However, the estimated NAIRU is then closer to the long-run equilibrium unemployment rate concept.* Nevertheless, such studies have provided evidence on the importance of a number of specific variables driving the NAIRU for France. There is agreement about the importance of such variables as the widening fiscal/social tax wedge since the late 1970s and the decline in the productivity growth rate – the two variables most frequently cited – but the magnitude of attributed effects varies between models. Thus, Cotis *et al.* (1997) attribute two-thirds of the rise in the NAIRU to the fiscal/social tax wedge (the remaining third being attributed to the increase in real interest rates, which helps to reduce labour productivity), and L'Horty and Rault (1999) attribute the same two-thirds to both the wedge and labour productivity itself. The terms of trade are generally found to be significant but of minor importance: Artus (2000), Heyer *et al.* (1999) and L'Horty and Rault (1999) attribute at most 5 per cent. Other factors, including the rise of real interest rates, the reduction in working time and the impact of the minimum wage, appear to be less robust.

Table 7 summarises recent NAIRU estimates for France based on both structural and reduced-form approaches. Some common features may be distinguished: for most of the 1990s, estimates have been generally below the observed unemployment rate, lying in the range of 10 to 11 per cent. Estimates based on a Phillips curve approach (Richardson *et al.*, 2000, and Irac,1999) have similar profiles, despite some differences in the specification. Estimates based on a structural approach display greater diversity. For example, the estimates of Artus (2000) and Heyer *et al.* (1999) are significantly below the others. Artus includes temporary supply shocks (such as import prices), together with medium-term variables (trend productivity growth rate), so that the NAIRU concept is not clearly positioned. The estimates by Heyer *et al.* are computed from average values of explanatory variables (capacity utilisation, terms of trade and inflation) over the 1990s, which tends to give the NAIRU a downward bias, given the upward trend in some of them.

* The NAIRU is defined as the equilibrium unemployment rate towards which unemployment converges in the absence of temporary supply shocks, once the dynamic adjustment of inflation is completed. The long-term equilibrium unemployment rate corresponds to a long-term steady state, once the NAIRU has fully adjusted to all supply and policy influences.

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Table 7. **Recent NAIRU estimates**

Author	Estimation method	Specific factors allowed for	Recent NAIRU estimate
Richardson *et al.* (2000)	Reduced form Phillips curve Time-varying NAIRU	Import prices Oil prices	10.1%
IMF (1999)	Not available Time-varying NAIRU	Not available	10%
Artus (2000)	Structural approach Time-varying long-term equilibrium unemployment rate	Labour productivity Import prices	8%
Irac (1999)	Reduced form Phillips curve Time-varying NAIRU	Import prices; non-linear specification tested[1]	10-11%
L'Horty and Rault (1999)	Structural approach Time-varying long-term equilibrium unemployment rate	Hourly productivity Terms of trade Social and fiscal wedge Employment exit rate A measure of skills mismatch	About 12%
Heyer *et al.* (1999)	Structural approach Long-term equilibrium	Capacity utilisation rate Terms of trade Log-linear specification	9.1%
Cotis *et al.* (1997)[2]			
Short-run NAIRU	Structural approach	Fiscal wedge	Short-run: 11%
Long-run NAIRU	Time-varying long-term equilibrium unemployment rate	Productivity measure Capital accumulation	Long run: 10%

1. Such a specification takes into account the possibility of asymmetric effects, or the existence of bottlenecks.
2. According to an update by the "Direction de la Prévision" of the Ministry of the Economy, Finance and Industry, the estimated long-term NAIRU would have declined, in the meantime, to the level of about 9 per cent in 1998.

Source: OECD.

The French authorities regard the SMIC as an essential tool of economic and social policy, since it guarantees every employee an income above the poverty line. But the cost of labour at SMIC level may be a cause of structural unemployment. To attenuate this negative effect, the authorities introduced as of 1993 a sequence of measures to lighten employers' social contributions for low-wage workers. These measures were finally merged into the present system of a degressive rebate on employer contributions. The measure introduced in 1998 provides a maximum amount of contribution relief possible under the rebate system equivalent to 18.2 per cent of the SMIC wage, or 12.4 per cent of labour cost. The rebate is degressive and applicable for wage payments up to 1.3 times the SMIC. It is proportional to the number of hours worked so as not to unduly

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Box 8. Part-time working

The past decade has seen an unprecedented growth of part-time work, which at the beginning of 1999 concerned 17 per cent of employees, compared with 10.8 per cent in 1990. This acceleration in the spread of part-time working is partly due to the strong financial incentive offered to employers by a 30 per cent reduction of their social security contributions. It also stems in a lesser degree from the easing of the legislation on part-time work and the expansion of sectors with a high proportion of part-time work. It also reflects forced part-time working, with four out of ten part-time employees wanting to work more and expressing dissatisfaction with the conditions applying to them: irregular hours, rigid work schedule, non-standard work and insecure status. The changeover to the 35-hour week is calling into question the factors that make part-time work appealing. The second law on this shorter week abolishes the relief on employer contributions for all part-time contracts. The ability of the general reduction in work hours to meet the objective of labour flexibility, notably by way of special phase-in arrangements, will also affect the future development of part-time working (Galtier and L'Horty, 2000).

favour part-time working, to which a separate flat-rate relief applies (Box 8). The budgetary cost of this degressive rebate was about FF 41 billion in 1999. The number of employees concerned is estimated at just over 5 million (Gubian, 2000).

Since January 2000 a new, more generous scale of relief on employers' social contributions for low-wage workers has been introduced for all firms reducing their workweek to 35 hours or their work year to 1 600 hours (Annex I). For those firms, contribution relief now applies to wages in the range of 1 to 1.8 times the SMIC, *i.e.* FF 21 500 a year for the SMIC, declining to FF 4000 for 1.8 times the SMIC (Table 8). Firms, that moved over to the shorter week before January 2000 under the Robien Law or under the first law on the 35-hour week, receive increased relief and are entitled to it for wage payments of up to 1.8 times the SMIC (scaled down by a flat-rate reduction of FF 4 000). Businesses retaining a workweek of more than 35 hours continue to receive the degressive rebate in the wage range of 1 to 1.3 times the SMIC. In terms of the total cost to public finances, this reform represents an amount of FF 25 billion – when all firms have adopted the 35-hour week – over and above the FF 40 billion cost of the degressive rebate. To this must be added another FF 40 billion as the estimated cost of financing the structural relief accompanying the reduction of work hours. The total steady-state cost of employer contribution relief will therefore be FF 105 billion. The authorities consider that the cost will be partly financed by the increased revenue and contributions resulting from the jobs expected to be created, and from the projected reduction in expenditure on unemployment compensation.

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Table 8. **Labour cost reduction**

Impact on labour cost in respect of full-time employees[1]

	Scheme	Pay limit as multiple of SMIC	At SMIC pay			Combinable with part-time deduction
			FF	Per cent of SMIC	Per cent of labour cost	
1993-99	Deduction of 30% for part-time employment	None	608	9.1	6.2	–
1.7.93 to 31.12.94	100% exemption from family allowance contribution between 1 and 1.1 SMIC, 50% between 1.1 and 1.2 SMIC	1.1/1.2	338	5.4	3.7	yes
1.1.95 to 31.8.95	100% exemption from family allowance contribution between 1.1 and 1.2 SMIC, 50% between 1.2 et 1.3 SMIC	1.2/1.3	338	5.4	3.7	yes
1.9.95 to 31.9.96	Same family allowance exemptions plus degressive rebate on social contributions	1.2/1.3	1 138	18.2	12.4	yes
1.10.96 to 31.12.97	Degressive rebate on social contributions	1.3	1 166	18.2	12.4	yes
1.6.96 to 31.12.97	"Textile Plan" degressive rebate	1.5	1 959	29.4	20.1	yes
Since 1.1.97	"Corsica free zone" degressive rebate	2.0	1 500	22.5	15.4	yes
Since 1.1.97	"Road haulage" degressive rebate	1.8	1 212	18.2	12.4	no
Since 1.1.98	Degressive rebate on social contributions	1.3	1 213	18.2	12.4	yes
Since 1.1.2000	Degressive rebate on 35-hour week social contributions	1.8	1 792	26.9	18.3	no

1. Calculations based on SMIC at 1 January 1998.

Source: DARES, Ministry of Employment and Solidarity.

According to the different estimates made with French macroeconomic models, and allowing for the fragility of estimates of the link between employment and labour cost, the degressive relief on low wages will permit the creation of somewhere between 80 000 and 280 000 additional jobs by the end of five years.[33] The government estimates that at least 200 000 jobs will already have been created or preserved by end-1999 as a result of contribution relief, and the number of additional job creations that can be expected from this arrangement will probably be small, about 50 000. The unskilled/skilled wage cost ratio, after rising continuously since the mid-1980s,[34] was significantly reduced by the introduction of employer contribution relief on low wages,[35] and the share of unskilled labour in total employment has stabilised since 1993. However, contribution relief measures represent a very high *ex ante* cost and the financing of them in the medium-term has not been fully identified. So they will probably not suffice to bring structural unemployment down further.[36]

Preliminary assessment of the first work-time reduction agreements (signed before September 1999) suggests that they seem to have been implemented in conditions that were conducive to employment and that they did not affect unit wage costs. Net job creation in firms that switched to the 35-hour week amounts to 7 per cent, which is consistent with an assumption of hourly productivity gains of a third. Moreover, the combination of state assistance and wage moderation observed in the firms that signed these agreements (involving commitments to freeze real wages for an average period of two years) has made it possible to offset the rise in unit costs. The productivity gains obtained by firms in exchange for reducing working time are significant and have been facilitated by increased recourse to flexible working hours and annualised work time. However, this preliminary assessment is based on the provisions of the first Aubry Law, which links state assistance to the creation of a minimum number of jobs. It cannot thus be extrapolated to the second Aubry Law, which does not contain such a requirement.

Greater labour market flexibility is necessary to further reduce structural unemployment. The two phases of recession during the past twenty years (the early 1980s and the period from 1991 to 1993) were marked by massive job cuts in industry. For industrial employees made redundant the results were long periods of being out of work, followed by loss of skills, increasing isolation and, in some cases, exclusion from society. Employers did not want to take the risk of hiring persons who had been out of work for a long time. Today it is easier to find work and regain lost skills. It is now possible to re-enter the labour market by way of temporary work, fixed-term contracts or part-time employment. Thanks to additional labour market flexibility, the long-term unemployed will thus probably be able to regain their skills and to find a lasting job again more easily. But these first improvements are fragile and need to be consolidated by the introduction of new forms of flexibility. It is also important not to reduce the existing possibilities of labour market flexibility, especially now that recruitment difficulties are beginning to emerge in some

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sectors. This notwithstanding, the government is envisaging measures to combat "precarious" employment, notably by lengthening the statutory waiting period between expiry of a fixed-term contract and the issue of another for the same job.

Increasing the labour supply

Labour force participation has tended to decline in France in the past. Despite buoyant population growth, the nation's workforce is increasing only slowly. The cause can be found in long-established measures to lengthen compulsory schooling and to reduce the labour supply by early retirement schemes, leading to an effective retirement age lower than in several other OECD countries. The decline in participation rates of youth and older persons has been more marked in France than in the other major European countries during the past decades, and French employment ratios are now very low by OECD area standards (Figure 25).

Limiting early retirement

Early retirement has been largely responsible for the decline in participation rates for older persons. To reverse this trend the government undertook, in the context of the 1999 national plan of action for employment, to encourage "active ageing" by reining back early retirement arrangements or targeting them at employees having worked in arduous jobs. Thus the number of early retirees under state-subsidised schemes has decreased significantly as entitlement has been reduced. However, this decrease has been counterbalanced by the maturation of the employment replacement allowance scheme ARPE,[37] financed by UNEDIC (National Unemployment Insurance Fund). In 1999 the ARPE was extended to employees having commenced work at the age of 14 or 15. The scheme's future is being put in doubt by the representatives of employers' organisations on the board of UNEDIC, who complain of its cost and negative impact on the activity of older workers. A new early retirement scheme introduced this year targets employees having worked under difficult conditions (line production work for 15 years, night work) and will rejuvenate the age structure of staff in the companies concerned. The employers' contribution will be at least 50 per cent (twice as high as the level of contribution to the existing allowances), and the State's aid, conditional on a work-week of 35 hours or under, and the signature of a company-level agreement will vary according to the age at which the employee takes early retirement.[38] As many as some 260 000 employees could be covered by this scheme in five years from now. The cost to the State could be about FF 20 billion phased over ten years. Motor vehicle makers PSA and Renault have already scheduled respectively 10 500 and 12 500 early retirements by 2005, with aid amounting to an estimated FF 4 billion. France now has six early retirement programmes, some of which are very costly. It is thus important that pre-retirement schemes do not result in the future in withdrawals of skilled workers from the labour market.

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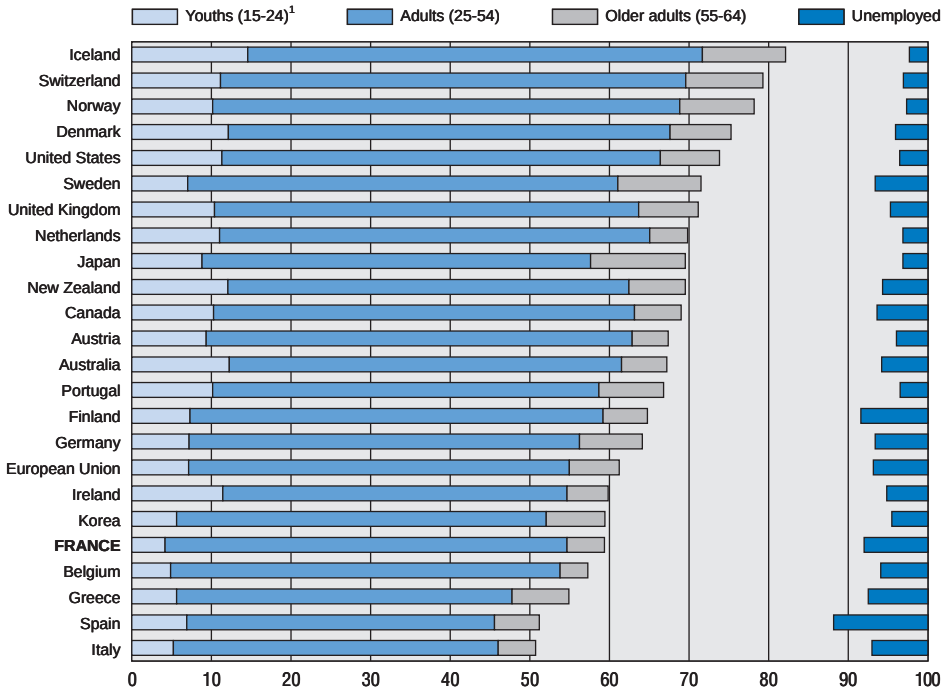
Figure 25. **Employment rates in the OECD area**
In per cent of total working-age population, 1998



1. 16 and not 15 for Norway, Spain, Sweden, the United Kingdom and the United States.
Source: OECD (1999), *Labour Force Statistics, 1978-1998*, Part III.

Limiting the effects of poverty and unemployment traps

To combat social exclusion, France has eight basic income support schemes, which covered 6 million people in 1999. Three of these schemes (RMI, ASS and API) as well as the APE could discourage labour market re-entry although the RMI and ASS can, under certain conditions, continue to be paid temporarily after the person has got back into work. In such cases, loss of income support on return to work may lead to higher net marginal rates of tax. Furthermore, the introduction of universal health insurance (CMU) in January 2000 seems likely to accentuate the poverty trap, since it guarantees free medical cover to persons with low incomes. Laroque and Salanié (1999) have tried to measure voluntary non-employment, that is non-employment resulting from an insufficient incentive to work relative to an income received as a non-employed person. They estimate that 57 per cent of non-employed persons (job seekers and non-job seekers) are

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in this situation. Moreover, according to Afsa and Guillemot (1999), one-third of former RMI recipients who have found jobs do not believe that their financial situation has improved. The move from non-employment to part-time work at the SMIC wage may produce only a very small gain, or even a loss for a lone parent or a single person. A study by Afsa (1999) has shown that the extension of the parents' education allowance to the second child in 1994 resulted in the withdrawal of some 120 000 working mothers from the labour market.

It is admittedly difficult to gauge the extent to which net tax rates affect the supply of low-skilled labour. Bourguignon and Bureau (1999) note the absence of any precise estimate of the number of persons for whom the marginal tax rate is a deterrent to labour market entry (unemployment trap) and the necessity of relying on figures showing entries into and exits from income support schemes. The biases introduced by selectivity are often at the heart of the methodological problems inherent in this kind of study. Nevertheless, from an in-depth analysis of the system of taxation and transfer payments applied to a representative sample of the low-income segment of the French population, Laroque and Salanié (2000) concluded that the financial incentive to take a job at SMIC pay is small for many unemployed and non-working persons. As mentioned in Chapter II, the authorities have prepared a reform of certain taxes that may discourage people from returning to work.

Making work time more flexible

Reduction of work time is, along with employer contribution relief, one of the instruments used by the authorities to try to boost job growth. Two laws on shorter hours (35-hour week) were adopted by Parliament and the new system entered into effect on 1 February 2000. A large number of firms anticipated the adoption of the second law and shortened their hours in compliance with the first. By end-March 2000, nearly two years after the first law was promulgated, 28 000 firms had signed agreements to reduce hours for over 3 million employees (one-third of the total employees concerned), of whom 60 000 in public corporations not eligible for state assistance. Additionally, 132 industry-wide agreements covering a potential workforce of 10 million had been approved or were being examined by the authorities. As a result of these agreements, the relative stability of work hours since 1982, when the statutory working week was shortened from 40 to 39 hours, has been broken (Figure 26). The downturn observed since 1998 is due chiefly to the Robien Law and the early changeover to 35 hours by firms receiving generous financial assistance from the State. The average workweek for full-time employees[39] has shortened progressively since 1996 and stood at about 37 hours at end-March 2000, a reduction of 3.6 per cent over a year. Up to now, the number of hours worked weekly has declined faster in services and industry than in construction, and most steeply in the automotive and energy industries, business services and real estate activities.

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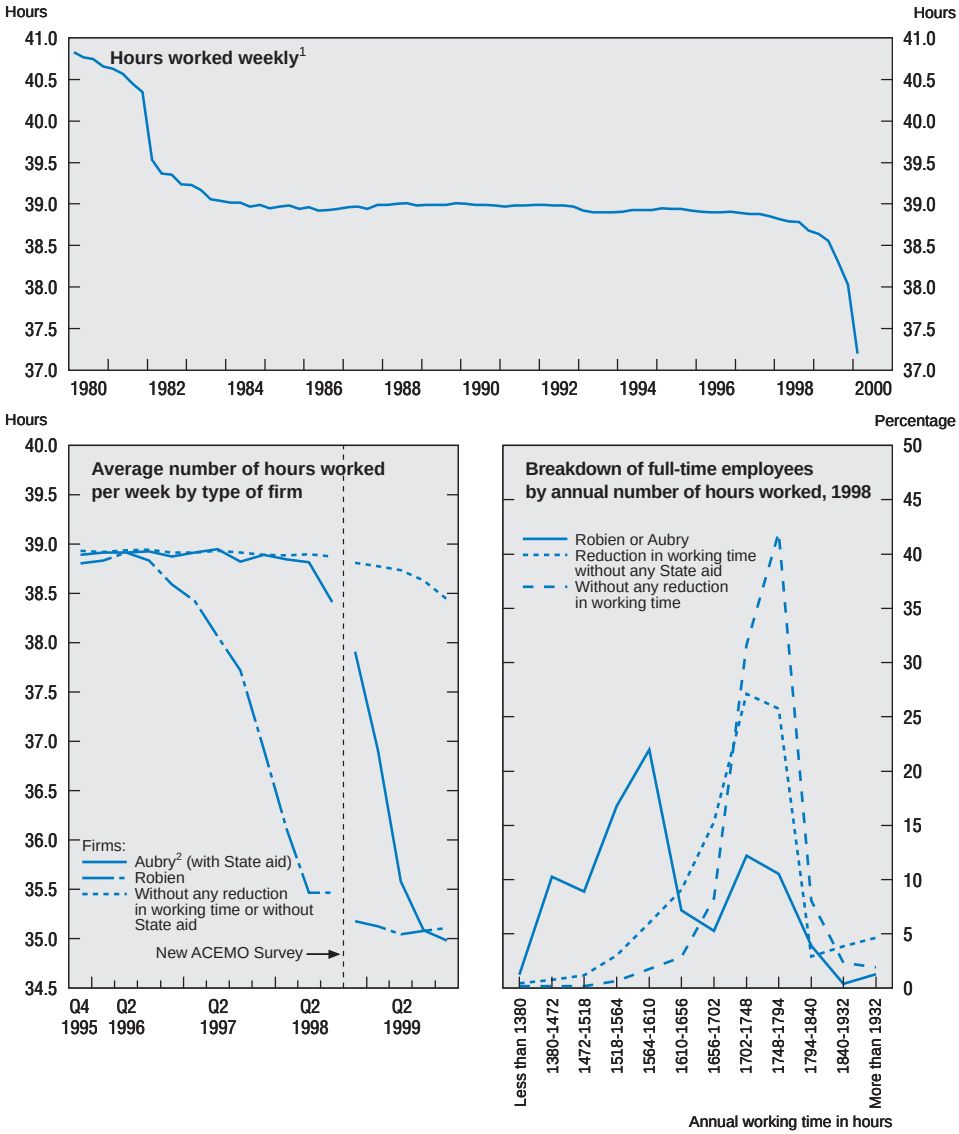
Figure 26. **Hours worked**
End of quarter



1. Total of non-agricultural market sectors.
2. Firms whose "pacts" were signed between June 1998 and June 1999.

Source: Ministry of Employment and Solidarity, DARES, Working paper: *Premières évaluations quantitatives des réductions collectives du temps de travail.*

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The law set the statutory working week at 35 hours on 1 January 2000 for enterprises with more than 20 employees and on 1 January 2002 for smaller businesses. Provision was made for an interim system lasting one year in order to finalise overtime rates and another lasting two years to fix overtime quotas. By contrast with the first law, state assistance is not conditional on a minimum rate of work time reduction or on a set percentage of job preservation or creation. Monthly pay of the SMIC earner is maintained despite the changeover to 35 hours, through payment of a wage supplement to make up the difference. This wage supplement is scheduled to disappear by 2005 as a result of the adoption of different indexation rules for the hourly SMIC and the monthly SMIC (Annex I).

At the microeconomic level, the impact of the shorter workweek on employment appears to vary widely across enterprises, as indicated by the CSA-DARES survey of a hundred or so employers. The Ministry for Employment has recorded the job creation or maintained commitments written into the agreements concluded to date, which amounted to 180 000 at end-March 2000. These figures must be treated with caution. Taking account of workforce developments if work time had not been shortened, the DARES reckons that about 70 000 jobs in the market sector were created as a result of the Aubry and Robien Laws between mid-1997 and mid-1999. However, the jobs created may not prove sustainable if firms are not ensured of economic equilibrium in the long term.

The previous *Survey* pointed out that the implementation of this law poses certain problems and involves several kinds of risks. True, the law provides for calibrated state assistance to cover about one-third on average of the additional wage cost resulting from the 35-hour week. However, the financing of the additional cost will require productivity gains and wage moderation, the achievement of which is still uncertain. Also, for firms that have not yet gone over to the 35-hour week, the overtime for hours worked between the 35th and 39th hours is pushing up unit labour costs. Also, there is a real risk that certain firms will resort to capital/labour substitution, relocate a share of their production, or close down their least profitable lines of activity. Cases of indivisibility may make it more difficult to implement the reduction of working time for small teams and SMEs. Businesses with fewer than 20 employees have little scope for hiring or reorganising their work, and the 35-hour week may well result in lower output or higher cost, although specific provisions for these firms are planned to lessen the difficulties (Annex I). The opportunities for trade-off between overtime hours and hiring of jobless persons are limited because of skill mismatch.

A number of other questions arise. For some management personnel, the law now allows time worked to be annualised in days without reference to the number of hours worked in the week. Even though they must still have a minimum 13 hours rest per day, their workload nevertheless needs to be redefined. Considerable flexibility must be allowed and support given to help management staff to

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reorganise themselves in such a way as to guarantee a reasonable workload. The dividing line between training workers and adapting their skills has not been clearly marked, and the social partners will have to decide which type of training will be included in work hours and which will be counted as free time. For temporary workers, application of the new law depends on the system applying in each of the firms employing such staff. In the case of short temporary assignments, even though an agreement for the temp industry has been signed, it would seem complicated to enforce the law with respect to annualisation of work time, overtime and time off in compensation. Finally, the quota prescribed for overtime is liable to cause problems during cyclical upswings. In the present period of strongly accelerating growth, the risk of bottlenecks in certain sectors may increase. In the building industry, workers have to put in shorter hours just when activity is picking up.

To finance the 35-hour week a complex package has been put together.[40] The relief given to employers will supposedly be offset by the proceeds from an environmental tax (general tax on polluting activities payable by specialised firms), a tax on corporate profits (*contribution sociale sur les bénéfices des sociétés*) of firms with a turnover of more than FF 50 million, and alcohol and tobacco duties.

As regards the public service, the government has undertaken to introduce the 35-hour week for its approximately 4.8 million employees by 1 January 2002 at the latest. However, for want of an umbrella agreement, owing to the breakdown of negotiations between the government and the trade unions in February 2000, there will have to be decentralised negotiations in each sector of government. To reduce differentials in work time across sectors, the government could propose a basic set of regulations for all public servants (1 600 hours annually and an average of 35 hours weekly).

Enhancing the skills of employees

Policies that encourage employees to continue training can make a powerful contribution to sustainable economic growth. Given the present constraints on French public finances, a financial input from the private sector is necessary if the objective of lifelong training is to be achieved. From the data available it appears that employee training brings substantial advantages to employers in terms of higher productivity, and to employees in terms of higher pay and less risk of unemployment (OECD*b*, 1999). This, too, makes a case for a major contribution from employers and private individuals towards the direct and indirect costs of adult education and training.

In France continued training is very widespread: each year 30 per cent of all employees receive training financed by their employers. Expenditure on continued training has risen much more rapidly than expenditure on initial

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training, a reflection of the increased use of funds for training of employees and unemployed persons. But this rapid increase in the quantity of training provided has not reduced the marked inequalities of access to further education and training. Resource differentials between apprentice training centres, for example, can be as wide as a ratio of twenty to one.[41] In 1998 nearly one executive in two received employer-financed training, as compared with one skilled worker in five. For an unskilled worker, the rate is less than one in ten. Training supply increases commensurately with the size of the firm.

Most employer-financed training is of short duration and generally without award of a credential, being intended more to adjust employees to new conditions of work than to further their careers. It is more a supplement to initial vocational training than a substitute. Low achievers on leaving school, far from getting a second chance, still find it difficult to get initial vocational training. Employees who are already qualified are considered better able to turn training investment to account.

The coexistence of hiring difficulties and high unemployment would suggest that the education system, especially the school system, is mismatched to present needs. Only 15 per cent of annual hirings are of school leavers. A significant percentage of school leavers go through a long period of being outside the labour market or unemployed before finding a job. The international comparisons available suggest that efforts should focus more on the school system than on vocational training. The economic cost of training an adult is much higher than that of educating a very young person. An improvement of vocational training is admittedly necessary, but it would be more effective to act at the level of school and higher education systems. A satisfactory standard of general education for youth must therefore be sought above all else.

Fostering an entrepreneurial climate

The strains at this stage of the cycle can also be explained by the unfavourable trend of investment for the past ten years and by the weakness of business creation. Corporate investment fell behind in the 1990s, resulting in an ageing of the capital stock. Admittedly, the low growth of the capital stock was offset by the increase in apparent capital productivity, itself made possible by the increased duration of capital utilisation. But the duration of capital utilisation cannot be extended infinitely. It is thus important to put in place the conditions for a sustainable recovery of investment and business creation. A number of macroeconomic factors enter into investment decisions, such as interest rates, market prospects, and the level of self-financing. But structural factors like the entrepreneurial climate and market deregulation are just as important, especially for the emergence of innovative small firms.

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Facilitating the creation of small businesses

Although current growth is rich in jobs, for the moment it is quite poor in business creation. As the new information and communications economy shows, small firms are essential, since their turnover and number of employees can rise spectacularly, notably during the initial start-up phase. An important factor for the emergence of small businesses is the entrepreneurial climate. In France, the environment for small firms is encumbered by a plethora of regulations (Figure 27), primarily due to the complexity of administrative procedures and the large amount of red-tape during the start-up phase, which constitute major impediments to business activity. As the 1997 *Survey* noted, the legal and administrative formalities which have to be completed to start a firm are time-consuming: on average, it takes about 15 weeks to register a company. The total number of formalities that have to be completed is much higher than in other countries on account of the large number of interlocutors that have to be gone through. Once registered, a further 10 to 21 administrative obstacles have to be overcome depending on the type of company, compared with a maximum of 8 in Germany, 13 in Japan, 4 in the United Kingdom and 2 in the United States. In addition, there is no systematic procedure for informing budding entrepreneurs about new regulations.

The government's policy of simplifying legislation and reducing administrative formalities, as implemented in the 1999 Finance Act and by the package of 37 simplification measures for SMEs (see the 1999 *Survey* for a description), is being continued in 2000 with a further wave of taxes being scrapped at an estimated cost to the State of FF 700 million. The main measures include exemption from the flat-rate duty of FF 1 500 on new companies, exemption from registration and stamp duty for the re-denomination of the capital of SMEs in euros, easing of the VAT reporting obligations for SMEs operating under the simplified regime, and gradual abolition of the lease tax. The 2000 Finance Act continues the tax reductions designed to facilitate transfers of businesses, with, in particular, a reduction in transfer taxes on disposals of businesses and goodwill and partial exemption from inheritance taxes. Lastly, in April 2000 the authorities announced a new set of measures to facilitate starting a business, in particular the abolition of the remaining taxes on registration formalities, the possibility of deferring the taxation of capital gains, which have been ploughed back into SMEs less than 15 years old, a reduction of FF 10 000 in the capital needed to set up a business, and the creation of an Internet portal on starting a business, from which all the necessary forms can be downloaded. The government has also asked the UNEDIC to cover new entrepreneurs against the risk of unemployment. Additional targeted financial assistance is also planned, in particular the extension of the aid for business creation programme (EDEN), based on the principle of reimbursable advances and more back-up for those starting or taking over a business.

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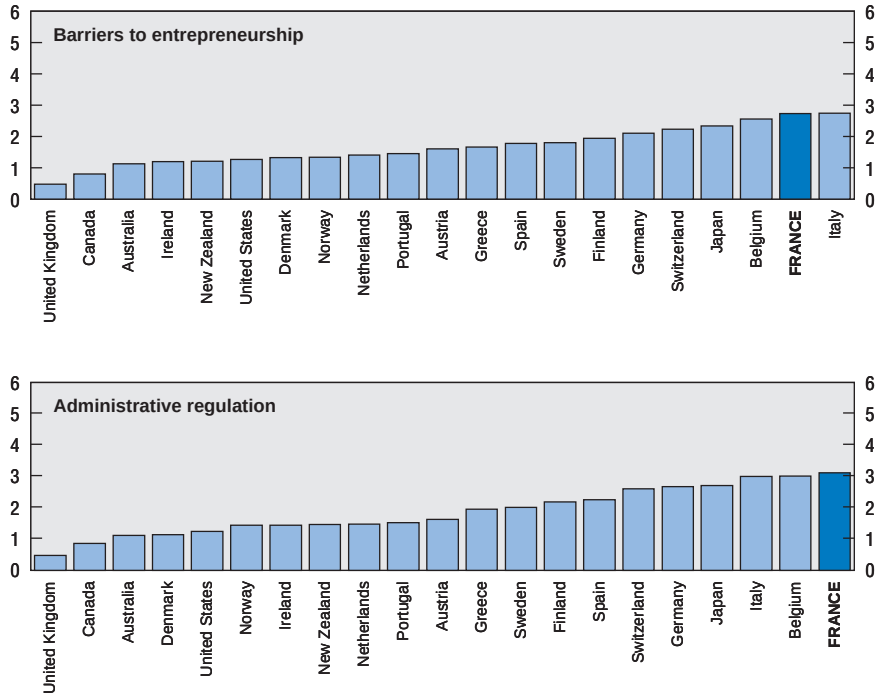
Figure 27. **Regulatory indicators**[1]



1. The scale of indicators is 0-6, from the least to the most restrictive.
Source: OECD, *Economic Outlook*, No. 66.

These laudable efforts will help to reduce the excessive burden of administrative and fiscal constraints that hamper entrepreneurship but it is still too early to gauge the effects on the administrative burden that firms have to bear. The steady decline in business creation since 1994 seems to have halted, with a slight pick-up in the rate of new businesses created from scratch, of 2.1 per cent in 1999. The number of new businesses created in 1999 was, however, still less than that in the mid-1990s.

At the same time, public attitudes to entrepreneurship have changed. While starting a business is still considered a risky venture, 20 per cent of people questioned think that it is easier now than a few years ago, mainly because access to finance is easier and the economic climate is brighter. Furthermore, a growing number of French people aspire to be entrepreneurs. In 1992, 6 million people

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were attracted by the idea of starting their own business; today 13 million say they would like to, and 24 per cent say they intend to do so in less than two years' time. This pool of potential entrepreneurs, estimated at 700 000 in 1992 and 1.2 million in 1998, totals 3 million in 2000.[42]

The high rate of tax on high incomes is however a factor that discourages entrepreneurship. France's tax rates on high incomes are among the highest in the world, to which have to be added high social contributions,[43] a wealth tax and high capital gains taxes. The capital gains tax on stock options is also dissuasive. It is thus not surprising that enterprising and innovative people have left for countries with lower taxes. Admittedly, there are income and tax deductions but these measures have had only a marginal impact and introduced all sorts of distortions in agents' decisions. Taxes on high incomes thus need to be reformed. In an environment of tax competition, France can no longer afford to maintain such high tax rates. Taxation must remain progressive but without penalising effort and innovation. Average tax rates need to be reduced significantly. The income brackets of the personal income tax schedule also need to be revamped because as they are adjusted in line with inflation and not with incomes, this means that the tax burden increases every year. For these reforms to be politically acceptable, they could be accompanied by the abolition of certain tax deductions and reliefs, in particular those that create distortions.

The authorities have prepared a reform of the taxation of stock options in order to make it more progressive and to increase the incentive to hold shares.[44] In France, stock options have become widespread in large companies and start-ups, where they are used as a way to motivate business executives and senior managers. During the last five years, when stock markets sharply increased around the world, some share prices have increased by 5 or 10 times, hence the attractiveness of stock options. According to a recent survey by the magazine "L'Expansion" (which was quoted in the official "Rapport sur l'Épargne Salariale", submitted to the Prime Minister in January 2000), 28 000 French business executives and senior managers have received stock options.

Capital gains on the acquisition of stock options were until recently taxed at the single rate of 40 per cent (provided that the minimum waiting period is respected). It has been argued that this tax rate should be lowered toward the tax rate on ordinary capital gains (26 per cent), so that it would not induce the expatriation of dynamic business executives. It has also been argued, in contrast, that this tax rate should be raised toward the top personal income tax rate for equity purposes. The authorities have chosen a solution midway between these two proposals. They have decided to increase the taxation of large capital gains, while at the same time reducing it for more modest capital gains, and to lower it when shares are held for more than two years. Furthermore, the minimum waiting period would be reduced from five to four years. Thus, the tax rate on capital gains on the

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acquisition of shares, exceeding FF 1 million will be increased from 40 to 50 per cent, unless shares are held during two years, in which case they will still be taxed at 40 per cent. Capital gains of less than FF 1 million will still be taxed at 40 per cent, unless shares are kept during two years, in which case they will be taxed like ordinary capital gains, that is, at 26 per cent. Altogether, the authorities' proposal lowers the tax rate on stock options only in a few specific cases.

For newly created businesses, however, a more favourable system prevails. This system was created under the 1998 budget law and modified in 1999 in order to encourage enterprise creation, especially innovative enterprises. Non-publicly-traded businesses, created since less than 15 years, and fulfilling certain conditions, may offer to their staff "enterprise creator share certificates" at a price established once and for all at the time they are distributed, which gives the right to buy a share of the firm. Capital gains realised on these certificates are taxed at the ordinary rate of 26 per cent when the certificate holder owns at least 25 per cent of the business. The authorities are considering how to extend and to perpetuate this system, which initially was only for a limited period.

Open up markets for a more productive economy

Opening of the electricity market a minima…

Overall, product markets are still more regulated in France than in the rest of the OECD, reflecting the low degree of exposure to competition of public monopolies like electricity, natural gas and rail transport. Although it should be interpreted with caution, the overall indicator of product market regulation calculated by the OECD[45] shows that the degree of regulation is high by international standards. The situation is similar in Norway, Greece and Italy but the regulatory environment is much less restrictive in the United Kingdom and Ireland. By creating a reliable and stable environment, regulation is essential for the proper functioning of markets; for example, it lays downs ground rules for corporate behaviour. It is also important for promoting objectives such as consumer protection, safety, the environment and public health. That said, some regulations have become excessive, impeding market mechanisms and competition, and perhaps affecting resource allocation and economic efficiency.

As regards the opening-up of the electricity sector to competition, France has incorporated the European directive into French law but with a year's delay on the commitments entered into *vis-à-vis* its European partners. The law on the modernisation and development of the public electricity service (see the 1999 *Survey*) was passed by Parliament on 1 January 2000. It limits the opening-up of the market to the thresholds fixed by the European directive. Since February 2000, about 28 per cent of domestic consumption have been open to competition, and from February 2003, about 31 per cent should be. The purchasing of electricity

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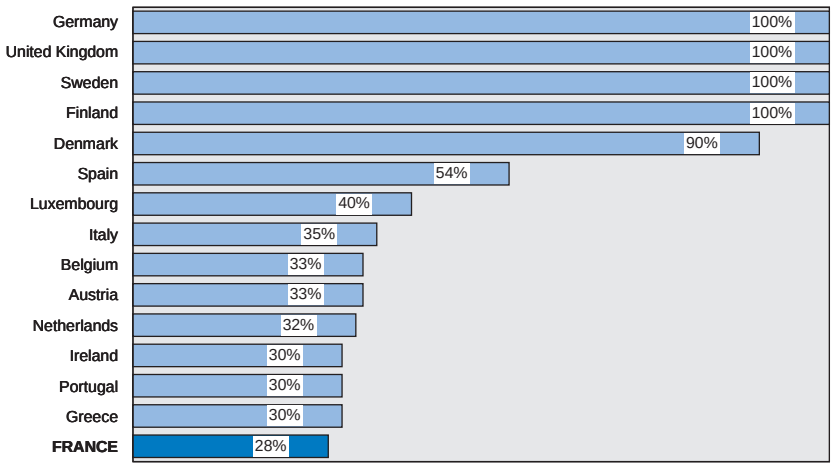
for resale will be limited to swaps needed to supplement producers' supply (Figure 28). The electricity regulator (CRE) will be principally responsible for ensuring non-discriminatory, transparent access and the development of public transmission and distribution networks, and in ensuring that there is no cross-subsidisation. In order to prevent cross-subsidisation and the competitive distortions that could result from the dominant position retained by EDF for electricity supply, these activities must be kept separate for accounting purposes, the transmission network must be placed under independent management, and activities complementary to electricity supply must be transferred to subsidiaries. The EDF continued to reduce its debt a steady rate while grasping the opportunities for expansion at the international level. Thus, in December 1998, it bought London Electricity and became the reference shareholder in EnBW in Germany.[46] Electricity tariffs were cut by 1.4 per cent on average in current francs in 2000, bringing to 10 per cent the overall reduction over the period 1997-2000.

… and gradual deregulation of the telecommunications sector…

The telecommunications sector has been opening up very gradually to competition in the past two years. New operators, 28 all told, currently share the market segments in local calls, long-distance and international calls. As advised

Figure 28. **Openness of the electricity network in 2000**



Source: European Commission.

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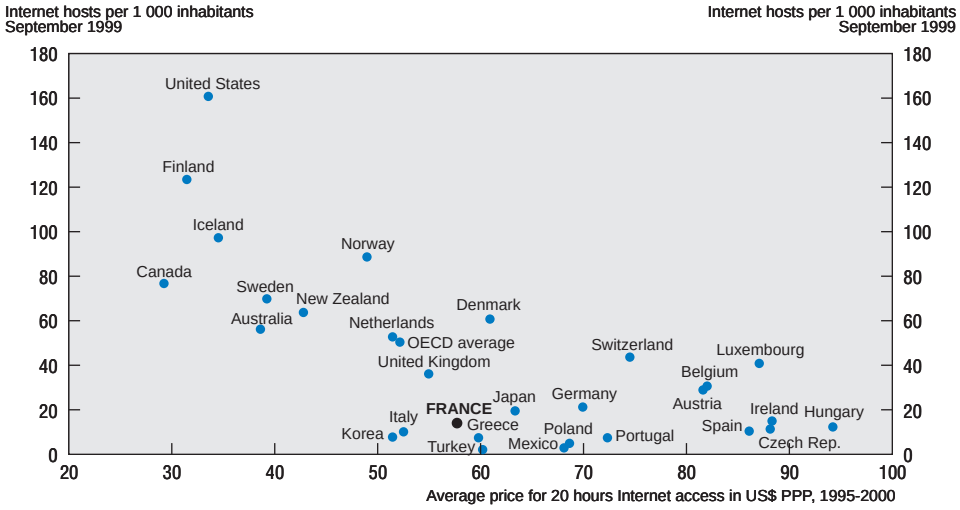
by the regulation authority and the European Commission, the opening-up to competition of local calls is essential to continue liberalising this sector. Indeed, the unbundling of local loops would allow private operators to use the final portion of France Télécom's network to develop and offer their own services to customers. It is necessary that shared access to local loops be proposed on a non-discriminatory basis to favour the emergence of a competitive market, in particular for high-speed technology. Unbundled local loops should be accessible for all European Member countries in January 2001. Germany, Italy, the Netherlands, Austria and Denmark are already benefiting from such access. It would therefore be desirable that the French authorities take measures in this direction. However, France Télécom's share of the fixed network was still 80 per cent in 1999.[47] In the past few years, the structure of telephone tariffs was modified, with an increase in the fixed charge being offset by a reduction in the cost of calls. Between 1996 and 1999, the reduction in the price of the consumption basket[48] for business subscribers was about 22 per cent, compared with only 6 per cent for residential subscribers. The price of households' telephone consumption basket rose nonetheless in 1999 due to an increase in the fixed charge.

Despite recent progression, Internet use in France is still limited to a minority in comparison with the United States, the United Kingdom and Canada. Higher access prices for Internet than on average for OECD economies has contributed in the past to slow the development of Internet in France (Figure 29),

Figure 29. **Internet access costs and Internet hosts**



Note: Data on hosts for Luxembourg is from mid-1999. Internet access costs include VAT.
Source: OECD (www.oecd.dsti/sti/it/cm) and Telecordia Technologies (www.netsizer.com).

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reflecting in part France Télécom's monopoly on local calls. Moreover, the proportion of Internet host computers for 1 000 inhabitants has not risen as rapidly in France as in most other countries. In January 2000, France ranked 18th in terms of Internet host penetration, well below the United States, Canada, the United Kingdom and Nordic countries (OECD, 2000). In the short term, France would therefore receive limited benefits from the development of electronic commerce.

In the field of mobile telephones, France is below the OECD average in terms of penetration (number of subscribers per 1 000 inhabitants) despite the steady increase in the number of subscribers since 1998 (at the end of January 2000, there were nearly 22 million). The mobile telephone market should continue to expand but at a rate that will not allow France to catch up with Italy, the United States and Japan. According to the telecommunications regulatory authority (ART), the mobile telephone penetration rate will rise to 50 cent by the end of 2002 compared with 37 per cent now. As regards the allocation process for UMTS (Universal Mobile Telecommunications System) licences for third-generation mobile phones, the French government has not yet made a final choice between organising an auction (like the United Kingdom and Germany) and granting licenses based on a comparative review of submissions. This latter type of license allocation is not as transparent as an auction. Furthermore, it is clear that the comparative review procedure may generate much less revenue than the auction procedure, which will yield the equivalent of more than FF 250 billion for the British treasury. Overall, it is necessary that calls for tender be framed in such a way as to promote transparent and open procedures. Moreover, it is essential that the tariffication process be aligned with other OECD countries.

Important measures have still to be taken in other sectors

The incorporation into French law of the Community directive on increasing competition in the European natural gas market will also be late; it is unlikely that a definitive text will be adopted before 2001. In 1998, the EU countries undertook to put an end to existing gas monopolies by August 2000. As from that date, customers consuming more than 25 million cubic metres of gas per year per site will be able to obtain gas directly from producers. The government has launched wide-ranging consultations on the organisation of the gas sector but the nature of the regulatory authority, and whether or not it should oversee both the gas and electricity sectors, as well as the definitive conditions governing third-party access to the transmission network, will be decided in the context of the Act incorporating the Community directive. Temporary access to the network will, however, be available as from August 2000.

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The environment in which the post service operates is changing rapidly. With a consolidated turnover of over FF 100 billion and more than 300 000 employees, the Post is one of the country's biggest undertakings. The development of information and communications technologies, the gradual construction of the single European market and transformations in the financial system will have a major impact on its activities. Furthermore, the financing of its retirement pensions remains uncertain. With more than half of its turnover earned in the competitive sector, the opening of the postal sector to competition continued with the incorporation of the 1999 Community Directive into French law. Thus, its exclusive rights to collect, sort, transport and distribute parcels is now limited to parcels under 350 grams. Further stages of liberalisation are planned by 2003, with the European Commission set to propose the opening of the mailing market and the completion of the liberalisation of cross-border flows.

The competition authority should be strengthened

Recent work by the OECD showed that the legal arsenal and means of detection and prevention of anti-competitive practices and of shaping competition policy available to foreign competition authorities are often more extensive than those of the French Competition Council and the General Directorate for Competition, Consumer Affairs and the Repression of Fraud. Modernisation of French competition regulation has been modest and there are still sectors of the economy that are not regulated by the competition authorities. Thus, the law on business concentration does not apply to the audio-visual or banking sectors. The lack of mandatory notification of projected concentrations is not conducive to the transparency of decisions. The work of the OECD would suggest that the French system is generally less dissuasive than those found in other countries. Furthermore, it is very difficult for a foreign authority, even a European one, to obtain confidential information. It seems essential to modernise competition regulation so as to be able to combat anti-competitive practices effectively and to safeguard economic efficiency. The Act on new economic regulations contains measures to increase the Competition Council's resources and make it more effective. It introduces mandatory notification of concentrations, lays down the principles governing the transmission of confidential data to foreign authorities and paves the way for an increase in the Council's resources. In particular, clear procedures will be put in place to speed up the handling of cases, and to allow the Council to reach a decision – either to decide that there is no case to answer or to reject referral, or to dismiss or shelve the case. It is also planned to use experts to improve the sectoral information in the reports and that available to the Council. It is planned to grant immunity to enterprises that inform the authorities about collusion to which they were party. Allowing the Council, after it has informed the Ministry of Economy, to co-operate with its foreign counterparts subject to reciprocity, should facilitate the transmission of confidential information.

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Privatise in order to unleash business development

Privatisation and capital-opening operations have slowed…

Since the last *Survey*, the number of capital-opening operations has slowed (Table 9). However, gross privatisation receipts still amounted to FF 50 billion in 1999, as in 1998 and 1997. The opening-up of the capital of Air France in February 1999 brought in some FF 4.6 billion. The company's employees took up the offering on a massive scale since they now hold more than 10 per cent of its

Table 9. **Public enterprises and bodies**
March 2000

	Main activity	Residual State holding[2]	Value of State holding, excluding reserve for distribution of free shares,[3] FF million
Enterprises with State-owned holdings listed on the stock exchange			
Renault	Auto-making	44	29 068
Bull[1]	Computers	17	2 083
France Télécom	Telecommunications	63	720 481
Air France	Transport	64	11 697
Aérospatiale-Matra	Aerospace	48 of which 20 *via* Sogepa	25 295
Crédit Lyonnais	Banking	13	7 860
Thomson CSF	Electronics	33	16 546
Thomson Multimedia	Electronics	52	58 535
Caisse nationale de prévoyance[1]	Insurance	2	518
Altadis		2.5	
Other public enterprises and bodies			
EDF	Electricity	100	
La Poste	Posts	100	
SNCF	Transport	100	
RATP	Transport	100	
Commissariat à l'énergie atomique	Research and development	100	
GIAT Industries	Machinery and equipment	100	
SNECMA	Manufacture of other transport equipment	100	
Aéroports de Paris	Airport transport services	100	
Cie financière Hervet	Banking	100	

1. A large fraction of the capital is still held by other public bodies than the State.
2. The State's residual holding includes the reserve for the distribution of free shares and Air France shares in the shares-for-wages deal struck with the pilots.
3. 11 February 2000.

Source: Ministry of the Economy, Finance and Industry.

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shares, of which about 7 per cent are held by the pilots. However, the State is still the majority shareholder, with some 57 per cent of the capital, including the bonus issue reserve. By 2003, its holding will fall to 53 per cent as free shares are distributed to certain categories of shareholders. The merger of Matra and Aérospatiale in June 1999 made possible the transfer of the majority of capital to the private sector, with the State retaining 47.7 per cent. The net proceeds from the sell-off totalled FF 9.8 billion. The European Commission had set a deadline for the privatisation of the Crédit Lyonnais by October 1999, further to which the State was to retain only 10 per cent of the capital at the most. In July 1999, 33 per cent of the capital was sold to seven partners forming the *Groupe d'actionnaires partenaires*,[49] 4.3 per cent to the staff, 49.3 per cent to individual and institutional investors, with the State retaining a 10 per cent stake. The privatisation receipts amounted to FF 33.5 billion, which were used to pay off part of the debt of the defeasance body that took over the bank's doubtful debts. This operation was also accompanied by a capital injection of FF 5.2 billion in 1999. The situation of the Crédit Foncier stabilised in 1999 with the purchase by the Caisses d'Epargne of 90.5 per cent of the stake held in this institution by the Caisse des Dépôts, for FF 3.1 billion. Thomson Multimedia was floated by means of a new equity issue, which brought in FF 4 billion in November 1999.[50]

The only operation planned for 2000 is the merger between Aérospatiale-Matra and the German company Dasa.[51] As the government is no longer setting a privatisation programme in advance, sell-offs will be envisaged only when they are in the firm's interest, for example to enable it to conclude strategic alliances or to expand. This strategy seems very gradualist and it would be desirable to pursue the privatisation process.

… and restructuring is still needed in the transport sector

After a period during which they rose massively, the debts of the SNCF, the RATP and Air France stopped increasing, partly thanks to financial injections from the State. The reform of the rail sector in 1997 which transferred the SNCF's infrastructure debt to Réseau ferré de France (RFF), and very large contributions from the State (FF 9.4 billion in 1998), brought an improvement in the SNCF's accounts. Further to the decentralisation of regional passenger services[52] and the implementation of a major investment to improve the quality of service, the SNCF should almost break even in the near future. End-1998, the SNCF's debt totalled about FF 47 billion.

RFF, the manager of the SNCF's debt (FF 134 billion in 1978), received a substantial capital grant of FF 22.5 billion for 1998 and 1999. Its main operating resource being infrastructure charges (FF 6.1 billion in 1998 and 9.6 billion in 1999), RFF saw its financial debt rise in 1999 to FF 154 billion. Nevertheless, its financial situation should stabilise from 2001. Air France's financial situation has

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improved since 1997, and it maintained its earning capacity in 1999, showing a net profit of FF 1.6 billion. Its debt fell to FF 15 billion at end-1998. As for the RATP, its turnover has been rising steadily due to fare increases and, since 1997, a pick-up in traffic. The authority's financial debt has stabilised over the last three years, standing at some FF 26.5 billion in 1998.

Aéroport de Paris (ADP) saw its debt increase further in 1999 (to FF 8.6 billion), as a result of the capacity investment undertaken by Roissy Airport. The self-financing ratio should remain sound thanks to the big increase in air traffic and despite the abolition of intra-Community duty-free sales and the reduction in the assistance it provides to airlines during stop-overs. The government therefore foresees a deterioration in its debt/self-financing ratio in forthcoming years.

The recapitalisation needs of public enterprises for 2000 are estimated at about FF 8 billion (FF 46 billion in 1999), of which FF 5 billion for RFF, FF 1.5 billion for the defeasance body for Crédit Lyonnais, and FF 1.5 billion for Charbonnages de France, which will cease mining in 2005.

Policies to promote innovation

Changes in total factor productivity are largely driven by the incorporation of technical progress. Periods of technical innovation are usually also periods of rapidly rising productivity. However, the use of new information and communications technologies[53] (ICT) is still underdeveloped in France. The contribution of these new technologies to growth is difficult to quantify but, as in the majority of European countries, it is still certainly well below US levels, accounting for only 4.5 per cent in 1998 compared with 8 per cent in the United States. Although ICT-related sectors are growing much more rapidly than the economy as a whole, it is too early to evaluate the effects on the potential growth of the economy. No break in trend in total factor productivity was seen in recent years. Much of the acceleration of growth potential associated with ITC is probably still to come.

The exploitation of research and innovation potential is hampered by regulatory and tax impediments and by certain traditional features of the R&D system. The streamlining of administrative support schemes for research and innovation should therefore be continued. The law on innovation and research of 12 July 1999 should encourage the transfer of technology from the public research sector to the private sector, and the creation of innovative companies. A set of specific measures was implemented concerning the mobility of researchers between the public and private sectors, collaboration between public and corporate research, and the tax and legal framework for innovative enterprises. Table 10 outlines the main measures taken since the last survey concerning technology research and innovation policy.

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Table 10. **Follow-up to the recommendations on technology research and innovation policy**

Recommendation	Recent measures
Easing of the regulations for mutual funds investing in innovative companies ("Fonds communs de placement dans l'innovation", FCPI) and simplification of the tax status of venture capital companies	The FCPI regulations have been improved to allow investment in any innovative firm. Mutual funds can invest in any company approved by the National Agency for the Promotion of Research (ANVAR), provided that it is not more than 50 per cent owned by an existing firm. In mid-1999, the regulations applicable to simplified joint stock companies were extended to allow any innovative firm to incorporate as a simplified joint stock company ("société par action simplifiée", SAS). The new regulations make it possible to issue voting preference shares, which enable entrepreneurs to retain control of the company but do no. prevent new capital contributions. Easing of the formalities for companies with few administrative resources. It is now possible to set up a company with a sole shareholder.
Continued streamlining of the administrative support systems for research and innovation	A review of the allocation and administration procedures for some incentive credits, which led to the termination of multi-annual agreements with Bull, Thomson and ST Microelectronics.
Reform of policy on government research contracts in order to improve the allocation of public and private resources	None.
Introduction of better evaluation procedures	The Directorate General for Industry, Information Technology and Postal Services (the DiGITIP[1]) has put in place a programme for the independent evaluation of its research activities. Under the framework of the inter-ministerial government policy evaluation programme, a university team is conducting a study to evaluate the effectiveness of the entire innovation aid system. An evaluation of ANVAR is scheduled for 2000.
Improving the transparency and co-ordination of the administrative support systems for research	A dialogue between public and industrial research sectors has been instituted *via* the national networks set up by the Ministry for Education, Research and Technology (Technology Directorate) and the Ministry for the Economy, Finance and Industry (DiGITIP). Simplification of the procedures for setting up subsidiaries and public interest groups associating research bodies, universities and firms.

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Table 10. **Follow-up to the recommendations on technology research and innovation policy** (*cont.*)

Recommendation	Recent measures
Overhaul of existing decentralised mechanisms in order to eliminate those that are superfluous or have blind spots	In 2000 the Regional Directorates for Industry, Research and the Environment (DRIRE), Regional Directorates for External Trade and Regional Directorates for Trade and Crafts are to be amalgamated. The Atout procedure is to be overhauled and improved. DRIRE and ANVAR activities to be harmonised.
Review of financial incentives (subsidies and refundable grants)	Balance to shift towards refundable grants for successful ventures. Subsidies will be reserved primarily for support for co-operative and public projects.
Further review of research tax credit, in particular to immunise its impact more against conjunctural ups and downs	In mid-1999, the flat-rate deduction for operating expenses allowed for the computation of research tax credits was extended to make it easier for firms to recruit staff with doctorates or equivalent qualifications.
More effective exploitation of the synergies between civil and military research in order to reduce costs	None.
Reform of the education system and the labour market to provide a stronger incentive for risk-taking and entrepreneurship, which pre-supposes in particular the acceptance of the notion of learning through mistakes	The legal framework for agreements reached by technical and vocational colleges and business has been clarified.

1. DiGITIP: Direction générale de l'Industrie, des Technologies de l'Information et des Postes.
Source: Ministry of the Economy, Finance and Industry, and Ministry of National Education, Research and Technology.

Conclusion

Measures to foster the development of production factors have been introduced in recent years (Table 11). In particular, the targeted reductions in employers' social security contributions – a policy that has been pursued steadily since 1993 – have reduced labour costs, made unskilled workers employable, and thus reduced structural employment. The government was right to pursue this policy steadily and to extend it to a wider category of workers. Nevertheless, structural employment is still high, and it is hard to envisage further cuts in employers' contributions, given their budget cost. New measures are therefore needed to bring down structural employment.

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Table 11. **Overview of the progress of structural reform since 1998**

Recommendations	Measures since the last *Survey*	OECD comments
I. Labour market		
Increase wage cost flexibility		
• Reassess the role of the SMIC minimum wage, reconsider the method of indexation	None	SMIC increases should not exceed consumer price rises
Reform unemployment and related benefit systems		
• Reduce the risk of unemployment and poverty traps, particularly for those receiving basic income support	It is now possible to combine benefits with income from employment	Review conditions for re-employment
• Scale back early retirement and associated schemes	Reduction in number of persons eligible for FNE early retirement schemes Creation of special interim allowance (ASA) ARPE continued and extended to employees having commenced work at the age of 14 or 15	Reform of retirement schemes should continue. The definition of "arduous" occupations should be established by an independent medical commission
Reform employment security provisions		
• Ease restrictions on the renewal of fixed-term contracts	More restrictive measure permitting a number of successive renewals from three to two	Introduction of 5-year fixed-term contracts should be considered
Enhance active labour market policies		
• Evaluate active labour market policies on an on-going basis	Efforts made to carry out evaluations more systematically	Should be continued
• Target programmes closely on high-risk groups	CIE and CES refocused TRACE programme launched Access to CEC widened	Develop an exit strategy for holders of youth jobs
• Reduce the frequency of changes to programmes and aim at a reduction in control and compliance costs	None	Should be considered
• If the minimum wage is not reconsidered, continue with the general reduction in non-wage labour costs for workers at the low end of the wage scale	Existing exemptions merged into a single degressive reduction which is once again prorated to the duration of work	Reductions on social contributions should be maintained

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Table 11. **Overview of the progress of structural reform since 1998** (*cont.*)

Recommendations	Measures since the last *Survey*	OECD comments
Increase working-time flexibility		
• Accelerate annualisation of working hours	Most of the agreements on working-time reduction promote annualisation	Should be continued
Improve labour force skills and competences		
• Improve the attractiveness of vocational/technical education and make training better adapted to labour market needs	Introduction of new professional baccalaureates in the service sector Efforts to systematically analyse the job content when professional diplomas are created or renewed	Vocational training and its role should be reassessed
II. Product market competition		
• Enhance competition in network sectors	Telecommunications sector opened up to competition as from January 1998 Electricity sector partially opened up to competition as from February 2000	The gas and rail transport sectors should be opened up to competition. Liberalisation of the electricity market should be speeded up.
• Pursue privatisation opportunities and restructuring of ailing state-owned enterprises	Acceleration of the State's divestiture of holdings in public enterprises. Restructuring continues	Should be continued, including restructuring of RFF and ADP
• Reassess legislation which reduces competition and results in a heavy administrative burden	Reduction of stamp duties on property sales Administrative formalities for SMEs simplified	A one-stop agency for SMEs and a single tax contact point for businesses and taxpayers should be considered. The system of collecting social contributions should be overhauled
III. Encouragement of entrepreneurial activity		
• Promote entrepreneurship *via* an overall reduction in the tax burden	Selected tax reliefs to encourage business creation and facilitate the transfer of businesses	Taxation of stock options and employee saving schemes should be reformed

Source: OECD.

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In contrast, the various types of basic income support, combined with certain tax measures, have probably had a negative impact on the labour supply. The introduction of the 35-hour working week could, moreover, push up unit labour costs, even though government assistance will be available to offset that impact. The results of the first agreements would suggest that the combination of wage restraint, productivity gains and government assistance should prevent any such increase in costs, but that observation cannot be extended mechanically to all firms. Henceforth, firms that do not want to, or cannot, adopt the 35-hour week must pay bonuses for the hours worked between 35 and 39 hours. Admittedly, these bonuses are not high in 2000 but they will rise in 2001. Lastly, the 35-hour week will have an impact on the increase in the hourly minimum wage.

Following the implementation of the European directives, progress has been made in opening certain markets to competition. The opening up of the electricity sector however has been *a minima* and late. Likewise, little progress has been made in improving the entrepreneurial climate and creating one-stop shops for starting a business. Taxes on high incomes have increased, encouraging the departure of mobile tax bases. Lastly, after having made substantial progress, the privatisation of public enterprises has slowed. Some public enterprises (SNCF, RFF, RATP) are in debt, and if this debt is not restructured, the opening-up of the corresponding markets is likely to be delayed. The State's withdrawal from the capital of profitable public enterprises (France Télécom) should be continued. Efforts also need to be made to ensure that technological development benefits the development of the economy.

To sum up, significant progress has been made in reducing structural employment, opening certain markets to competition, and privatising public enterprises. Nevertheless, further measures are needed in order lastingly to raise the potential growth rate well above the recently estimated levels of 2¼-2½ per cent a year. The government has also to persist with structural reforms in order to achieve the goal of "full employment" it has set itself.

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IV. The changing health system

In many respects, France has a health care system that other OECD countries might envy: the health status of the population ranks among the best in the industrialised countries; health spending is reimbursed generously; patients have a large freedom of choice amongst health care providers; patients generally do not have to queue for treatment; and a large amount of resources is allocated to health care by international standards (Figure 30). The system is expensive, however, and consumed a growing proportion of national income up until the mid-1990s (Figure 31). Upward pressure is exerted on spending by the use of expensive technology as well as by the freedom of choice enshrined in the French system that allows patients to consume as much as they want, and health care professionals to prescribe freely. This freedom of action, in a context of partial budget constraints, has led to an allocation of resources that is probably not optimal. An economic assessment of the performance of the system is thus necessary. This analysis is all the more important because, in the future, population ageing will be accompanied with growing needs.

Efforts to slow the growth of health spending have been intensified since the early 1990s (Annex II). In particular, a comprehensive programme has been under way since 1996 to bring spending under tighter control. Up to now these measures have had a real but limited impact on the overall rise in spending. Initiatives to modify incentives and behaviour have either been insufficient or slow in their implementation. A new impetus is needed to complete the efforts to date, while safeguarding the major strengths of the French system: quality of care, freedom of choice and equity of access.

This chapter begins by discussing the key features of the French health care system. It then evaluates past reform efforts and, in particular, the effectiveness of the macroeconomic spending control measures that have been implemented. After analysing the microeconomic aspects of the system, and especially agents' behaviour, it concludes with a set of recommendations.

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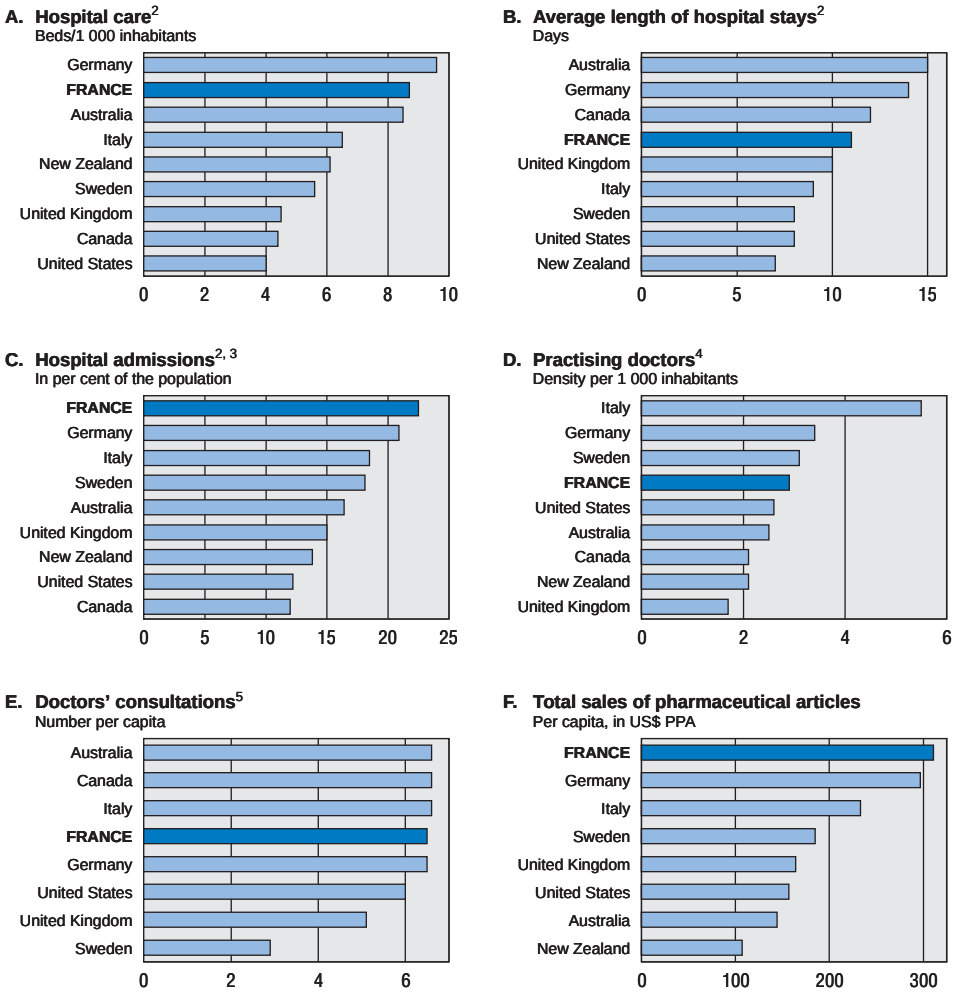
Figure 30. **Use of resources in the health sector**
1996[1]



1. Or latest available data.
2. Including other institutions providing health care or hospitalisation.
3. Data for the United Kingdom cover only England, and have been adjusted on an *ad hoc* basis to allow a better comparison with other OECD countries.
4. For most countries, including also doctors with non-medical activities such as research, teaching and administration.
5. Data for Sweden exclude post-natal consultations in clinics.

Source: OECD, *Health Data 99*.

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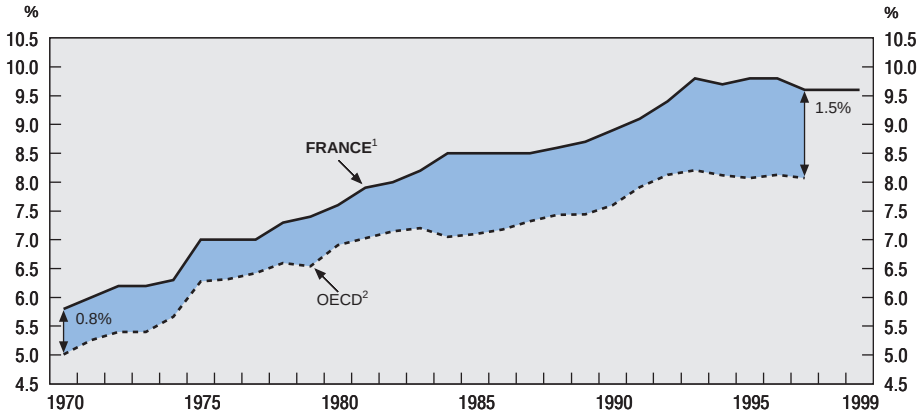
Figure 31. **Health spending**
In per cent of GDP



1. For 1998 and 1999, data have been updated by the OECD.
2. Simple average for all OECD countries, excluding Greece, Hungary, Mexico, Poland and the Czech Republic.

Source: OECD, *Health Data 99.*

Main features

The health care system can be characterised as a mixed system combining elements of private and public care, as well as publicly funded and private health insurance elements. Slightly less than half of care is provided by public hospitals and private clinics, the remainder by private service providers (ambulatory doctors, auxiliary medical staff, drugs) (Figure 32, Tables 12 and 13). Almost 80 per cent of total health spending is publicly funded, about 10 per cent is paid for by mutual insurers (*mutuelles*) and private insurers, and the remainder is paid for directly by patients (Figure 33).

A *two-tier health insurance system*

The health insurance system has two tiers: a basic mandatory public pillar, and supplementary insurance provided by private insurers and *mutuelles*. The basic scheme covers the entire resident population: workers and their families are affiliated to public health insurance funds,[54] while solidarity arrangements ensure that persons who are excluded from normal cover, because they are not in stable employment or are in a transitional situation, are also covered.

Doctors are paid directly by patients. Even though it is growing slowly, the direct payment of doctors by the health insurance funds (the so-called "*tiers payant*" system) concerns only a small fraction of health professionals. Patients

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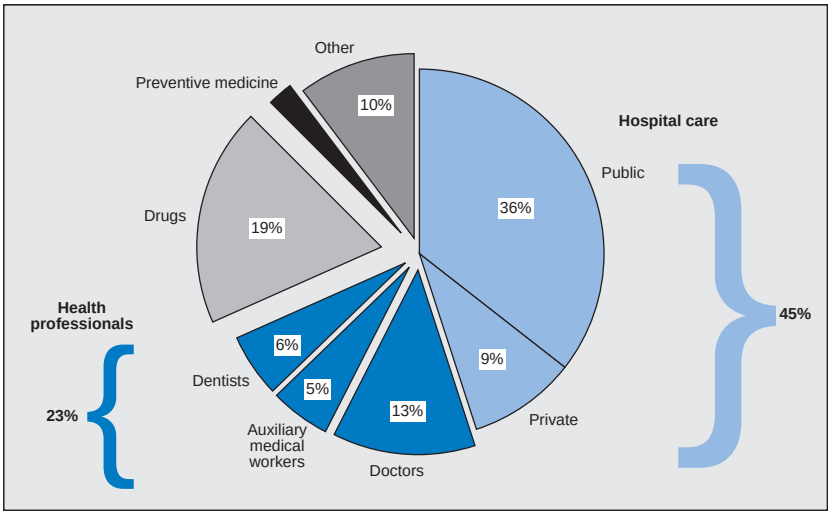
Figure 32. **Total health care consumption**
1998



Source: Ministry of Employment and Solidarity, National health accounts.

Table 12. **International comparison of density of doctors**

	Total density of doctors per 1 000 inhabitants		Average annual percentage change	Share of specialists in per cent
	1980	1997		1997
Italy[1]	2.6	5.8	4.8	35[4]
Germany	2.3	3.4	2.3	68
Belgium	2.3	3.4[3]	2.5	51[3]
France	2.0	3.0	2.4	50
United States	2.0	2.7	1.8	66
Netherlands	1.9	2.6	2.9	68[2]
Canada	1.8	2.1	0.9	49
Japan	1.3	1.8[2]	1.9	n.a.
United Kingdom	1.3	1.7[2]	1.6	n.a.

1. For this country, the densities correspond to the number of doctors trained and not necessarily to the number of doctors practising.
2. 1996.
3. 1995.
4. 1994.

Source: OECD, *Health Data* 99.

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Table 13. **Hospital beds: international comparison**

	Number of beds[1] per 1 000 inhabitants		Total occupancy rate		Short-stay beds per 1 000 inhabitants		ALOS[2] short-stay beds
	1980	1997	1980	1997	1980	1997	1997
United States	6.0	4.0	77.7	66.0[4]	4.4	3.3[3]	6[3]
Canada	6.7	4.2[3]	82.8	84.2[6]	4.6	3.6[6]	8[3]
United Kingdom	8.1	4.3	81.4	80.0[5]	2.9	2.0	5[3]
Belgium	9.4	7.2[3]	85.7	83.6[4]	5.5	5.3[4]	8[3]
Italy	9.7	6.5[3]	68.9	73.4[3]	7.6	5.5[3]	8[3]
France	11.1	8.5	81.1	81.9	6.2	4.3	6
Germany	11.5	9.4	84.9	76.2	7.7	6.6	10
Netherlands	12.3	11.5	90.9	87.7	5.2	3.8	9
Japan	13.8	16.4	83.3	83.9	n.a.	n.a.	n.a.

1. These data should be treated with caution. In some countries, a relatively large share of beds may in fact correspond to beds for institutionalised old people. Thus, the figures for Japan and, to a lesser extent, those for the Netherlands, are not entirely comparable with the other countries. A comparison of solely short-stay beds is more relevant but cannot be done for Japan.
2. ALOS = average length of stay (number of days).
3. 1996 data.
4. 1995 data.
5. 1994 data.
6. 1993 data.

Source: OECD, Health Data 99.

generally receive a partial reimbursement of their expenditure by the health insurance funds, which leave a co-payment to be paid out of their pocket (*ticket modérateur*).

Supplementary insurance has expanded greatly over the past decades and now covers over 80 per cent of the population.[55] Supplementary insurance schemes generally refund the full *ticket modérateur* of the basic scheme, thus cancelling out its moderating effect on consumption. In addition, subsidiary mechanisms enable the public schemes to increase their cover to 100 per cent for some categories of patients and diseases (long-term disabling illness, invalidity pensioners, those with universal medical insurance). The combination of these arrangements means that, for most of the population, health care expenditure is largely refunded. This, together with a diversified supply of medical services – often on a fee-for-service basis – has been one of the factors responsible for the rapid increase in health spending.

Underneath these broad characteristics, the organisation of the system is relatively complex. The State has an important role in managing the system. Three-quarters of beds are in public hospitals, which account for two-thirds of hospital spending, and hospital staff have the status of civil servants. To offset the demographic imbalances between funds, resources are transferred from the main scheme and the local authority scheme to those for farmers, the railways (SNCF) and the miners.

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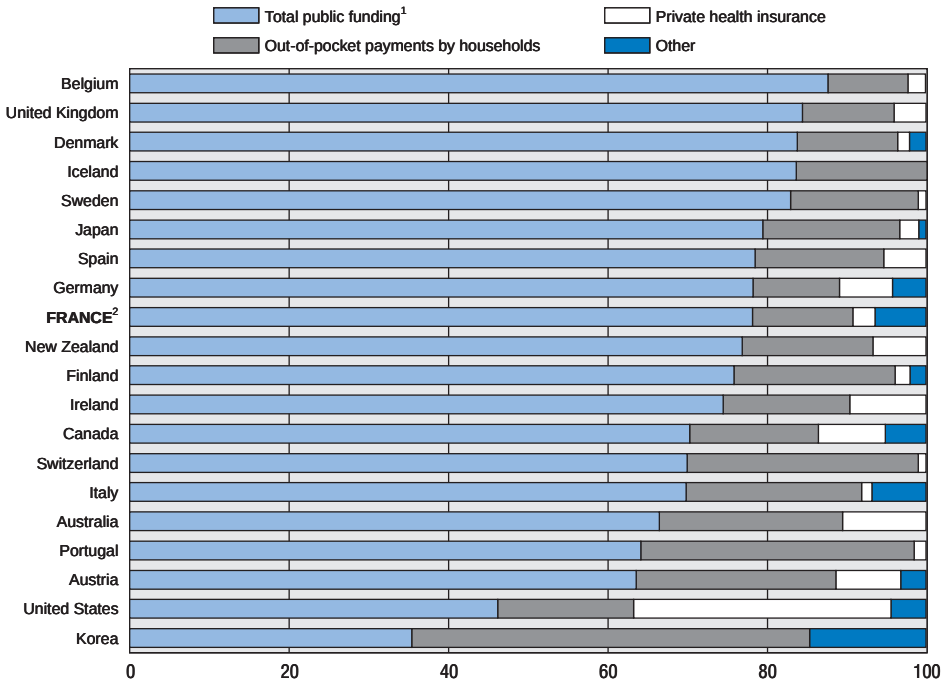
Figure 33. **Health expenditure by source of funding, 1996**



1. Central government, States and local authorities, and public social security schemes.
2. Expenditure reimbursed by mutual insurers is included in "other".

Source: OECD, *Health Data 99*. Partial estimates by the OECD for Belgium, Denmark, Ireland, Italy, the United Kingdom, Spain, Japan, Sweden and Switzerland.

Various methods of financing

Public hospitals are funded out of global budget appropriations which are set annually by the authorities and allocated every month by the health insurance funds. Modest payments by patients top up these budget appropriations. Up to now, the appropriations have been set on the basis of the historic operating costs of hospitals, with a modest allowance made for their actual level of activity, the average case-mix, and specific costs of treating certain diseases or expensive drugs.

Private clinics are paid on a fee-for-service basis. Similarly, ambulatory care is provided primarily by doctors in private practice on a fee-for-service basis. The authorities set official schedules of reimbursement which in a number of cases correspond to the actual prices imposed on producers.[56] The prices of

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reimbursable drugs and most other medical goods such as prostheses are set by the government after consulting committees of experts and in the light of the evaluations provided by private suppliers and pharmaceutical companies.

A *plentiful supply of ambulatory care*

The system of ambulatory care provides easy access to a specialist, in contrast with the situation in many other OECD countries, where a patient can consult a specialist only through an out-patient consultation in a hospital, often with long waiting lists. One of the consequences of this environment is competition between specialists and general practitioners as well as over-supply in some specialities. As a result, in practice, some specialists work as general practitioners, which adds additional necessary costs. Specialists with imaging equipment may also have an incentive to over-prescribe.

E*fforts to ensure greater social and geographical equity*

In order to ensure greater equity of access to health care, universal health insurance (*couverture médicale universelle* or CMU) is available since 1 January 2000 to the neediest members of society, a replacement of the former medical allowance dispensed by local authorities (Box 9). The first part of CMU provides basic cover to all those residing lawfully in France, irrespective of their employment situation or insurance contribution record. In practice, people formerly without health insurance, such as those not in stable employment or those facing complex administrative problems, as in the case of foreigners waiting to get official residency papers, are now covered. The second – and most important in quantitative terms – part provides free supplementary cover to people whose income is under FF 3 500 per month per person.[57] The government estimates the ultimate possible number of beneficiaries at some six million, half of them being made up by recipients of the guaranteed minimum income (RMI) and members of their families.

Even so, inequalities remain. Households, whose incomes are too low to allow them to contribute to a supplementary insurance scheme, but too high for them to qualify them for universal health insurance, have to pay for a substantial part of their health care themselves, in particular services which are poorly refunded such as dental and optical care. And it can be a problem for them to have to put up the money in advance (Dourgnon and Grignon, 2000). Also, access to certain types of care is relatively expensive, given that a quarter of the medical profession in the ambulatory sector is free to charge the fees it wants and that the supplementary insurance schemes refund only a small part of the costs of private beds and treatment by hospital doctors.

There are also instances of inequity at the geographical level. Differing arrangements contribute to inequalities of care access between French regions and even within regions. In a context of freedom of establishment, there are wide

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Box 9. Universal health insurance

The main features of universal health insurance (CMU) are:

- The *ticket modérateur* does not have to be paid by the patient, so that medical goods and care are completely free up to the limits set by the government. Certain types of expenditure (optical and dental care) are capped.
- Patients do not have to advance money for payment of fees up front; this is the so-called third-party billing ("*tiers payant*") system, whereby the health insurance funds pay health professionals and institutions directly.
- One-stop processing of benefits: in contrast with the previous system, under which beneficiaries and entitlements were determined by several offices, the CNAM offices now do it alone; entitlement is immediate once it has been determined.
- Automatic entitlement: the government decided that cover cannot be refused because information is missing. Nearly 3 million people who used to receive free medical assistance from the local authorities (*départements*) are automatically entitled to CMU without having to apply for it, or who receive the guaranteed minimum income (RMI).
- Free choice of the supplementary cover provider (health insurance fund, *mutuelle*, private insurer). The CNAM is still the institution of last resort. In case of an affiliation with a *mutuelle* or a private insurer, these receive a subsidy of FF 1 500 per year per affiliated person, to meet the costs of supplementary cover.

disparities in ambulatory care supply, doctor density being highest in Ile de France and the Mediterranean region. Where hospitals are concerned, despite centralised decision-making procedures, there are big differences in resource allocation between regions, in terms of beds, hospital medical staff, heavy equipment and budget funds. In some localities, waits for treatment are considered to be excessive. The authorities have therefore embarked on a policy of progressive equalisation that should ultimately reduce these long-standing inequalities of allocation between regions and medical establishments. Furthermore, prior to the introduction of CMU, the arrangements applying to care access for the neediest (free medical assistance from the local authorities), gave rise to inequalities of treatment between *départements*. In this regard, CMU as an equitable nation-wide scheme represents a considerable step forward.

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Advantages and drawbacks of the system

The system is perceived as being satisfactory…

The population seems to be satisfied with the health care system. Surveys such as the Eurobarometer show that the opinion rating for the French system is relatively high, two-thirds of the population being fairly satisfied, compared with 40 per cent in the United Kingdom and 20 per cent in Italy (Mossialos, 1997). The population appears to be happy with a system that combines freedom of choice, no delay in service delivery and high quality of care delivered with a comparatively extensive use of modern medical technology and practice.[58]

France also ranks high among OECD countries in terms of health and mortality indicators (Figure 34). For example, in 1997 female life expectancy at birth was second (82.3) after Japan (83.8). Female life expectancy at age 65 was also second for women, while male life expectancy was fourth in 1996. Old-age disability is on a marked downward trend, particularly for men, in line with trends in the United States and Japan (Jacobzone *et al.*, 2000). The same is true for infantile mortality, which is very low, just above the very low levels in Scandinavian countries.

The high early mortality for men compared with the OECD average is nonetheless disquieting. Life expectancy at birth for men is, in consequence, relatively low. Reports on public health show, however, that this is due to factors which have little to do with the functioning of the health system proper and is caused by the high number of violent deaths from suicides and road accidents and an incidence of AIDS well above the European average and comparable to that of other Mediterranean countries such as Spain and Italy (*Haut Comité de la Santé Publique*, 1998; Ministry for Employment and Solidarity, 2000). Another example is a specific association of high tobacco and alcohol consumption, with its attendant consequences of a higher rate of cancer of the lung and of the upper respiratory and digestive systems. This shows the need for a broad-based, coherent approach to public health, which is beginning to emerge in the French decision-making system (Box 10).

… but the cost is high

A health care system with which the population is very satisfied and which delivers efficient outcomes does not come cheap. It is, thus, not surprising that the French system is relatively expensive by international standards. The share of health expenditure in GDP rose from 7.6 per cent in 1980 to 8.9 per cent in 1990 and 9.6 per cent in 1997 and 1998. On this indicator, France ranks fourth in the world, behind the United States, Germany and Switzerland (Figure 35). On average, working households spend 20 per cent of their gross income on health,

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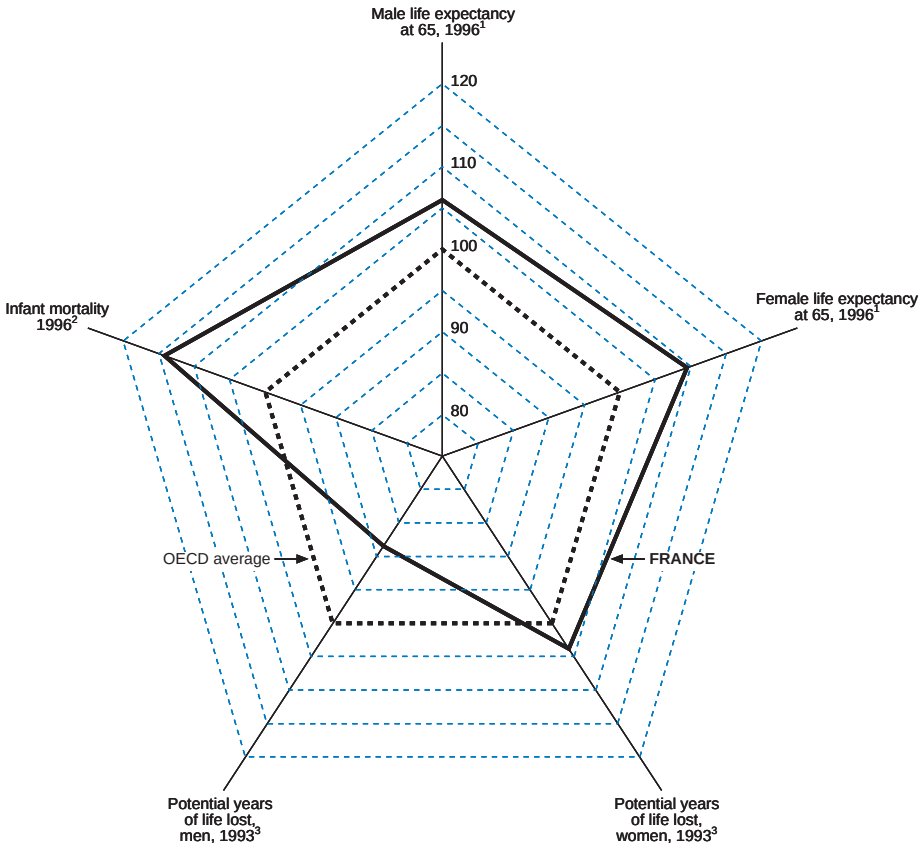
Figure 34. **Health status indicators**



Note: An observation point higher than 100 for life expectancy means a higher life expectancy; an observation point higher than 100 for infant mortality means a lower mortality; an observation point higher than 100 for potential years of life lost means fewer years of life lost.

1. The OECD average does not include Korea, Ireland, Luxembourg and Turkey.
2. The OECD average does not include Korea, Mexico, Turkey, Hungary and Poland.
3. The OECD average does not include Belgium, Korea, Turkey, Mexico, Hungary and Poland.

Source: OECD, *Health Data 99*.

including supplementary insurance contributions. Given the weight of social contributions in the cost of labour, modifications have been made to the method of health financing, with, in particular, the introduction of a more broadly-based contribution in 1991, the *contribution sociale généralisée*, and its gradual extension in order to finance the health insurance schemes.

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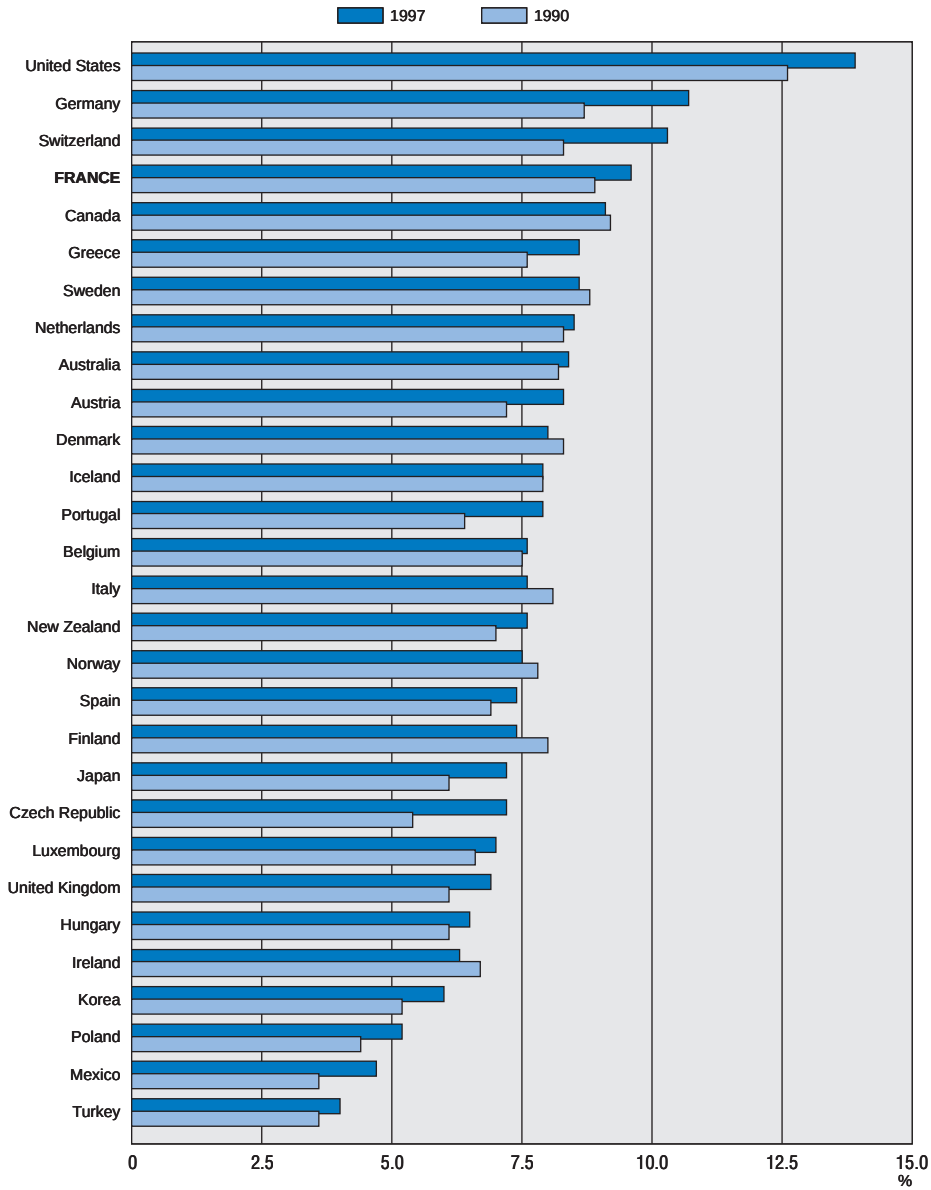
Figure 35. **Health expenditure in OECD countries**

In per cent of GDP



Source: OECD, *Health Data 99.*

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Box 10. **Public health policy**

Until lately French public health policy suffered from shortcomings that are only just starting to be addressed (Dab, 1997). This shortcoming has become more visible in recent years. There is a «burden of the past» in this area (Morelle, 1996) though, in the recent period, it has played a fairly positive role in inciting change. Public health has long occupied a minor place in the French decision-making and training system. A fully-fledged public health discipline during the internship part of medical studies was created only very recently. Teaching and research structures, though well developed, are still well behind those in Anglo-Saxon countries. A national body was set up in 1990 to co-ordinate public health policy (the *Haut Comité de la Santé Publique*). The role and functions of the *École nationale de la Santé Publique* have been expanded, but they are still very limited. Tools for monitoring public health have been strengthened, in particular by the creation of a disease monitoring centre (*Institut de Veille sanitaire*), which replaced the former National Public Health Network. Like the Atlanta Centre for Disease Control, this Institute makes it possible to keep an ongoing track of the epidemiological characteristics of diseases. Lastly, for the past ten years the government has been steadily creating independent agencies under the aegis of the Ministry of Health, for drug evaluation, blood supply management, food safety, and medical accreditation and evaluation. Despite this progress, France still does not have an explicit health policy with global health objectives and measures to achieve a better balance between prevention and care.

Attempts to regulate a costly system

From covering deficits to the gradual introduction of a financial constraint

With health expenditure rising more steeply than receipts, the financial situation of the health insurance funds worsened steadily during the 1980s and the early 1990s. The gap between spending growth and the resources available prompted governments to implement a series of stabilisation plans. Up to the mid-1990s, the reforms implemented in response to burgeoning expenditure relied largely on short-term consolidation measures to try and balance the health insurance accounts. What they had in common was that they sought to cover *ex post* the deficits of the health insurance funds by increasing revenue while raising patients' contributions in the form of higher co-payments. The only true economic constraint, until the early 1990s, was the global budget system for public hospitals introduced at the time of the budget tightening in 1983-84. In the ambulatory sector, the authorities curbed the growth of the fee schedule and drug prices, and reduced reimbursement rates.

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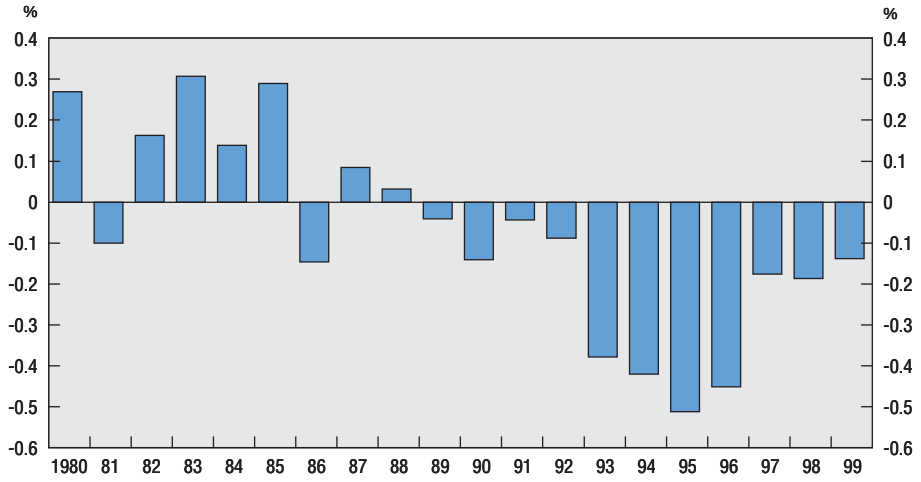
These measures had, however, only a modest, short-term effect. Health professionals responded to the controls on their prices by increasing volume, thus ensuring to a large extent that their incomes were not eroded. Despite their growing numbers, and against a background of economic restraint, general practitioners were able to maintain the level of their fee income in real terms between 1985 and 1995 (Beudaert, 1999). The lowering of reimbursement rates had little impact on patients' behaviour, most of the increase in co-payments being made up for by supplementary insurance. Lastly, the global budget for hospitals had increasingly adverse effects owing to the weight of the historic budget bases. As these measures had little effect on the growth of health expenditure, health insurance deficits continued to worsen (Figure 36) and insurance contributions to rise. In the 1990s, the health insurance branch of the general scheme (CNAMTS) experienced a serious financial crisis, accumulating a total deficit of close on FF 200 billion. The financing requirements of the various branches of the social security were first covered by cash advances from the *Caisse des Dépôts et Consignations*. This debt was consolidated in a parastatal body set up in 1996, the CADES, and another contribution, the *cotisation pour le remboursement de la dette social* (CRDS) was introduced to pay it off.

Figure 36. **General health insurance scheme**

Annual balance in per cent of GDP



Source: Commission des Comptes of the Social Security.

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The break introduced by the Juppé Plan

Given the deterioration in the financial situation of the public health insurance funds, the authorities became aware that purely budgetary and macroeconomic mechanisms were insufficient, and that greater microeconomic efficiency required more ambitious reforms. They also became aware that, given the amounts spent on health care, a periodic public debate was needed to set the general thrust of health care policy. This led to the enactment of a series of ordinances in 1996, the so-called Juppé Plan, which reformed the system of health care and health insurance, coupled with a revision of the Constitution.

The Juppé Plan continued the macroeconomic approach but introduced important structural measures. Unlike previous reforms, it was not confined to increasing social contributions or co-payments but introduced wide-ranging budgetary reforms through amendments to the Constitution. Changes made to the way the health insurance funds operate, through a number of ordinances, were the most important since those of 1967. Now, Parliament adopts every year, as part of the law on the financing of social security, a national health spending target (ONDAM) which sets targets to the spending and reimbursements made by the mandatory basic schemes (Table 14). The ONDAM comprises a spending target for ambulatory care (private fees, prescriptions, per diem sickness benefit), a target for public hospitals, a target for private clinics and a target for the medical-social sector (the elderly, maladjusted children, handicapped adults). The ONDAM is not a cap on reimbursements and thus does not have a compulsory character, since benefits are paid even if the target is exceeded. The aim is to take decisions and set priorities such that the government's financial objectives are achieved.

Assessment of recent reforms

Following the implementation of successive reforms, the growth of health care expenditure slowed during the second half of the 1990s. After having risen by 1 per cent of GDP between 1990 and 1995, the share of health spending in GDP fell slightly between 1995 and 1998. Although this trend is less pronounced than in other European countries (Denmark, the Netherlands, Sweden, Finland and Italy), it marks a reversal of developments in previous years. The introduction of quantified national targets – notably for clinics, biologists and independent nurses – in 1991-92, the first agreements with pharmaceutical laboratories in 1993, and the Juppé reform in 1996 thus succeeded in curbing the rising trend of health spending. However, this "pause" should not automatically be read as a lasting change in trend. Earlier plans to reform health insurance were also followed by a slowdown of expenditure, but then expenditure picked up again at the previous rate.

In fact, reimbursements for health treatment grew by nearly 4 per cent in 1998 and by 3 per cent in 1999, with inflation at under 1 per cent. Admittedly, this was partly due to cyclical factors. The purchasing power of households'

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Table 14. **Health insurance spending targets and outturns**

Annual percentage changes

	1997			1998			1999			2000
	Target	Result	Diff.	Target	Result	Diff.	Target	Estimate	Diff.	Target
Ambulatory care	2.0	1.8	–0.2	2.4	5.8	+3.3	–0.5	4.2	+4.7	2.0
Disbursements to										
– public hospitals	–0.1	0.2	+0.3	2.0	1.7	–0.3	2.6	2.1	–0.5	2.4
– medical/social sector	2.3	2.8	+0.5	2.7	5.8	+3.0	2.1	2.3	+0.2	4.9
– private clinics	9.2	5.9	–3.0	1.7	3.0	+1.3	–1.8	–0.9	+0.9	2.2
ONDAM	**1.7**	**1.5**	**–0.2**	**2.3**	**4.0**	**+1.5**	**1.0**	**2.9**	**+1.9**	**2.4**

Source: Cours des comptes and Assemblée Nationale.

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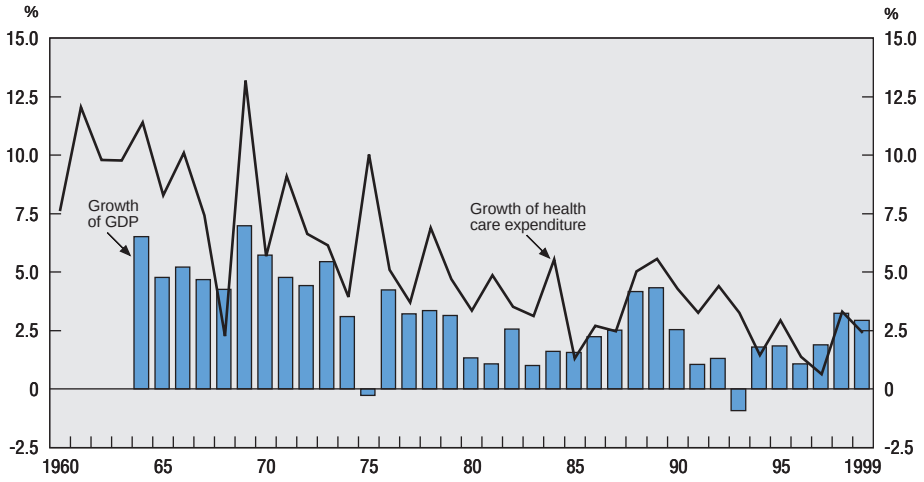
disposable income grew strongly during this period and econometric estimates show a relatively high elasticity of health care with respect to disposable income[59] (Figure 37). Nevertheless, purchasing power gains do not explain entirely the strength of health care consumption in 1998-99. The loss of credibility of the financial sanctions put in place by recent reforms also seems to have been a factor. Some provisions of the Juppé Plan have been called into question.[60] The application of across-the-board financial sanctions to private clinics and pharmaceutical laboratories has also run into legal difficulties.[61] Furthermore, the ONDAM set by Parliament has been exceeded for several years running despite reaction from the government. In the hospital area, budget discipline has been respected but little progress has been made with reorganising hospitals and in adapting them to changes in health care demand. The strikes in the public hospitals show that spending is still not securely under control. Lastly, the fact that the health insurance scheme is back in balance[62] is probably encouraging ambulatory care providers and consumers to revert to their previous habits of over-prescribing and over-consuming. It is, thus, possible that the effect of the 1996 ordinances and previous reforms is gradually wearing off and that the slowdown of expenditure in the second half of the 1990s was only temporary.

Figure 37. **Relative trend of health care expenditure and national income**

Constant prices



Source: INSEE.

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Several other factors will also contribute to the structural rise in health expenditure over the long term. One is the ageing of the population, as the generations that have been used to relatively easy access to health care reach an advanced age (Mahieu, 2000). The elderly will increasingly be people born after World War II, who have been relatively large consumers of health care. Due to the age structure of the population and increasing life expectancy, the number of people aged 75 and over – *i.e.* those who are usually large consumers of dependency-related health care – will increase from 4.2 million in 1990 to 6 million in 2020.[63] Furthermore, it is well established that a large proportion of health expenditure is concentrated on a small number of people, in particular the elderly and seriously ill. In 1995, these "big consumers" of health care represented 10 per cent of the population but accounted for 70 per cent of reimbursements (CREDES, 1999). Their average age was 51 (compared with an average age of 35 for the population as a whole) and a third of them were 65 and over. Given the demographic projections, the number of "big consumers", as well as their medical expenditure, will probably rise steeply in the next few years. For instance, the number of patients with Alzheimer's disease could, on the basis of simple assumptions, rise steeply in the medium term (DREES, 1999). Other factors will push up health expenditure, though their impact is difficult to quantify. Technological progress is an important factor in driving up expenditure (Newhouse, 1992) since it creates a demand for improved quality of life and increased life expectancy. The generosity of the French system, and especially universal health insurance, is also likely to push up expenditure, even though a better balance between ambulatory care and hospital care can be expected.

Health sector reform thus remains a priority. French experience shows that purely macroeconomic measures are insufficient. Reducing the rate of reimbursement of health expenditure – the customary method in France – has usually not had the effect anticipated since supplementary insurance and the *mutuelles* have made good the difference. The other thrust of recent reforms in France – financial constraints on health care providers – has encountered fierce resistance from health care professionals, who have refused to be made accountable for the community's over-spending and have won their case in the courts. In contrast, international experience suggests that microeconomic reforms comprising incentives to change agents' behaviour can have a positive long-term effect. Consumption and prescription behaviour can be influenced by the introduction of market mechanisms, though precautions need to be taken to ensure that the market does not produce effects that are the opposite of those intended.

What else can be done?

Define the responsibilities more precisely…

To a large extent, the difficulties involved in regulating health care reflect the fact that the roles of the three main actors in the system – the health insurance

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funds, the representatives of health professionals and the State – are not clearly defined. This situation has been described as one of "co-irresponsibility" (Mougeot, 1999). Admittedly, the government has taken initiatives, but the role of the health insurance system in their implementation has been left vague, with a division of roles between the State and the CNAM that has led to a dilution of responsibilities. The insured have no direct control over the system and delegate their responsibilities to the social security, which in practice can only play a passive role. Trade unions, employers' representatives, the government, the elected representatives (who chair the boards of public hospitals), and health professionals, all exercise an influence over the system. Each group has its own objectives – preserving jobs, increasing revenue, local development – which are often at odds with the objective of running the health system efficiently. This dilution of responsibilities has not been conducive to the efficient implementation of the reforms however well designed.

With a view to allocating responsibilities more effectively, the law on the financing of the social security for 2000 introduced a new division of roles. The State will concern itself exclusively with the public and private hospital sector and drugs. In the public hospital sector, the government intervenes both directly and *via* newly-created regional hospitalisation agencies (ARHs),[64] to determine the global budgets allocated to each hospital. The CNAM has the oversight of general ambulatory care, excluding drugs. It is thus responsible for containing the growth of fees of doctors in independent practice, and of other paramedical professions within the limits of the targets set by Parliament, and to report every four months to the government on actual expenditure in relation to targets. In the absence of agreements with professionals, it can propose remedial measures. While this new division of roles has the merit of clarifying institutional responsibilities, it will probably have little impact on the behaviour of health care consumers and providers. New institutional arrangements by themselves will not change the nature of the economic incentives that in the past encouraged over-consumption and over-prescription. Furthermore, such a division leads to a dual organisation of health care, with the hospital sector being treated in isolation from drugs, whereas a dynamic view of health care, which encompassed the effects of medical progress, should make it possible to replace major hospital treatment by lighter ambulatory care.

... putting in place incentives to change behaviour...

Institutional rigidities in the public hospital sector

The hospital sector is characterised by marked institutional rigidities. Whereas to a large extent private clinics come under private law – and, in a way, are like businesses – hospitals are run more like public administrations. Private

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clinics respond rapidly to changes in financial and economic incentives, and underwent sweeping reorganisation during the 1990s.[65] In contrast, in public hospitals, a set of administrative rules constrains decision-making, making it difficult to take optimal decisions.

The first factor of rigidity is that the conditions of service of hospital staff are governed by general rules set for the entire civil service, including those that apply to recruitment, redundancies, promotion and wage-setting. Furthermore, mobility between hospitals is particularly low. Hospital doctors are appointed directly by the ministry to a particular hospital and specialisation, which in effect makes it difficult to move them in the event of a reorganisation. A second element of institutional rigidity is the fact that hospital boards are chaired by the local mayor. As a hospital is usually the main provider of jobs in the area in which it is situated, local authorities have a direct interest in keeping it there. Thirdly, the accounting procedures used by hospitals have shortcomings. While hospitals enjoy certain derogations from public accounting, such as the right to make depreciation allowances, their accounting procedures do not give them an exact picture of their activity from the point of view of assets. At the central level, it is difficult to obtain a precise picture even of the land area occupied by hospitals in France.

Inappropriate financial incentives

The financial incentives for health care institutions are inappropriate. Public hospitals receive global budgets, which, to a large extent, are still calculated on the basis of past levels of expenditure. It is still very difficult to relate these budgets to actual medical activity, as the tools for doing so can only be introduced gradually. There is little incentive to reward performance in a public hospital, and the professional assessment of doctors is done mainly on the basis of their research activity. Private clinics operate on a fee-for-service basis, but the fee schedules are out-of-date. The price structure is still an administered one and lags behind gains in productivity.[66] This allows certain private providers to continue to earn high profits in areas where progress has been made in recent years, such as cardiosurgery, digestive endoscopy, and ophthalmology. Nothing was changed by the application of national budget caps to private clinics from 1993. Admittedly, this meant that fee increases had to be kept within the limits of those caps, but this new macroeconomic pressure only encouraged clinics to specialise in the most lucrative care in order to offset the tighter control over volume. Whereas previously private clinics could develop their activity whenever costs were below controlled prices, it is now in their interest to specialise in areas where relative margins are the highest.

The diversity of incentives has resulted in institutions specialising in particular types of care. Public hospitals have a virtual monopoly of emergency treatment and high-level research, and of psychiatric care due to their institutional

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prerogatives; also, in practice it is they who deal with elderly or socially-disadvantaged patients. The public sector also handles the bulk of major operations as well as life-threatening conditions. Private clinics are often smaller and handle the bulk of minor surgery, for which their market share can be as high as 80 per cent, especially in the area of digestive diseases, endoscopies and eye surgery (Mouquet *et al.*, 1999). The French health care system is thus a blend of an entirely public system like the British NHS, and a private sector, which operates on market principles as in the United States. This can lead to creaming-off, with private clinics implicitly selecting their patients. It is, thus, frequent for private-clinic patients with complications or life-threatening conditions to be transferred to public hospitals. The financial distortions in the system have resulted in a segmentation of supply by type of care but without any price competition. Consideration should therefore be given to the introduction of competitive mechanisms with a view to making the functioning of this market more efficient.

… which could be offset by shadow price competition

The introduction of market mechanisms requires that medical services compete on price. But it is particularly difficult to set prices that encourage the provision of high-quality care while at the same promote efficiency, since health care institutions are also involved in the provision of public goods such as teaching and research. The idea of paying for health care on the basis of diagnosis-related groups (DRG) is starting to gain ground in France. The fact of reimbursing hospital stays on a DRG basis is tantamount to financing public hospitals on the basis of their actual activity, allowing for the structure of the services they provide, rather than on the basis of historic levels of expenditure. This will require a number of adjustments however. International studies on the subject have opened up some interesting avenues, drawing particularly on the US experience. The US approach consists in putting in place a number of offsetting mechanisms, mainly to cover the costs of teaching and research and exceptional stays. In France, the first task was to transpose this adjustment to a French context, notably by carrying out a national study of teaching and research costs. The fact that public hospitals also have to cater for more disadvantaged social groups can also mean longer stays and more treatment because illnesses are treated later than for other groups. Studies show that the cost difference between disadvantaged and non-disadvantaged patients for identical homogenous groups of patients can be as high as 30 per cent (Mathy and Bensadon, 2000).

Direct implementation of DRG payments in the current context would penalise these non-quantified quality elements or could lead to cream-skimming, encouraging public hospitals to select their patients. In the United States, for example, the legislator recently increased payments to cover the share of

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exceptional costs so as to enable public hospitals to continue to treat the uninsured *via* cross-subsidisation. Despite the aforementioned technical difficulties, however, this seems the most promising avenue of development.

Alternative systems are possible in the ambulatory care sector

All ambulatory care is on a fee-for-service basis.[67] The pricing system, which is the sector's essential inducement, rests on a fee schedule established in 1972. Progressive revision, patterned on the work of Hsiao at the Harvard School of Public Health and commenced some years ago, is not yet complete (Aliès-Patin *et al.*, 2000). The aim is to establish a common classification of medical services[68] to replace the present dual system (one fee schedule for hospital services, the other for ambulatory care).

In an endeavour to curb consumption of ambulatory care, the authorities have so far applied cuts in reimbursement rates. But these have had little effect. For most people with health insurance the cuts are offset by reimbursements from supplementary insurance, while the segments of the population on the social fringe turn to hospital care which is provided free of charge but at greater total cost to the community. Finally, for the people benefiting from CMU the previous cuts in reimbursement are no longer applicable. In the absence of co-payment, there is little restriction on the consumption of health care. Most individuals can consult a general practitioner or specialist as often as they want without any pecuniary consequences. It therefore seems necessary to give some thought to the "moral hazard" inherent in the system. Any insurance plan that lacks adequate safeguards will encourage individuals to alter their behaviour and ask the insurer to bear the consequences of decisions they would probably not have made had there been no insurance. The traditional solution is to pass on a proportion of the cost to the insured party by way of co-payment. Another way to reduce the moral hazard is to set up a system of referral or "gate-keeping" by general practitioners, as in the United Kingdom. But existing studies show that the referring practitioner system itself generates extra costs, since a large share of consultations simply result in referral to a specialist (Kirman, 2000). The referral system is extensively used in the United States in the context of "managed care", but it introduces a loss of freedom in the choice of health provider, since the patient has to choose from a list of approved providers.

The "*médecin référent*" option proposed to practitioners in France is a first step toward this type of co-ordinated system. But the financial incentives are small, since the reimbursement rates remain the same for patients, who are simply exempted from putting the money up front. The practitioner receives a few additional payments for taking on a patient, but the medical profession's reluctance has so far prevented the introduction of capitation payment as such, even on a partial basis. The doctor has to undertake to prescribe a certain

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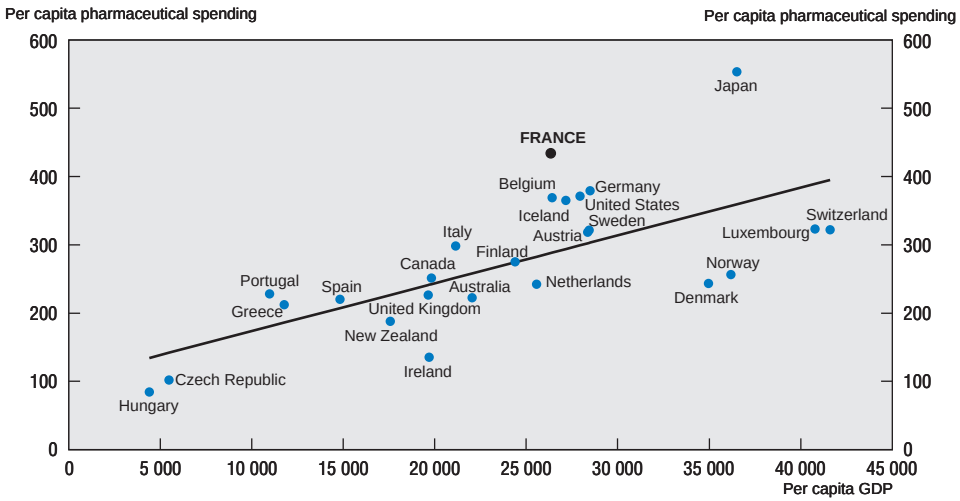
proportion of generic drugs, and patients lose the benefits of this system if they decide to consult specialists direct. Unsurprisingly, few doctors are in this system, only about 10 per cent of general practitioners having joined in 1999.

Improved evaluation of the medical benefit of pharmaceuticals and development of generics

Pharmaceutical supply is regulated (Jacobzone, 1998) but demand is not, since co-payments are neutralised for a large share of the population. This is reflected in per capita consumption of pharmaceuticals: in 1996, France had the second highest level of drug consumption in the world after Japan and the highest in Europe (Figure 38). Supply is regulated through incentives offered to drug companies and pharmacists. An agreement was concluded between the government[69] and the pharmaceuticals industry in July 1999 covering the period 1999-20, with a strong emphasis on administrative control and quantified targets for consumption in each therapeutic class. These targets were set so as to be consistent with the national targets for health insurance expenditure (ONDAM). The agreement has opened the way to arrangements between individual drug companies and the government. Each arrangement contains undertakings by the signatory laboratory as to the level of sales, refunds due in the event of target overruns, reduction of promotional expenditure, development of generic drugs

Figure 38. **Per capita pharmaceutical spending and GDP**
In US$, 1996 exchange rate



Source: OECD, *National Accounts* and *Health Data 99*.

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and the move to self-medication. However, a policy of this kind is likely to lead to a tightly administered management of pharmaceuticals supply with no possibility of allowing market mechanisms to operate.

An initial assessment of the medical benefit of marketed pharmaceuticals, covering about one-fourth of the total market, was published in the summer of 1999. Nearly 15 per cent of the 1 100 drugs examined were judged to be of insufficient medical benefit. However, these findings have had very little practical impact on cost reimbursement, and no decision has been taken as regards follow-up action. In many OECD countries, over the recent period, such products have been removed from the list of reimbursable medicines. France seems unwilling to use this approach and only a few slight price cuts have been imposed as yet. It is true that structural reforms of the drugs industry are liable to conflict with local development objectives, given the location of the pharmaceutical laboratories whose products might be taken off the list.

Incentives have been introduced to develop the generic drug market. Generic medicines accounted for about 8 per cent of drug sales by volume at end-1999, compared with nearly 70 per cent in the United Kingdom at the same time. French pharmacists are now entitled to an increased mark-up on generic medicines, but in return have to commit themselves to achieving a certain rate of substitution between brand and generic drugs, with a slight reduction of their remuneration if those rates are not achieved. However, there is no mechanism at the level of prescribers and consumers to encourage use of the less costly medicines, apart from the *médecin référent* system. Although it takes time to generate a supply of generic drugs and to establish the conditions for operation of a generics market, France has fallen way behind the countries that have applied policies of case-related reference pricing. To date the government has ruled out this possibility, although it has been developed in many European countries over the recent period. Admittedly, reference prices may be difficult to apply and suppliers may try to get around them. Also, the authorities fear possible anti-redistributive effects, certain studies showing that in France such a move might result in higher health costs for persons without supplementary insurance. But this does not allow for the switch to less expensive products. The importance of the policies being applied elsewhere is that they influence personal behaviour and shift consumption to similar but less costly products, while protecting consumer well-being.

... improve the management of health insurance funds...

The fact has to be faced that the CNAM's ability to perform an active role as the national paying agency has remained limited owing to its institutional environment. First, it is not responsible for the entire system, the State being in charge of the hospital and prescription medicine sectors. Second, it has only

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(relative authority over all the regional and departmental funds, which remain distinct legal entities with their own governing boards. Furthermore, the CNAM is not empowered to withhold approval of a health service provider, and therefore has to accept all reimbursements whatever the conditions of local provision. The CNAM strategic plan published in 1999 (Annex II) mentions the procedures for a periodic reassessment of the credentials of the medical profession. This would constitute an upheaval in the modes of medical practice in France, and the measures leading to refusal of accreditation are very tricky to implement.

The CNAM's action is hampered by a very cumbersome set of rules, with nearly 15 000 statutory texts. Despite the introduction of CMU, the health insurance funds must continue to do a great deal of checking in order to decide how entitlements to the basic scheme are to be awarded. Certain procedures, such as those concerning agreement to provide cover prior to treatment, are very resource-intensive and of uncertain economic benefit. Thus, according to certain calculations, administrative management accounts for over 10 per cent[70] of the expenditure actually managed by the funds. The bulk of the management cost is attributable to the refund of endless small sums paid direct to doctors by their patients. This contrasts with the system applying in some Canadian provinces where doctors are paid direct by the public insurance scheme, which permits substantial savings.

Despite the possibilities offered by computerisation, there are still 129 insurance offices in metropolitan France for the general scheme, with a combined staff of about 90 000.[71] The conditions for restructuring insurance fund activity raise the same problems as those encountered in the case of public hospitals, notably local opposition to the closure of local health-insurance-fund offices. Restructuring of those offices is even more difficult to envisage in the present period, with the double pressure created by the introduction of CMU and expectations regarding the 35-hour week. Sporadic social unrest affected some of the offices in 1999 and long delays in reimbursement have been recorded, amounting to as much as six months in the Paris area.

... and develop tools of evaluation and performance measurement

The health insurance funds have facilities for evaluating and measuring the performance of health care providers. They have a medical service comprising 11 000 doctors in all, who are required to monitor the activity of independent practitioners. The service is developing various surveys for this purpose. As yet, however, the funds have only limited authority as regards standards of care quality.

At hospital level, quality certification procedures have been developed as from the late 1990s. Care quality evaluation was made compulsory in 1991 and a special research fund was set up for the purpose. In 1990 the *Agence Nationale pour le Développement de l'Évaluation Médicale* (ANDEM) was established. Since the Juppé

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reform this agency, renamed *Agence Nationale d'Accréditation et d'Évaluation en Santé*, has seen its activities and resources enlarged. It is now, after AHCRQ (Agency for Health Care Research and Quality) in the United States, one of the leading agencies of this type in the world. It takes part in the development of evidence-based medicine by way of close contacts with expert panels and medical journals. It also evaluates medical technologies and will soon take over the process of accreditation of hospital services. The *Références médicales opposables* (RMO), an official negative list of medical practices, have contributed to these developments. But in spite of these innovations, which are part of the modernisation of France's health care system, no way has been found to link performance evaluation with economic incentives, so as to make it possible to "buy" quality.

Conclusion and recommendations

The French health care system functions within a framework of macroeconomic regulatory mechanisms, of which the only one that appears to be effective is budgetary control of the public hospitals. But stabilisation of hospital expenditure is fragile, since it is achieved under the pressure of external budgetary constraints rather than on the basis of internal restructuring. Public hospitals are subjected to budgetary rules and thus have no incentive to optimise their services and their operating costs. The challenge here is to design, in a context of global budgets, reforms that will help the hospital sector to change and adapt to the needs of society. There is no miracle solution to the problem of the public hospital. What is needed is a reform package encompassing the remuneration of hospital services, the institutional framework, hospital staff regulations, and modes of governance.

- The method of remunerating hospital services should be reformed so as to establish an environment that encourages hospitals to provide high-quality services at optimal cost. For this purpose, diagnosis-related payment, with the necessary adjustments, could be introduced into hospital financing by the regional hospitalisation agencies (ARH).
- The role of the ARH should therefore be expanded and these agencies should be made more autonomous to enable them to act as care purchasers and to obtain affordable high-quality care for patients. Tendering could be introduced for the purchase of standardised care in order to promote competition between suppliers on the basis of a harmonised price structure.
- A new method of remuneration will have an impact only if the hospitals themselves acquire more autonomy of management, allowing them to change. Greater flexibility of management might be achieved if hospitals were to become autonomous public corporations with a status based on that of the *Établissements Publics à Caractére Industriel et Commercial*

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(EPIC), like other public services such the postal system (*La Poste*) and the SNCF (French railways). The tools of economic management also need to be modernised, notably cost accounting, valuation of invested capital and property in the annual accounts, and depreciation of fixed assets.

– Similarly, new personnel management methods are necessary to increase staff mobility between hospitals and to permit more flexible work organisation. Most importantly, there is a need for new modes of assigning medical staff to establishments that give the hospitals themselves more room for manoeuvre. The recent example of the postal system shows that it is possible in France to make extensive changes in a public service with a high use of labour and to maintain a guarantee of total employment without commitment to any particular establishment. Performance assessment of management staff and hospital doctors also needs to be strengthened so as to improve career management. Lastly, the inevitable introduction of the 35-hour week provides an opportunity to reorganise work in hospitals, with annualised work time arrangements and new methods of counting work hours. To facilitate mobility, financial incentives should be offered to doctors so as to put an end to private patient treatment and private beds in public hospitals.

– A new mode of governance is needed in order to clarify the respective roles of elected members of city councils, central government and hospital personnel. Hospital boards should doubtless be given increased powers, though this should also imply greater financial accountability and greater transparency in terms of medical performance. Boards opposed to restructuring measures proposed by the ARH should, for example, be required to present alternative strategies and specify the necessary financing, as is done in relations between the SNCF and the regional councils.

Unlike the case with public hospitals, which are subjected to strict budgetary rules, independent medical practice and the activity of private clinics were until recently subject to only limited regulation since the financial sanctions prescribed by the Juppé Plan were disallowed by the courts. Similarly, demand for ambulatory medicine is subject to only limited restraints, given that the supplementary reimbursements by *mutuelles* offset in large part co-payments by their members, and CMU allows this medicine free of charge to low-income households. A number of changes might be made here.

– In creating the illusion that medical care comes free of charge, reimbursements by supplementary insurance schemes generate negative externalities. Since a very large proportion of their expenditure

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is refunded, insured persons tend to consume unreservedly without heed to the prices charged. Furthermore, the negative externalities generated by the basic scheme are not included in the calculation of the premiums for supplementary cover. Basic and supplementary insurers therefore need to engage in discussions with a view to devising more appropriate methods of financing health care, to redefining cover and to striking a better balance between prevention and curative care. These discussions could also address the definition of a basket of reimbursable care such as exists in the Netherlands or in the United States in Oregon's Medicaid system. Given the institutional features of the French health care, the introduction of such a basket should be considered with a view to facilitating the joint modernisation of basic and supplementary cover.

– Demand can also be regulated by means of screening access to certain specialists. The *médecin référent* system could be adjusted so that the referring general practitioner would screen access to the categories of specialists in which flagrant over-use of care provision had been found. Choice of the referring physician should remain free, but incentives should be given so as to discourage frequent changes (*e.g.* annual subscription system), thus permitting better monitoring of patients and continuity of care. It would also be helpful to create specific care networks between health care professionals and institutionalised referral systems.

– In order to change the microeconomic incentives for agents, it is also necessary to modify the system of payment of doctors, by revising the links between activity and remuneration, with joint mechanisms to lessen the inflationary effects of the current system of payment per service. There is need for a new payments nomenclature specifying individual medical services, together with a continuous process of adjustment of the structure of specialists' remuneration to incorporate the effects of technical progress.

– Social security could set up a call centre to help users to decide whether they should consult a doctor or not and, if so, to choose between a general practitioner and a specialist, which would prevent unnecessary consultations.

– Given the demographic ageing of the physician population, a procedure of periodic re-accreditation could be introduced so as to ensure that doctors' skills remain at the required level, especially in those specialities subject to rapid technological change. Depending on the outcome of the re-accreditation assessment, mandatory further training or redeployment could be proposed.

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– The impact of CMU on patient behaviour, and hence on social security expenditure, should be closely monitored. A periodic evaluation procedure should be implemented regularly and its findings presented to Parliament, as CMU may prove much more costly than expected. In addition, much uncertainty still surrounds the future behaviour of agents following its introduction. Finally, pressure may be brought to bear on supplementary insurers so that they offer the same cover as CMU, which they do not do today.

As far as medicines are concerned, the process of reassessing the therapeutic value of drugs needs to be complemented by decisions on reimbursement policy in line with these findings. Drugs whose medical benefit is not proven should be taken off the list of reimbursable medicines. Administrative pricing of medicines should be avoided wherever possible. The freedom of public hospitals to negotiate prices of medicines and supplies in the context of tenders should be extended to private clinics, which should be allowed to recoup part of the gains generated by bargaining. Where administrative pricing cannot be avoided, continuous adjustment should be made to allow for technological progress. Finally, there needs to be more competition between pharmacies. New incentives are required in order to encourage the development of generic drugs. For instance, the reference price for a reimbursable drug could be the price of the generic drug where such drug exists. The market in over-the-counter drugs sold by a pharmacist should be developed; in particular, this would facilitate the revision of the list of reimbursable drugs.

With regard to management of the health insurance system, processing of the *feuilles de soins* (patients' claim forms) by a single paying agent, rather than CNAM plus supplementary insurer as at present, might be envisaged. Competition between supplementary insurers should be stimulated on a more transparent basis so as to facilitate comparison of their charges. A business plan for the CNAM, based on cost reduction targets, should be adopted. In parallel, increased computerisation of doctors' offices is desirable, both as an aid to prescription and to facilitate monitoring and audit of activity.

Finally, although some progress has been made recently, public health care policy needs to be given greater prominence. In France too much weight is given to treatment of illnesses and not enough to their prevention. The different policies concerning the population's health are poorly co-ordinated and insufficient resources are allocated to prevention (discouragement of smoking, cancer screening, frequent complete medical check-ups, and so on). France could follow the example of other OECD countries – like the Nordic countries, for instance – and establish procedures to gauge the performance of expenditure on treatment, as compared with prevention, and to better evaluate all the policies that have an impact on the population's health.

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Notes

1. It is difficult to assess the scale of the wealth effect in France, given the lack of statistics on the net asset position of individuals since 1997. Even so, households are unlikely to have benefited much from the rise in share prices in the industrialised countries, since individual shareholding is not very common. French households have to a large extent invested their wealth in property and government bonds. Property prices would appear to have stagnated in the 1990s, the recent catch-up compensating for an appreciable fall at the start of the decade. Bonds, for their part, decreased in value in 1999 as a result of the rise in long-term interest rates.
2. Non-financial companies and unincorporated enterprises.
3. In 1999, in addition to these factors, major aircraft deliveries in the air transport sector boosted the figures of gross fixed capital formation.
4. In the new system of national accounts (SEC95), software purchases are treated as investment, whereas in the previous system they were treated as intermediate consumption. The breakdown of investment by product supplied by INSEE does not, however, allow these purchases to be singled out from the others.
5. The ILO definition encompasses persons who are seeking employment, are actually taking steps to find work, are available and have not been in work during the week preceding the reference period. A broader definition of unemployment, including persons in search of full-time or part-time employment (fixed-term or indefinite-term contract) who are not immediately available, *i.e.* who have worked more than 78 hours in the month, points to a number of job-seekers of about 3.7 million. On this definition, the number of job-seekers fell less than on the ILO definition over the period 1998-99.
6. According to INSEE, the trend increase in the labour force was 130 000 in 1998 and 150 000 in 1999.
7. Moreover, the abolition of military service is being accompanied by increased youth employment and unemployment. The numbers of conscripts began to decline as of 1997, military service having been abolished for men born in 1979 and later. In January 1999, 111 000 people were called up, compared with 178 000 in March 1998 and 200 000 in March 1997. The fall in the number of conscripts between 1998 and 1999 was accompanied by an increase in both the employment rate for young men and the share of young male unemployment in the total.
8. The richer job content of growth reflects a slower increase in per capita labour productivity, the latter rising at a rate of between just 0.7 and 0.9 per cent per year between 1997 and 1999. By comparison, the basic monthly wage increased by 1.5 per cent in 1997 and 1998, at constant prices, before slowing to 0.4 per cent in 1999.
9. After valuation adjustment and loan reclassification.

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10. See Ehrmann (1998) and Bouscharan *et al.* (1999).
11. The Ministry of Economy, Finance and Industry estimates that the output gap will disappear at the earliest in 2001 (report submitted to Parliament by the government for the debate on budgetary strategy, April 2000).
12. Annual percentage change deflated by the consumer price index excluding tobacco, excluding exceptional outlays,, on a constant definition, on budgetary accounting and net debt basis. Based on this definition, central government spending rose by 1 per cent in 1999. In contrast, national accounts indicate that it rose by 3.5 per cent in real terms. Several methodological differences explain this difference, including the following:
    - The authorities calculate central government spending based on a constant definition, that is, after excluding the shift into the budget of operations previously done elsewhere. Thus, for 1999, they exclude spending amounting to FF 19 billion. National accounts, in contrast, do not use a constant definition for the central government.
    - The authorities calculate the annual change in central government spending excluding "exceptional spending", that is, spending linked to exceptional weather conditions, and excluding the reimbursement by the central government of a credit contracted by UNEDIC.
    - Lastly, adjustments are made to get from the budgetary accounts to national accounts.
13. The Revised Budget Law provides, like the initial Budget Law, for a general government borrowing requirement of FF 215 billion in 1999, compared with a balance of FF 206 billion in 1998. Nevertheless, the Minister of Economy, Finance and Industry committed, during the parliamentary debate on the amending Finance Act, to limit this deficit to FF 200 billion.
14. On the basis of a 3-year horizon and a confidence level of 90 per cent.
15. The total number of public servants is 5.6 million, including employees of the postal service and France Telecom, draftees, private-education personnel under contract to the State, and persons holding *emploi-solidarité* work contracts.
16. INSEE (1999), "L*es comparaisons de salaire entre le secteur privé et la* F*onction publique d'*É*tat*" in "L'*évolution des salaires jusqu'en* 1997", Synthèses de l'INSEE, No. 26.
17. Average net annual pay of State employees in 1997 was FF 145 360, as compared with FF 131 120 for employees in the private sector. Part of the gap can be explained by different qualification patterns: civil service jobs require higher qualifications.
18. The annual creep in the wage bill due to length of service and new skill requirements is known as G*lissement-*V*ieillesse-*T*echnicité* (GVT) and includes comparability adjustments made every year.
19. Some OECD countries, like Switzerland, are abandoning civil servant status and offering public employees contracts under private law.
20. See Charpin (1999), Taddéi (1999), Teulade (2000).
21. The cut-off date of 2005 can be explained simply as 60 years (normal retirement age) after the end of World War II.
22. A "*rendez-vous*" clause provides for adjustments if the wage-price differential becomes too wide.
23. The changeover from 10 to 25 years is made progressively, at the rate of one-quarter per year, and concerns the cohorts born between 1933 and 1948.
24. Extension at the rate of one-quarter per year. The 40-year period of contribution applies to the generation born in 1943 and after.

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25. As noted in *Cour des Comptes* (1999*a*), promotions are sometimes offered to civil servants at the end of their careers in order to entitle them to a better pension. This is impossible in the private sector because of the 25-year calculation base.
26. In those countries the PAYG schemes are now open only to persons having accumulated a basic pension entitlement, which means that they are being phased out.
27. Code of Good Practices on Fiscal Transparency – Declaration on Principles.
28. See OECD (2000*a*).
29. Special Data Dissemination Standards.
30. Available on the ministry's Internet site.
31. Index-linked Treasury bonds (*Obligations Assimilables du Trésor indexées*).
32. The government has set a "full employment" target corresponding to an unemployment rate of 4½ per cent by 2010, with an intermediate target of 7 per cent in 2007 (speech by Prime Minister Lionel Jospin).
33. For example, according to the estimates made with the METRIC model, low-wage employer contribution relief of FF 10 billion would make it possible to create about 55 000 jobs by the end of five years, assuming 0.5 long-term elasticity of demand for low-skilled labour at its real cost.
34. At that time unskilled labour accounted for one-fourth of full-time employment in the private sector, declining to only 16 per cent ten years later.
35. According to DARES, between 1993 and 1997 full-time labour costs in the private sector increased by 2.2 per cent for skilled employees, but decreased by 0.5 per cent for unskilled employees while their relative wage rose.
36. Other measures to reduce labour cost further have been introduced since the last *Survey*. The 1999 reform of the *taxe professionnelle*, designed to phase out the wage share of the tax base, is reducing labour cost. It is planned that the reduction will amount to about FF 10 billion a year until 2003. It should produce a sustainable increase of some 20 000 jobs in 2000 according to the Ministry of Economy, Finance and Industry. Application of the reduced rate of VAT for domestic work and home services to individuals since the end of 1999 should permit the creation of several thousand jobs and curb unrecorded employment.
37. The ARPE allowance is given to employees aged 58 and over with an old-age pension contribution record of 160 quarter-years.
38. The State will contribute 20 per cent if early retirement is taken at age 55, 35 per cent at age 56 and 50 per cent as from age 57.
39. The data are taken from the ACEMO quarterly survey on working conditions carried out by the Ministry of Employment and Solidarity. The survey shows the trend of average weekly hours for full-time employees in enterprises employing 10 or more persons.
40. The government had planned to levy nearly FF 13 billion from social insurance funds whose accounts are currently in surplus (UNEDIC and the industrial injury branch of social security). The social partners opposed this, and on 25 October 1999 the government abandoned the idea. Furthermore, on 13 January 2000 the Constitutional Council censured the provision for differentiated taxation of overtime according to whether firms are on the 35-hour week or not. The government had originally planned to levy FF 7 billion as part of the taxation of overtime making a week of between 36 and 39 hours in firms with more than 20 employees that do not move over to the 35-hour week in 2000.

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41. *La Tribune*, 10 February 2000.

42. Study carried out by IFOP for the *Salon des Entrepreneurs* 2000 in conjunction with the Business Creation Agency and Arthur Andersen, on a representative sample of the over-18 year-old population. See *www.apce.com*.

43. The CSG and the CRDS together amount to 10 per cent of taxable earned income, investment income and capital gains.

44. Executives who receive stock options may buy shares of their company after a specific date (after a minimum waiting period, presently five years) and a price set in advance. This price is either the stock market price at the time when the stock option is granted, or a discounted value of the same price (the discount varies between 5 and 20 per cent). After the minimum waiting period of five years, two situations might occur: If the stock market price is higher than the price established initially, the beneficiary may exercise his option and buy the shares at an advantageous price; if the stock market price is lower than the price established initially, the beneficiary has no interest exercising his option and can renounce it (without gains or losses).

45. These indicators are based on the OECD Regulatory Indicators Questionnaire and describe product markets in 1998 (OECD, 1999*c*; Nicoletti *et al.*, 1999). The replies to the questionnaire and other information were used to compile cardinal composite indicators. The questionnaire asked for information about more than 1 500 economy-wide and sector-specific legislative, regulatory and administrative provisions. It focussed exclusively on the degree of "sensitivity" of regulations to market mechanisms and did not try to evaluate the quality of regulations or whether they were adapted to their objectives. Furthermore, the indicators are only partial and some of them are flimsy. For example, they do not include competition policy. The rankings should be treated with caution, especially when the differences in absolute terms are small, since many indicators are not precise.

46. On 19 January 2000, EDF acquired 24.1 per cent of the capital of EnBW, the German number four.

47. According to the Ministry of Economy, Finance and Industry, France Télécom's market share is estimated at 80 per cent. According to ART, it is over 90 per cent.

48. Consumption baskets make it possible to evaluate the structure of consumption of a given category of users. The base includes the fixed rental charge and the most common national calls; it does not include international calls, calls to mobile phones and Télétel and Auditel calls. For further details about the methodology used, see *www.art-telecom.fr*.

49. The *Groupe d'actionnaires partenaires* consists of the Crédit Agricole (10 per cent), AGF-Allianz (6 per cent), AXA (5.5 per cent), Commerzbank (4 per cent), Banco Bilbao Vizcaya (3.75 per cent), Banca Intesa (2.75 per cent) and CCF (1 per cent).

50. The shareholding structure of Thomson Multimédia is now as follows: Thomson SA, 52 per cent; employees, 5.5 per cent; industrial partners, 25.5 per cent; institutional and individual investors, 17 per cent.

51. Aérospatiale Matra and Dasa are set to merge all their activities, thereby creating the largest aerospace group in Europe. A holding company will control 60 per cent of the new company and 40 per cent will be introduced on the stock exchange. Half of the holding company's shares will be held by Daimler-Chrysler, the other half by a company whose capital will itself be divided equally between private shareholders and the French State.

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52. Responsibility for regional passenger rail transport will be transferred to the regions as from January 2001.
53. Service activities such as telecommunications, audio-visual and computer services, and manufacture of industrial products like computers and electronic components.
54. There are 18 basic health insurance funds. The main one, the *Caisse Nationale d'Assurance Maladie des Travailleurs salariés* (CNAMTs) covers four-fifths of the population, mostly private sector employees and their families. Other important schemes are the *Mutualité Sociale Agricole* (for farmers) and the *Caisse Nationale d'Assurance Maladie des Travailleurs Indépendants et Artisans* (CANAM). There are also special statutory funds for certain public sector employees and for miners. These funds administer benefits. Health insurance contributions are paid by employers and employees (mainly *via* the *contribution sociale généralisée*). The contributions are collected by separate agencies in charge of collecting all social contributions.
55. Supplementary insurance is provided by *mutuelles* subject to a special code and taxation, and by traditional insurance companies. In the private sector, the bulk of this insurance is bought in the group insurance market by companies as part of job-related benefits.
56. About a quarter of ambulatory care doctors are allowed to charge more than the official schedules, normally because they have special qualifications. This so-called "Sector II" was opened up at the start of the 1980s but the qualification requirements were tightened up considerably, and to a large extent the sector has been closed to further access by the 1990 agreement between the doctors and the authorities (*convention*). Its relative share declined from 31 per cent in 1990 to 27 per cent in 1997, but the share for specialists is higher – 34 per cent. Fees of sector II doctors, which are beyond the official fee schedules, are reimbursed only by the better supplementary insurance schemes, and then the amount varies quite widely from one scheme to another.
57. The income ceiling is degressive: FF 3 500 per month per person, FF 5 250 for two people, FF 6 300 for three people, FF 7 350 for four people, and FF 1 400 for each additional person after that. Some social benefits are not included in the calculation of resources (the allowance given at the start of the school year) while only a fixed part of other benefits received (family allowances, housing benefit) is taken into account.
58. For example, France has one of the highest rates of cardiac catheterization and angioplasty, close to those in Germany and Belgium at the European level (Jaccbzone *et al.*, 1997).
59. Simple econometric regressions suggest an elasticity of health care consumption with respect to income of over 1. However, this finding should be treated with caution since it is very difficult to measure the true elasticity of health care consumption with respect to income, other things being equal. International studies suggest that when more satisfactory econometric methods can be used, the elasticity of health spending with respect to GDP is close to 0.8, once supply factors have been taken into account (Gerdtham and Jönsson, 1997).
60. The provisions of the Juppé Plan regulating independent medical practice were substantially cut by the *Conseil d'État* and the Constitutional Court, following appeals and referral by Parliament. In particular, an agreement of 1997 whereby doctors would be obliged to refund amounts in excess of the target for ambulatory care was voided in 1998, and there was no mechanism for controlling such expenditure in 1998 and 1999. In 1997, general practitioners kept within their target but specialists did not. In 1998, the overrun was due in large part to ambulatory care, and especially to drug prescriptions by general practitioners.

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61. The decision by the government in 1999 to lower the prices of private clinics by 1.95 per cent was cancelled by both the *Conseil d'État* and the Constitutional Court.

62. Admittedly, the government projects that the deficit on the health branch of the social security will be significantly reduced in 2000. However, it should not be concluded from this that the financial situation is now sound. Revenue was boosted in 1998 and 1999 by a steep increase in job creation and thus in the wage bill – the main component of the base on which social insurance contributions are calculated – while expenditure benefited from the slowing of inflation. The quasi-balance projected for 2000, at the peak of the cycle, could thus very well mask a structural deficit.

63. INSEE, *Projections de la population*, INSEE Résultats n° 361-362-363.

64. The ARHs are streamlined decentralised structures which co-ordinate the services of the regional health insurance funds in the hospital sector and the State regional health and social services. At first, they had had financial responsibilities and overall oversight for the public hospital sector. They are in charge not only of allocating global budgets to hospitals but also of ensuring that their objectives and programmes are in line with the directives of the regional health conferences and with regional health organisation plans. They can, in principle, behave like "purchasers" of health care, like district authorities in the United Kingdom, but their limited autonomy *vis-à-vis* other institutional actors prevents them from playing this role in an active way.

65. Private clinics are very flexible: between 1992 and 1998, a total of 320 reorganisations were implemented, affecting 700 clinics.

66. For example, a splenectomy is a complex operation usually done in an emergency and priced at FF 1 570 including 20 days post-operative care, whereas a full coloscopy, four of which can be done in the same day, is priced at FF 1 000. A general anaesthetic is priced at FF 300 whereas an echocardiography costs FF 600 (*Cour des comptes*, 1998). Clearly, it is in the interest of the most efficient clinics to avoid doing splenectomies and general anaesthetics and to do coloscopies and echocardiographies instead.

67. Consultation fees in constant francs rose by 22 per cent for general practitioners and 12 per cent for specialists between 1980 and 1996.

68. *La Nomenclature Générale des Actes Professionnels* (NGAP).

69. Represented by the *Comité Économique du Médicament*, now renamed *Comité Économique des Produits de Santé*. This body comprises representatives of the social affairs and finance and industry ministries and the health insurance authorities.

70. Ratio of administrative management expenditure plus medical verification, *i.e.* FF 32.5 billion, to benefits paid in metropolitan France excluding payments to public hospitals, *i.e.* FF 310 billion in 1999 (*Commission des comptes de la Sécurité sociale*). The ratio would be reduced to 5.8 per cent by including hospital grants, but excluding the contribution of State services to hospital management.

71. This figure should be treated with caution. The *Cour des comptes* has pointed out that it is difficult to gauge exactly the number of staff actually employed in agencies that are subsidiary to the national funds (*Cour des comptes*, 1999*b*).

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Glossary of acronyms

ACOSS	Agence centrale des organismes de Sécurité sociale
AGIRC	Association des régimes de retraite des cadres
AHCRQ	Agency for health care research and quality
APE	Allocation parentale d'éducation
API	Allocation de parent isolé
ARH	Agence régionale d'hospitalisation
ART	Autorité de régulation des télécommunications
ARPE	Allocation de remplacement pour l'emploi
ARRCO	Association des régimes de retraite complémentaires
ASS	Allocation de solidarité spécifique
CADES	Caisse d'amortissement de la dette sociale
CANAM	Cisse nationale d'assurance maladie des travailleurs indépendants et artisans
CDD	Contrat à durée déterminée
CDI	Contrat à durée indéterminée
CDR	Consortium de réalisation
CMU	Couverture médicale universelle
CNAM	Caisse nationale d'assurance maladie
CNAVTS	Caisse nationale d'assurance vieillesse des travailleurs salariés
CNMATS	Caisse nationale d'assurance maladie des travailleurs salariés
CRDS	Cotisation pour le remboursement de la dette sociale
CSG	Contribution sociale généralisée
DARES	Direction de l'animation de la recherche, des études et des statistiques
DGI	Direction générale des impôts
DRG	Diagnosis-related group
ECB	European Central Bank
EPIC	Établissement public industriel et commercial
EPFR	Établissement public de financement et de restructuration
ILO	International Labour Office
IRPP	Impôt sur le revenu des personnes physiques
ISA	Indicateur synthétique d'activité
LFSS	Loi de financement de la Sécurité sociale
NHS	National Health Service
ONDAM	Objectif national de dépenses d'assurance-maladie
PEA	Plan d'épargne en actions
PEP	Plan d'épargne populaire
PMSI	Programme de médicalisation des systèmes d'information
RFF	Réseau ferré de France
RMI	Revenu mininum d'insertion

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RMO	Références médicales opposables
SMIC	Salaire minimum de croissance
SNCF	Société nationale des chemins de fer
TGAP	Taxe générale sur les activités polluantes
TRACE	Trajet d'accès à l'emploi
UNEDIC	Union nationale pour l'emploi dans l'industrie et le commerce
URSSAF	Union de recouvrement des cotisations de sécurité sociale et d'allocations familiales

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Annex I
Employment policy

Active labour market measures

Despite improvements in the labour market, the number of persons benefiting from the range of active labour market policy programmes is still rising and totalled almost 2.7 million by the end of 1999. The share of expenditure allocated to active measures (not including the degressive social contribution rebate for low-wage employment) has increased substantially since 1990, reaching 1.5 per cent of GDP in 1999, even though some schemes had been refocused on target groups.

In the private sector, employment initiative contracts (*contrats initiative emploi* – CIE)[1] are part of the programme to combat long-term unemployment. They are targeted at different categories of persons having difficulty in finding work. The number of people with CIE contracts amounted, to 285 000 in 1999, which represents a marked decrease since 1997, this being the result of refocusing on priority categories. These contracts have been of definite but limited value, insofar as an assessment is possible, and their impact on the employment of priority categories is difficult to establish. Hirings of those with the greatest difficulty in finding work have increased since 1996, even if the objectives set for certain target categories have not been reached (Cour des Comptes, 2000).

Intake figures for on-the-job training courses (*formation en alternance*) were up in 1999, as they had been in 1998 and 1997, with a marked increase in the recruitment of young people. The number of *contrats de qualification*[2] and apprenticeships also showed an increase. On the other hand, the number of persons attending courses for the long-term unemployed and RMI recipients has been falling since 1997.

In the public sector, the numbers benefiting from employment support measures have been increasing steadily since 1997. By the end of 1999, youth jobs (*emplois jeunes*) totalled 171 000.[3] Of these, 66 5000 were in national education and 15 000 in the national police, most of the remaining jobs being provided by associations and local authorities. Most youth jobs are full-time and just over one in two are paid above the SMIC. Roughly three-quarters of the youths concerned had been previously unemployed and 8.5 per cent had been receiving the RMI. Almost three-quarters of those recruited had a qualification equivalent to the *baccalauréat* or higher. The government's target of 350 000 youth jobs could be met in 2001 and the first leavers from the scheme are due as from 2002 at a rate of 100 000 per year. The first steps are now being taken towards making these jobs permanent and giving them professional status. Case monitoring procedures still have to be defined and there is a great deal of uncertainty about future sources of funding.

By contrast, as a result of the recent anti-exclusion law, there has been a substantial growth in the number of consolidated job contracts (*contrats emplois-consolidés*, CEC),[4] with over 115 000 recipients in 1999. The number of employment-solidarity contracts[5] (*contrats*

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emploi-solidarité, CES), on the other hand, has continued to decline since the scheme was refocused on the neediest population categories, which accounted for almost 70 per cent of these contracts in 1998, as opposed to 60 per cent in 1996. At the end of 1999 the number of CES contracts totalled 222 000.

The number of beneficiaries under the various early retirement schemes[6] has increased in the past few years, totalling over 490 000 in 1999. The number of early retirees under state-subsidised schemes continued to fall, to approximately 73 000, while the number receiving the employment replacement allowance (ARPE) – subsidised by the UNEDIC – rose from 50 000 to 85 000. The social partners have extended the ARPE scheme until 30 June 2000. As it is jointly funded and retirees are replaced by young employees, this early retirement scheme can be a useful alternative for employers in that it cuts restructuring costs. The future of this measure will depend on the next collective bargaining rounds.

Changes to the unemployment benefit scheme

Several changes were made to the unemployment benefit scheme in the 1990s. In response to rising unemployment and the unemployment insurance scheme's growing deficit, the social partners signed an agreement in 1992 providing for a major overhaul of the scheme in 1993.

The 1993 reform substantially lengthened the required contribution period. It introduced a declining rate of benefit after a period at the full rate and extended the waiting period before the first payment of benefit. The result has been a substantial decline in the percentage of job seekers receiving unemployment benefit. From a peak of 55.8 per cent in 1992, the rate of coverage by unemployment insurance fell to 42 per cent in 1998.[7] Unemployment compensation also includes the special solidarity allowances (*allocations spécifiques de solidarité*, ASA), so that in all 53 per cent of job seekers were drawing benefit at the end of 1999.

In contrast, since 1996 the social partners have implemented several measures to raise the level of benefit payment. The degressive rate is now paid for six months instead of four and the minimum benefit has been increased. An allowance for the elderly jobless (*allocation des chômeurs âgés*, ACA), introduced for persons with 160 quarter-year contributions to the old age scheme and paid until retirement at age 60, has also made the system more generous. The 25 per cent benefit deduction for unemployed people having worked four out of the last eight months has been abolished.

Reduction in working hours

The first law on the 35-hour week

The law of 13 June 1998 (the first law on the 35-hour week) offered assistance to firms that negotiated a reduction in working hours prior to the introduction of the statutory 35-hour week. The law allowed a five-year reduction in employers' social security contributions[8] for any firm cutting its employees' working hours by at least 10 per cent. Under the law's "offensive" provisions, contribution relief was subject to a 6 per cent increase in the workforce for firms cutting hours by 10 per cent and a 9 per cent increase in the workforce for firms cutting hours by 15 per cent or more. The new level of employment had to be maintained for at least two years. Under the "defensive" provisions, any firm or establishment which cut working hours in order to avoid layoffs under a redundancy package and undertook to maintain its level of employment for at least 2 years was entitled to relief. This incentive law holds good until 2002 for firms with fewer than 20 employees.

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The second law on the 35-hour week

The second law on the reduction of working hours was published in the *Journal Officiel* on 20 January 2000, but some of its provisions have been invalidated by the Constitutional Council.[9] It reduces the statutory working week to 35 hours as of 1 January 2000 for firms with more than 20 employees and for other firms as of 1 January 2002.

Overtime

An interim arrangement lasting one year for overtime rates and two years for overtime quotas is to be introduced. From February 2000, overtime is to be paid at time plus 10 per cent (of gross salary) from the 35th to the 39th hour worked, at time-and-a-quarter up to the 47th hour worked and at time-and-a-half thereafter for firms with more than 20 employees. Where there is no collective agreement, time off will be given in lieu of the 10 per cent overtime rate. From 2001, the rate will be raised to time-and-a-quarter from the 36th to the 43rd hour worked and time-and-a half thereafter. The overtime quota for firms with more than 20 employees is 130 hours per employee per year for hours worked over and above a 37-hour week in 2000, a 36-hour week in 2001 and a 35-hour week as of 2002. The same arrangements will apply to firms with fewer than 20 employees from 2002 to 2004.

The SMIC *and indexing mechanisms*

Until 2005, the monthly pay of employees receiving the SMIC is guaranteed (they will receive at least the same pay as before the reduction in working hours) despite the shift to a 35-hour week. This guarantee is met by a "top-up payment" representing the difference between the previous salary (up to a maximum of 169 hours) and the hourly SMIC multiplied by the number of hours worked. The guarantee applies to employees whose working week has been reduced to 35 hours since 15 June 1998 and to employees hired after the reduction

Table A1. **Overtime arrangements**

	Transitional scheme[1]	Definitive scheme
Overtime between the 36th and the 39th hour inclusive	10 per cent pay premium[2]	25 per cent pay premium[2]
Overtime between the 40th and the 43rd hour inclusive	25 per cent pay premium	
Overtime beyond the 43rd hour	50 per cent pay premium	
Compulsory time off	**Workforce ≤ 10 employees** 50 per cent of hours worked beyond the quota **Workforce > 10 employees** 50 per cent of hours worked beyond the 41st hour 100 per cent of hours worked beyond the quota	

1. Until 31 December 2000 for firms with more than 20 employees and until 31 December 2002 for other firms.
2. The premium awarded to the employee may take the form of time off or extra pay depending on the arrangements specified in the collective agreement. Where no collective agreement exists, the premium must take the form of time off.

Source: Liaisons sociales, No. 8062.

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in working hours for jobs equivalent to those held by employees covered by the guarantee (jobs paid at the same wages and of the same status in the firm). Part-time employees are also covered by the monthly guarantee in due proportion.

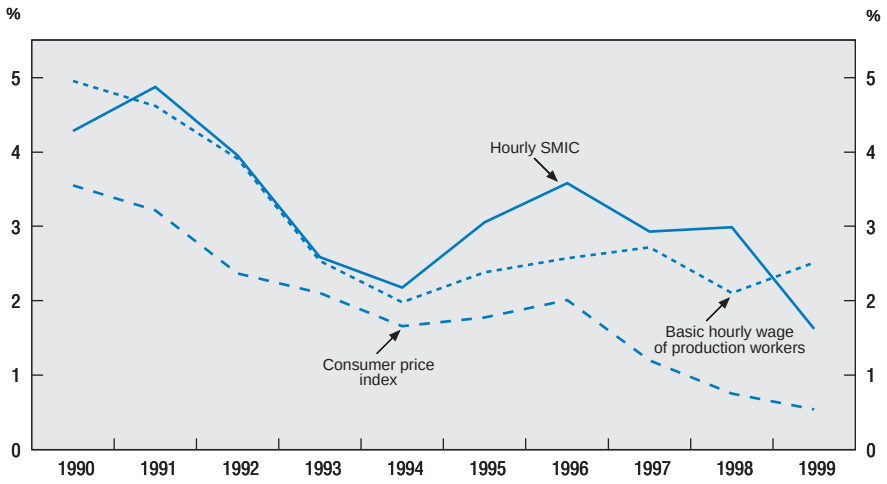
The monthly minimum, *i.e.* basic wage plus the top-up, will be adjusted on 1 July each year to take account of the rise in the consumer price index and 50 per cent of the increase in the purchasing power of production workers' basic monthly pay. By 1 July 2005 at the latest, the hourly SMIC rate for the 35-hour week should have caught up with the guaranteed rate of monthly pay, since the index for the minimum monthly wage is rising less rapidly than the index used for the hourly SMIC, *i.e.* the basic hourly wage of production workers. Furthermore, the latter could rise even faster than the monthly wage given that full wage compensation in the form of automatic increases in the hourly rate has been written into virtually all the agreements signed. Thus, as the move to the shorter workweek gains momentum, hourly wages will rise faster than monthly wages.

Reform of relief on employers' social contributions

Since 1 January 2000, firms implementing the 35-hour week (or the 1 600-hour year) have been entitled to more generous relief on employer's social security contributions, subject to certain conditions. The main one is the agreement to reduce work hours that has to be signed by the unions with majority representation in the firm or ratified by the staff by referendum. This agreement must make specific reference to job creation or preservation connected with the changeover to the 35-hour week. The new scheme for employers combines flat-rate relief (permanent subsidy) and declining-rate relief. There is now a single scale of exemption, at a

Figure A1. **Wage trends**

Annual averages, percentage changes



Source: INSEE.

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declining rate for wage payments up to 1.8 times the SMIC and a flat-rate exemption of FF 4 000 thereafter. In contrast to the first law, this relief is not contingent on there being constant monitoring of working hours, or a minimum by which they have to be reduced, nor does it depend on a certain percentage of jobs being created or maintained. As of 1 July 2000, the amount of relief will be increased by decree each year to take account of the rise in prices and half of the increase in purchasing power of the basic monthly wage of production workers. Firms which switched to the 35-hour week before 1 February 2000 and which, prior to 1 January 2000, received incentive subsidies under the first law on the 35-hour week or under the *Loi Robien* may combine their subsidies, but the amount of relief will be reduced by FF 4 000. Firms which have not introduced the 35-hour week will be allowed the degressive rebate on wage payments up to 1.3 times the SMIC. New firms with fewer than 20 employees which were set up after 1 February 2000 and which guarantee employees a monthly salary of at least 169 times the hourly SMIC will be entitled to incentive subsidies under the first law and relief on social security contributions for low-wage workers.

Table A2. **Scale of employer social contribution relief for a full-time employee in a firm on the 35-hour week**

Ratio of gross monthly wage[1] to the SMIC[2]	New relief scheme[3] (in French francs)	Total relief as per cent of gross wage	Remaining employer contributions (general scheme) as per cent of gross wage[4]	Total of remaining employer contributions as per cent of gross wage
1.0	21 500	26.0	4.5	19.0
1.1	17 700	19.5	11.0	25.5
1.2	14 600	14.5	16.5	30.3
1.3	11 900	11.0	19.0	33.9
1.4	9 600	8.5	22.0	36.7
1.5	7 700	6.0	24.0	38.8
1.6	5 900	4.5	26.0	40.5
1.7	4 400	3.0	27.0	41.9
1.8 and over	4 000	–	–	–

Note: Figures rounded to the nearest FF 100 and 0.5 per cent for ratios.
1. Full-time equivalent.
2. Monthly SMIC at FF 6 882 on the basis of 169 hours monthly (39 hours weekly).
3. Permanent subsidy for low and middle-wage employment.
4. Employer social security contributions (general scheme) represent about 30.3 per cent of the gross wage (28 per cent excluding industrial injury insurance).

Source: *Liaisons sociales*, No. 8062.

Other provisions

Firms with fewer than 20 employees will be entitled to subsidies under the first law until 31 December 2001. These firms will be allowed to phase in the shorter workweek in two or three stages, provided that they have cut it to 35 hours before 1 January 2002. The amount of aid will be proportionate to the reduction in hours at each stage. The subsidies will be additional to the relief on employer social security contributions on wage payments up to 1.8 times the SMIC.

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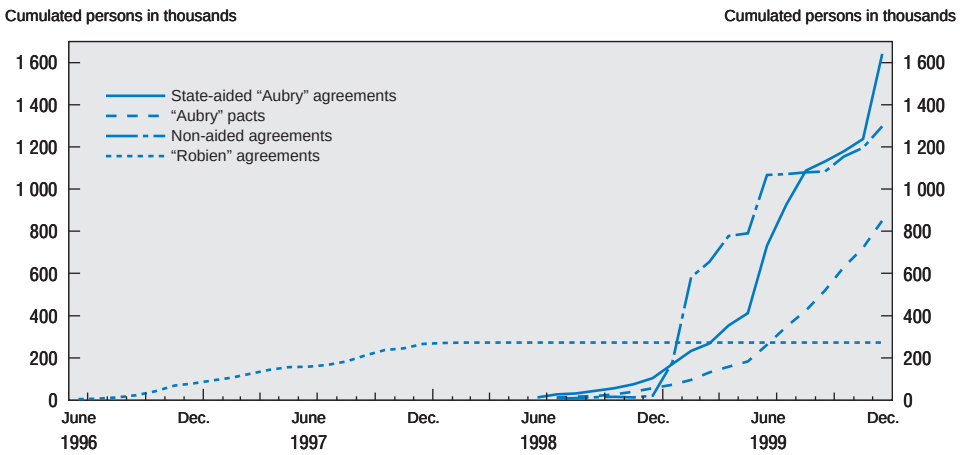
Three categories of managerial staff are identified in the legislation: senior management to whom the regulations on working hours do not apply; executives who work as part of a team (and therefore to the timetable for their department) and are subject to the same rules as the rest of the staff; and other executive staff with discretion to manage their own time. Staff in this last category will have their work hours reduced according to individual arrangements to be negotiated under a collective agreement. The reduction may be set as a number of hours or days, on a weekly, monthly or annual basis. The annual basis is reserved for those executives whose schedule cannot be predetermined. In the case of a count of days per year, executives can reduce their working hours by taking time off to arrive at a maximum of 217 days worked per year (giving them 10 extra days leave per year).

Under the law and with the employee's agreement, some of the free time gained from the reduction of working hours can be used for personal and professional development training, the costs of which are borne by the firm. Training designed to adjust, update or supplement the skills required for the employee's job will continue to take place during working hours. The social partners will determine which training courses take place on the firm's time and which on the employee's own time.

The switch to 35 hours in 1999 and 2000

The reduction in working hours currently concerns 9 million employees in firms with a workforce of more than twenty.[10] By end-March 2000, 28 000 firms had signed agreements to reduce working hours for 3.1 million employees (one-third of the total workforce of these firms), of whom 600 000 in the state and parastatal sectors. Roughly 38 per cent of firms with more than 20 employees have signed firm-level agreements. One hundred and thirty-two

Figure A2. **Employees covered by agreements**



Note: The difference between the numbers covered by agreements and those covered by "pacts" can be explained by the time needed for an agreement to be approved and formally signed by the State and the firm's social partners.
Source: Ministry of Employment and Solidarity, DARES, Working paper: *Premières évaluations quantitatives des réductions collectives du temps de travail.*

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sector-wide agreements potentially covering 10 million employees have been signed – subject to company-level agreements, except in the case of sectoral agreements that are directly applicable. Since the first law on the 35-hour week was passed, work time reduction agreements provide for the creation or maintenance of 181 000 jobs, of which 30 000 in firms not having requested assistance and 19 000 in public enterprises not eligible for assistance, according to the Ministry for Employment and Solidarity.

The vast majority of the agreements are aimed at job creation ("offensive") rather than preservation ("defensive"). Nine out of ten agreements provide for full earnings compensation *via* an increase in the hourly wage or a special compensatory premium to offset the reduction of working time. Most of them allow for wage moderation or a freeze on subsequent pay increases. Pay cuts are envisaged chiefly in "defensive" agreements or those providing for a work time reduction of 15 per cent or more.

Most of the agreements are aimed at obtaining state aid. Six agreements have been signed in public corporations not eligible for state aid.[11] Service enterprises account for over half of the agreements signed, but as these are frequently small businesses the agreements cover only a portion of the employees in this sector to whom the law potentially applies. Industry has concluded fewer agreements but employs over half of those employees whose working hours have been reduced (and about one-third of all employees within the scope of the law).

Almost one in every four agreements concerns small business, but for numbers of employees covered the big companies are way ahead. Firms with fewer than 20 employees account for only 5 per cent of all 35-hour workers. In contrast, with only 3 per cent of agreements, firms with 500 employees or more account for over one-third of persons working the 35-hour week.

On average, working hours have been reduced by 10 per cent, bringing the workweek to between 33 and 35 hours, in the case of agreements assisted by the Robien and Aubry incentive laws. Arrangements for reducing hours vary a great deal, and the introduction of an extra one-day or half-day's leave per week or the annualisation of hours is more common than other methods such as time savings accounts, overtime or part-time working. One-quarter of all agreements make provision for training. In almost one-third of agreements, the working year is less than 1 580 hours. In 40 per cent it is between 1 580 and 1 600 hours. One agreement in three provides for a working year of over 1 600 hours. Of the agreements signed, three-quarters also apply to executive staff. In a little under half the cases concerned, the arrangements for executive staff are not the same as for other staff and generally take the form of extra days' leave. The agreements signed by firms not requesting assistance provide for about half the average reduction of work time. These firms either had a workweek of less than 39 hours or changed their method of counting time by excluding from hours actually worked certain breaks or holidays formerly included in their official hours.

Part-time work

The last ten years have seen an unprecedented increase in part-time work: almost 17 per cent of private sector employees now work part time compared with only 11 per cent in 1990. The faster spread of part-time work can be attributed in large measure to strong financial incentives.

In September 1992, a 30 per cent flat-rate reduction in employers' social security contributions for staff on permanent contracts was introduced. This was increased to 50 per cent from January 1993 to April 1994, from which date it was brought back to 30 per cent. Part-time hours now have a wider spread and can be annualised. Exemptions from family allowance contributions payable by employers for low-wage workers – based on a monthly pay ceiling independent of the number of hours worked – can be combined with the flat-rate reduction.

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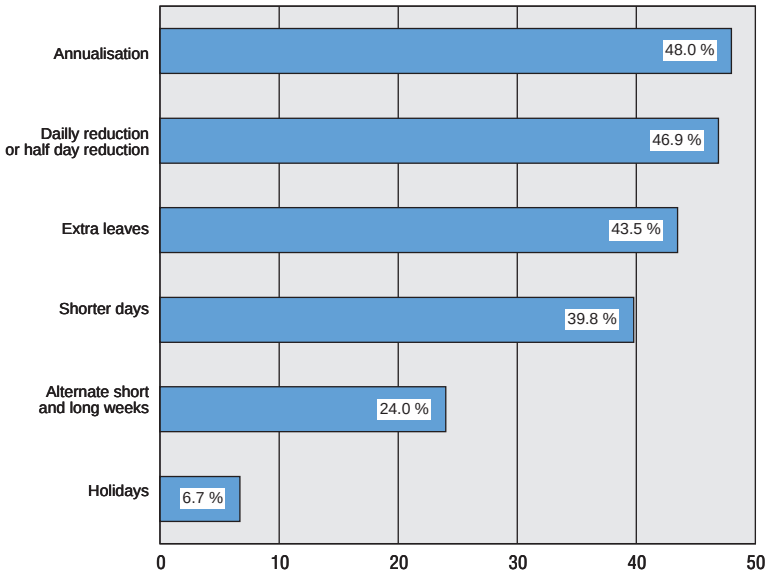
Figure A3. **Arrangements for reducing working hours**[1]



1. These results concern, on the one hand, about 5 000 agreements (with or without State subvention) signed between July 1998 and June 1999 and, on the other hand, 2 400 agreements which have been analysed in detail.

Note: Arrangements for reducing working hours could be combined in one enterprise and could concern a fraction or the entire firm, reflecting arrangements summing up to more than 100 per cent.

Source: Ministry of Employment and Solidarity, DARES.

From September 1995, it also became possible to combine the degressive rebate on employers' health insurance contributions for low-wage workers with the flat-rate reduction. In October 1996, the relief on family allowance contributions and the degressive rebate were merged into a single rebate. Other than in cases where the rebate was coupled with the part-time reduction, the reduction in social contributions on SMIC wages was 18.2 per cent. However, since January 1998 the degressive rebate has been prorated and the rate of contribution has been reduced by 9.1 per cent for one SMIC-based payment for a half-time employee.

The second law on the 35-hour week redefines part-time working in accordance with the European Directive of 15 December 1997. "Part-time workers" are employees whose working hours (calculated on a weekly, monthly or annual basis) are less than the statutory 35-hour week or the normal working hours of the establishment, if these are less than the statutory hours. Furthermore the switch to the 35-hour week calls into question the factors favourable to growth of part-time work. As of January 2001 the 30 per cent relief on employers' social security contributions for new part-time contracts will no longer apply to companies with more than 20 employees or as of January 2003 to other companies.

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Notes

1. Employment initiative contracts are aimed at securing employment for people with difficulties: those unemployed for over 1 year, RMI or ASS recipients, handicapped workers, persons aged under 26 with no qualifications, and the over-50s. Employers receive subsidies equivalent to the minimum wage (SMIC) and are exempt from social contributions.
2. *Contrats de qualification* are for under 26 year-olds and are designed to lead to a recognised vocational qualification. Employers can pay these young people less than the SMIC and the minimum pay varies with age. Employers are also exempt from social contributions and bonus payments.
3. Youth jobs are offered to young people between the ages of 18 and 25, to unemployed young persons aged 26 to 30 who have not worked long enough to be entitled to unemployment benefits, and to the handicapped under 30. Persons under CES or CEC are also eligible. Job creation must be in the public sector. These jobs are subsidised by the State to the tune of 80 per cent of the SMIC, including employers' social contributions, for a period of five years.
4. CECs provide five-year jobs in the non-market sector, 80 per cent state-subsidised for the neediest categories, and entitle employers to exemption from social contributions.
5. Part-time jobs in the non-market sector, 80 per cent state-subsidised and entitling the employer to exemption from social contributions.
6. Including unemployed persons exempted from job search because of their age.
7. Share of unemployed compensated.
8. Reduction of FF 9 000 per employee in the first year, decreasing by FF 1 000 per year, *i.e.* FF 8 000 in the second year, FF 7 000 in the third year for agreements signed before mid-1999. Agreements signed after 30 June 1999 entitled employers to a reduction of FF 7 000 in the first year, FF 6 000 in the second year, and FF 5 000 in the three following years. More relief was allowed if working hours were cut by 15 per cent, if hirings were on indefinite-term contracts, if priority categories were employed or if the business concerned was considered labour-intensive.
9. On 13 January 2000 the Constitutional Council validated the proposals in the second law on the 35-hour week except for four of its original provisions. Agreements signed under the first law would remain operative until expiry. The clauses in these agreements would where they prevail came into conflict with the provisions of the second law. The requirement for only those firms with more than 20 employees not having adopted the 35-hour week to pay a premium in respect of the first four hours of overtime worked was overruled, and the premium was made applicable to all firms irrespective of their work hours. The Constitutional Council overruled the "Michelin amendment", which would have made it necessary to seek a 35-hour-week agreement

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prior to any redundancy plan. It also disallowed the provision excluding part-time employees whose pay is based on the SMIC, and who choose not to reduce their work hours, from the entitlement to a minimum monthly remuneration once the reduction of work time is introduced.

10. Moreover, about 4 million workers will be covered by the 35-hour workweek in enterprises with less than 20 employees by 1 January 2002. The 4.8 million employees in the three branches of the civil service (state/ministry personnel, hospital staff, employees of local authorities) will be the subject of special negotiations.

11. The list of public enterprises not entitled to relief on social security charges under the second law is roughly the same as the list of those ineligible for subsidies under the June 1998 law. Among the thirty or so enterprises concerned are EDF and GDF, La Poste, La Française des Jeux, the Opéra, and France Télévision. Some smaller corporations formerly not qualifying for subsidies will now be entitled to them, such as the Agence nationale pour les Chèques-Vacances, DCN International, La Cité des sciences et de l'industrie, and the Union des groupements d'achats publics.

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Annex II

Health insurance reforms

1. Reform plans to date

Plans	Plans Main reforms
Plan Durafour (1975)	Ceiling on social insurance contributions removed; VAT on drugs lowered.
Plan Barre (1976)	Co-payment (*ticket modérateur*) increased.
Plan Veil (1977-78)	Contributions increased and rate of refund on certain non-essential medicaments reduced.
Plan Bérégovoy (1982-83)	Introduction of the *forfait hospitalier* (the per diem fixed charge which the patient has to pay for a hospital stay), co-payment increased, contribution introduced on unemployment benefits.
1984	Introduction of global budgets for hospitals.
Plan Séguin (1986-87)	Some drugs (vitamins) no longer reimbursed, revision of the list of illnesses giving exemption from co-payments, scope of exemption from co-payments limited, exceptional contributions.
Plan Rocard-Évin (1990-91)	Some drugs (anti-asthenics) no longer reimbursed, introduction of the CSG, tax on pharmaceutical advertising.
Plan Bianco (1991)	Contributions based on wages and the *forfait hospitalier* raised, some drugs no longer reimbursed. Introduction of National Quantified Targets.
Plan Veil (1993)	Implementation of mandatory medical guidelines (RMOs), rules laid down regarding the patient's medical file, the first price-volume regulation agreements concluded with pharmaceutical companies. *Forfait hospitalier* increased, co-payment reduced by 5 points. CSG increased.
Plan Juppé (1996) – Ordinances of 24 April and organic law of 22 July 1996	Introduction of ONDAM (national health spending targets) and law on the financing of the social security. Personal medical record, care groups, computerisation, policy of penalising ambulatory doctors in the event of overruns. Parliamentary control introduced over the social security, supervisory agencies (ANAES), redeployment of hospitals, RDS levy and exceptional contribution for doctors.
Aubry measures (1998)	Pharmacists allowed to replace drugs prescribed by doctors, by generics; incentives for *médécins référents* computerisation of doctors' offices; care networks; VITALE card; shifting employee health insurance contribution to the CSG.
Aubry measures (1999)	Hospitals managed by the State, ambulatory care by the CNAMTS. Regional hospitalisation agencies (ARH) responsible for relations with private hospital sector; diagnostic-related group payments encouraged; spending targets assigned to health insurance funds.

Source: Based on Ventelou (1999) and National Assembly (1999).

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2. The 1996 Juppé Plan

Objectives: Achieve financial balance by 1997 through limits on expenditure and exceptional tax revenue measures; improve efficiency, effectiveness and quality of health care through a series of structural measures.

Legal basis: A constitutional amendment gives Parliament legislative authority over health spending, *via* the law on the financing of the social security which is passed every year, like the budget law. The social partners continue to be involved in the management of the system but the key decisions are taken by Parliament and implemented by the government.

Macroeconomic regulation: Each year Parliament sets a national health spending target (ONDAM) based on revenue estimates and the national health goals defined by the National Health Conference. The fact that the national spending target is voted by Parliament means that the nation's elected representatives make the desired amount of healthcare spending explicit for the first time.

Hospitals: The main innovation in the hospital area is the creation of regional hospitalisation agencies (ARHs). The ARH are streamlined structures that deal with hospitals. They co-ordinate the regional offices of the social security, and the State regional health and social services. At first, they had financial responsibilities and overall oversight for the public health sector.[1] They are in charge not only of allocating global budgets to hospitals[2] but also of ensuring that their objectives and work are in line with the directives of the regional health conferences and also with regional health plans. To a certain extent they can behave like "purchasers" of health care, like district authorities in the United Kingdom.

Ambulatory care: The targets voted by Parliament also apply to ambulatory sector spending. Rules were set in case of under- or over-spending. The role of mandatory medical guidelines (RMOs) was increased and a personal medical record (*carnet de santé*) enabling doctors to keep track of their patients' medical history more effectively and accurately was introduced. Subsidies were provided to help doctors computerise their offices to allow electronic transmission of claims forms (*feuille de soins*), and experiments were launched where the general practitioner plays a gate-keeper role; a policy of encouraging the use of generic drugs was launched, as well as costly early retirement measures for the medical profession.

Information tools: The 1996 plan introduced, on a general basis, tools for measuring the performance and productivity of each hospital by comparing their relative costs by diagnosis-related groups (DRGs). The information system fixes the value of the point of a composite indicator of activity (ISA) on the basis of data in the P*rogramme de médicalisation des systèmes d'information* (PMSI). The value is calculated in francs for each hospital and each region, and is a key element in decisions regarding budget allocations. The value of the scale used to compile the composite index is calculated from a cost analysis of a sample of hospitals (thirty hospitals throughout the country.

3. The CNAM's strategic plan

In July 1999, the CNAM published a strategic plan proposing a number of reforms in the way it operates. This plan does not call into question the principle of solidarity between those in good health and the sick, with everybody contributing according to their income and receiving care according to their needs. Nor does it seek to replace the system of refunding patients by one of financing health care supply directly. Lastly, it does not call into question the principle of the patient's freedom to choose a practitioner, nor the doctor's freedom to prescribe. What it does stress is that this freedom must go hand in hand with the responsibility of each individual in the running of the system, so as to guarantee the quality of care, to ensure that needs are covered and that costs are kept under control.

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The plan stems from a recognition that the CNAM has become a "passive payer" because the rules prevent it from being a selective buyer, choosing care according to quality, needs, utility and costs. The plan seeks to make the CNAM a more responsible and more thrifty buyer. It estimates possible savings after five years at FF 62 billion. Of the 35 measures proposed by the CNAM, the main ones are the following:

- **Hospitals.** The plan suggests that savings of FF 30 billion could be made by replacing the global budget by a system of payment on the basis of diagnosis-related groups (DRG). This figure was arrived at by comparing the costs of clinics and those of hospitals, after adjustment for the extra costs arising from the research and teaching activities of hospitals, and from the higher wage bill that results from hospital staff having civil servant status. It suggests that there is large scope for productivity gains in the hospital sector.
- **The insured.** The plan aims at involving the insured more closely by varying the rate of refund in return for the acceptance of certain constraints. The rate of refund will be higher for patients who sign up with a *médécin référent* and are part of a health care group (the rate of refund is ten points higher); conversely, for patients who refuse the personal medical record (*carnet de santé*), the rate of refund is ten points lower).
- **Doctors and health professions.** The plan calls into question the payment by the CNAM of the social contributions of all doctors – at a cost of FF 8 billion a year. This arrangement had been introduced in 1960, at a time when there was a shortage of doctors. The plan proposes to replace it by a subsidy, the amount of which would be capped and vary according to the density of doctors and certain other conditions (continuity of care, prescription of generic drugs, electronic transmission of claims forms). The plan also provides for a system of collective regulation, with doctors having to reimburse budget overruns.
- **Drugs.** Drugs would be reimbursed on the basis of the cheapest drug in the given therapeutic class. The charges for certain forms of treatment (chemotherapy, dialysis) would be reviewed and hydrotherapy would be refunded at a lower rate.

Most of the proposals in the strategic plan require decisions by the government and legislation. For the moment, the authorities have not decided to implement them.

Notes

1. The law on the financing of the social security for 2000 extended their role to private clinics.
2. Except for the Île-de-France region, where the budget allocation for the Assistance Publique-Hôpitaux de Paris is set by ministerial decree. The Ministries of Social Affairs, Finance and the Interior sit on its governing board. In this region, the ARH oversees health planning (beds and equipment) but, in the budget area, its role is limited to other minor or peripheral public hospitals and to the private sector since the law on the financing of the social security for 2000.

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Annex III
Calendar of main economic events

1999

January

Air France signs a framework agreement on the 35-hour week for ground staff.

Agreement reached by EDF-GDF on the 35-hour week.

Signing of the agreement on the 35-hour week between the *Fédération française du bâtiment* (FFB) and the unions.

The government launches the process of partial privatisation of Air France, the State selling 17.39 per cent of the capital.

The euro becomes the official currency of France, and of ten other European countries. The exchange rate is set at 1 euro for FF 6.55957.

The Council of Ministers adopts the bill on innovation, which is designed to encourage enterprise creation by government researchers and to simplify relations between research bodies and the world of business.

February

Opening up of the capital of Air France: the State's holding should fall to less than 55 per cent.

Submission of the Join-Lambert report on subsistence benefits; during a television interview, the Prime Minister confirms the indexation of subsistence benefits on prices as of 1 January 1999. The special solidarity allowance (*allocation de solidarité spécifique*) is raised by 6 per cent and it is made possible to receive the RMI and a wage and additional assistance to the unemployed at the end of their entitlements.

The Roché report on civil service working hours is published.

The government announces the privatisation of Eramet; the State's holding will, over time, fall from 54.5 to 30.0 per cent and will be managed by Cogéma.

March

The Minister for Employment and Solidarity submits to the Council of Ministers a bill introducing universal health insurance for the 6 million French with incomes of less than FF 3 500 per month.

The head of the *Caisse nationale d'assurance maladie* presents a draft set of structural reforms designed to achieve gradually savings of between FF 52 and 62 billion per year.

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The government announces the launch of a set of measures, worth FF 200 million, designed to facilitate the creation of technology firms.

The *Commissaire général du Plan* presents the report on the future of pensions, recommending that the contribution period be gradually extended to 42½ years by 2019.

April

The Charpin report on pension reform is submitted to the Prime Minister.

The Conseil d'Etat ratifies the bulk of the agreement signed with general practitioners, but abolishes the provision allowing health insurance offices to reduce doctors' fees if expenditure overshoots.

The Ministry of Economics, Finance and Industry registers ten groups as potential purchasers of Crédit Lyonnais and publishes the latest estimate of the losses posted by the *Consortium de réalisation*, which were put at FF 96 billion.

May

The government publishes a "progress report" on the 35-hour week: 57 000 jobs have been created or saved and agreements have been signed in 4076 firms.

According to the Social Security auditors, the deficit on the general scheme is set to reach FF 5.2 billion by end-1999.

The Prime Minister sanctions the reduction in employers' contributions in respect of wages below 1.8 times the SMIC. This measure will apply to firms that have signed agreements on the 35-hour week, and will be financed by a tax on energy consumption, to be brought in in 2001, and a contribution out of the profits of companies with turnover in excess of FF 50 million.

June

Parliament adopts the bill on saving and financial security designed to turn the *Caisses d'épargne* into a co-operative banking network (with capital of between FF 15.9 and 18.9 billion).

The government freezes FF 10 billion in appropriations for FY 1999 in order to finance the Social Security deficit.

The SNCF signs a draft agreement on the 35-hour week.

Because of the failure of the social security agreements between specialists in private practice and the CNAM, cardiologists' representatives and Mrs. Aubry sign an agreement limiting increases in spending in that particular specialist area.

July

The SMIC is raised by 1.24 per cent and unemployment benefit by 1.22 per cent.

The Ministry of Economics, Finance and Industry announces that the group of *Caisses d'Epargne* takes over the *Crédit foncier de France* at a cost of about FF 4.6 billion.

Presentation in the Council of Ministers of the draft law on the reduction of working hours – the second law on the 35-hour week.

A "sectoral" agreement is reached between the government and the national pharmaceuticals industry union, which provides in particular for controls on increases in spending on medicines.

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The RATP signs an agreement on the 35-hour week.

Gille Johanet, Director-General of the CNAM, presents the strategic plan for 1999-2000, containing 35 measures and designed in time to save FF 62 billion on health spending.

August

The Prime Minister announces three bills aimed at controlling and encouraging the development of the Internet.

End of the Perissol depreciation which allowed the owner to opt, irrevocably, to deduct from his taxable income an amount for depreciation calculated on the basis of the cost price of buildings purchased new between 1 January 1996 and 31 August 1998.

September

The Finance Minister announces a reduction in tax on the transfer of property, the abolition of the lease right paid by tenants, and the reduction of VAT on work to 5.5 per cent, the latter measure effective as of 15 September.

The draft 2000 Finance Act is submitted to the Council of Ministers (the forecast for growth is 2.8 per cent). The main measures are:

- On the revenue side: Two-thirds of the expected tax revenue surplus will go towards reducing taxes, *i.e.* FF 39 billion; income tax to go up by 4.1 per cent next year; tax on the transfer of property to come down; abolition of the lease right paid by tenants; reduction in VAT on family service jobs; a further, 7 centime increase in the TIPP (*taxe intérieure de consommation sur les produits pétroliers*) on diesel fuel.
- On the expenditure side: Stabilisation of central government expenditure; FF 1 685 billion in budgetary appropriations (up 0.9 per cent, within the limits of inflation excluding tobacco); the Employment-Solidarity tandem becomes the second biggest central government budget.

Social Security auditors forecast deficit of FF 4 billion in 1999. Presentation of the bill setting a new national target for health insurance spending, which is to be FF 658 billion (up 2.5 per cent); the pensions reserve fund to have an additional injection of some FF 10 billion in 2000; financing of the 35-hour week to be covered by a *fonds spécial d'allègement des charges* (FF 65 billion) in 2000; the *Caisse nationale d'assurance maladie* to take over the management of ambulatory care, including pharmaceuticals and sundries, with the government taking responsibility for hospitals; 0.5 per cent increase in basic pensions and family allowances.

The Prime Minister announces a series of measures to counter unwarranted redundancies and excessive use of insecure employment, and also new measures to help the deprived.

The government announces that it is to replace the financing of the 35-hour week out of the social insurance funds with financing by duty on alcohol.

The Council of Ministers adopts the bill modernising the law of evidence to give legal force to electronic documents and signatures.

November

Implicated in the case involving the MNEF, Dominique Strauss-Kahn resigns as Minister for Economic Affairs, Finance and Industry. He is replaced by the Secretary of State for the Budget, Christian Sautter.

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December

The Minister for Employment and Solidarity announces a 2 per cent increase, as of 1 January 2000, in the three main subsistence benefits: RMI (basic income support), ASS (special solidarity allowance for the unemployed at the end of their entitlement) and the AI (unemployment benefit for young first-job seekers). Also, before end-December, an allowance of FF 1 000 to 1 450 would be paid to ASS recipients, while another allowance of FF 1 000 to 2 900 would go to RMI recipients. The combined cost of these measures is put at FF 2.7 billion.

Deputies definitively adopt the second Aubry law, which sets out the provisions of the shift to the 35-hour week as of 1 January 2000 for companies employing over twenty people.

A communiqué from the Ministry for Employment and Solidarity announces that the second law on the 35-hour week is not to come into force until 1 February 2000.

2000

January

Universal health insurance comes into force, giving the 10 per cent of the most deprived members of the population non-contributory basic and supplementary health insurance.

The Constitutional Council approves the second 35-hour week law, except as regards the payment of overtime. The agreements already signed by the social partners will continue to apply.

As part of the Growth and Stability Pact, the Prime Minister forwards to the European Commission the triennial finance plan, under which taxation is to be cut by FF 120 billion between now and end-2003.

February

The bill opening up the electricity market to competition is voted: 30 per cent immediately and 34 per cent in 2003

Entry into force of the second Aubry law setting out the provisions for the reduction of the working week from 39 to 35 hours in all companies employing more than 20 people.

March

The Prime Minister announces the main measures included in the forthcoming revised Budget Law: tax cuts amounting to FF 40 billion (lower property tax, income tax cut, and reduced normal VAT rate), and new public spending of FF 10 billion.

The Prime Minister presents broad guidelines to reform the pension system: financing of pensions through the reserve fund, with funding reaching FF 1 000 billion in 2020; "pension treaty" for pensions in the public sector, including lengthening to 40 years of the contribution period.

April

The standard VAT rate is lowered from 20.6 per cent to 19.6 per cent

The Prime Minister announces measures to support enterprise creation: all state taxes on enterprise creation are eliminated; new credits will be provided to enterprises working in the new technology and proximity areas; social security contribution cuts will be pursued for young enterprise creators and, in due time, it will possible to declare an enterprise on the internet.

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May

The government sent a framework letter for next year's budget: central government spending will be increased by 0.3 per cent in real terms, taking into account an inflation rate expected to be 0.9 per cent; the central government deficit will be reduced to FF 195 billion.

The Minister of Economy, Finance, and Industry announces that the proceeds from the sale of licenses on third generation mobile telephones will be mainly earmarked for the pension reserve fund.

Negotiations between social partners start with a view to establishing a new unemployment insurance convention.

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BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Czech Republic	Denmark	Finland	France	Germany	Greece
Population												
Total	Thousands	1996	18 289	8 060	10 157	29 964	10 316	5 262	5 125	58 380	81 877	10 465
Inhabitants per sq. km	Number	1996	2	96	333	3	131	122	15	106	229	79
Net average annual increase over previous 10 years	%	1996	1.3	0.6	0.3	1.3	0	0.3	0.4	0.5	3	0.5
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	8 344	3 737 (94)	3 675 (95)	13 676	4 918	2 593	2 087	21 951	35 360	3 824 (95)
of which: Agriculture	% of TCE	1996	5.1	7.2 (94)	2.5 (95)	4.1	6.3	4	7.1	4.6	3.3	20.4 (95)
Industry	% of TCE	1996	22.5	33.2 (94)	26.7 (95)	22.8	42	27	27.6	25.9	37.5	23.2 (95)
Services	% of TCE	1996	72.4	59.6 (94)	71.4 (95)	73.1	51.7	69	65.3	69.5	59.1	56.4 (95)
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	398.9	228.7	268.2	579.2	56.2	174.9	125.1	1 536.6	2 353.5	91.2 (95)
Per capita	US$	1996	21 812	28 384	26 409	19 330	5 445	33 230	24 420	26 323	28 738	8 722 (95)
At current prices using current PPPs[3]	Bill. US$	1996	372.7	172.4	222	645.1	..	118	96.7	1 198.6	1 736.1	133.5
Per capita	US$	1996	20 376	21 395	21 856	21 529	..	22 418	18 871	20 533	21 200	12 743
Average annual volume growth over previous 5 years	%	1996	3.9	1.6	1.2	2.2	2	2.2	1.6	1.2	1.4	1.3 (95)
Gross fixed capital formation (GFCF)	% of GDP	1996	20.3	23.8	17.3	17.7	33	16.7	16.1	17.4	20.6	17 (95)
of which: Machinery and equipment	% of GDP	1996	10.2 (95)	8.8 (95)	7.5 (95)	6.6	..	7.9 (95)	6.4 (95)	7.8	7.6	7.7 (95)
Residential construction	% of GDP	1996	4.6 (95)	5.9 (95)	4.6 (95)	5.4	..	3.2 (95)	3.5 (95)	4.4	7.3	3.3 (95)
Average annual volume growth over previous 5 years	%	1996	5.6	2.1	0.3	2.2	9.4	2	–4.1	–1.5	0.2	0.5 (95)
Gross saving ratio[4]	% of GDP	1996	18	21.9	22.2	17.8	..	17.6	19.6	18.7	20	16 (95)
General government												
Current expenditure on goods and services	% of GDP	1996	17	19.8	14.5	18.7	21.5	25.2	21.9	19.4	19.8	20.8 (95)
Current disbursements[5]	% of GDP	1995	35.6	48.6	52.2	45.8	..	59.6	55.9	50.9	46.6	52.1
Current receipts	% of GDP	1995	34.9	47.4	49.9	42.7	..	58.1	52.8	46.9	45.9	45
Net official development assistance	% of GNP	1995	0.36	0.33	0.38	0.38	..	0.96	0.32	0.55	0.31	0.13
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	12 596	12 152	13 793	12 959	..	12 027	10 282	12 506	12 244	9 473
Passenger cars, per 1 000 inhabitants	Number	1994	460	433	416	466	282	312	368	430	488	199
Telephones, per 1 000 inhabitants	Number	1994	496	466	449	576	209	604	551	547	483[8]	478
Television sets, per 1 000 inhabitants	Number	1993	489	479	453	618	476	538	504	412	559	202
Doctors, per 1 000 inhabitants	Number	1995	2.2 (91)	2.7	3.7 (94)	2.2	2.9	2.9 (94)	2.8	2.9	3.4	3.9 (94)
Infant mortality per 1 000 live births	Number	1995	5.7	5.4	7.6 (94)	6.3 (94)	7.7	5.5	4	5.8 (94)	5.3	8.1
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	1.7	5.2	2.7	2.4	..	3.2	3.8	2.6	4.2	11.8
Consumer prices	%	1996	2.4	2.9	2.2	1.4	11.9	1.9	1.5	2	3.1	11.6
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	60 288	57 870	170 223[7]	202 320	21 910	51 030	40 576	288 450	521 263	11 501
As % of GDP	%	1996	15.1	25.3	63.5	34.9	39	29.2	32.4	18.8	22.1	12.9 (95)
Average annual increase over previous 5 years	%	1996	7.5	7.1	7.6	9.7	..	6.2	12.1	6.3	5.4	5.8
Imports of goods, cif*	Mill. US$	1996	61 374	67 376	160 917[7]	170 931	27 721	44 987	30 911	271 348	455 741	27 402
As % of GDP	%	1996	15.4	29.5	60	29.5	49.3	25.7	24.7	17.7	19.4	30.4 (95)
Average annual increase over previous 5 years	%	1996	9.7	5.9	5.9	7.7	..	5.6	7.3	3.9	3.3	6.6
Total official reserves[6]	Mill. SDRs	1996	10 107	15 901	11 789[7]	14 202	8 590	9 834	4 810	18 635	57 844	12 171
As ratio of average monthly imports of goods	Ratio	1996	2	2.8	0.9	1	..	2.6	1.9	0.8	1.5	5.3

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Hungary	Iceland	Ireland	Italy	Japan	Korea	Luxembourg	Mexico	Netherlands	New Zealand
Population												
Total	Thousands	1996	10 193	270	3 621	57 473	125 864	45 545	418	96 582	15 494	3 640
Inhabitants per sq. km	Number	1996	77	3	52	191	333	458	161	48	380	14
Net average annual increase over previous 10 years	%	1996	–0.3	1.1	0.2	0	0.4	1	1.3	2	0.6	1.1
Employment												
Total civilian employment (TCE)[2]	Thousands	1996	3 605	142	1 307	20 036	64 860	20 764	212 (95)	32 385 (95)	6 983	1 688
of which: Agriculture	% of TCE	1996	8.4	9.2	10.7	7	5.5	11.6	2.8 (95)	23.5 (95)	3.9	9.5
Industry	% of TCE	1996	33	23.9	27.2	32.1	33.3	32.5	30.7 (90)	21.7 (95)	22.4	24.6
Services	% of TCE	1996	58.6	66.2	62.3	60.9	61.2	55.9	66.1 (90)	54.8 (95)	73.8	65.9
Gross domestic product (GDP)												
At current prices and current exchange rates	Bill. US$	1996	43.7 (95)	7.3	70.7	1 214.2	4 595.2	484.8	17	329.4	396	65.9
Per capita	US$	1996	4 273 (95)	27 076	19 525	21 127	36 509	10 644	40 791	3 411	25 511	18 093
At current prices using current PPPs[3]	Bill. US$	1996	..	6.3	68.8	1 148	2 924.5	618.5	13.5	751.1	324.5	63.6
Per capita	US$	1996	..	23 242	18 988	19 974	23 235	13 580	32 416	7 776	20 905	17 473
Average annual volume growth over previous 5 years	%	1996	–2.4 (95)	1.5	7.1	1	1.5	7.1	4.8	1.7	2.3	3.7
Gross fixed capital formation (GFCF)	% of GDP	1996	19.3 (95)	17.5	17.2	17	29.7	36.8	20.8	18	19.7	20.9
of which: Machinery and equipment	% of GDP	1996	..	6.7	5.5 (95)	8.8	10.1 (95)	13	..	8.8	9.4	10
Residential construction	% of GDP	1996	. .	3.9	4.9 (95)	4.5	5.3 (95)	7.6	..	4.7	5	5.6
Average annual volume growth over previous 5 years	%	1996	–0.9 (95)	–1.4	6	–1.4	1.3	6.9	0.2	–0.7	2.2	9.6
Gross saving ratio[4]	% of GDP	1996	..	15.6	21.7	20.5	31.4	34.2	37.5	22.7	25.7	16
General government												
Current expenditure on goods and services	% of GDP	1996	24.9 (95)	20.8	14.1	16.4	9.7	10.6	13.6	9.7[10]	14	14.4
Current disbursements[5]	% of GDP	1995	..	35.1	39.2 (94)	49.5	28.5	15.1	..	..	51.8	..
Current receipts	% of GDP	1995	..	36	39.3 (94)	44.5	32	25.1	..	..	50	..
Net official development assistance	% of GNP	1995	..	..	0.29	0.15	0.28	0.03	0.36	..	0.81	0.23
Indicators of living standards												
Private consumption per capita using current PPPs[3]	US$	1996	..	14 244	10 020	12 224	13 912	7 354	17 811	5 045	12 477	10 895
Passenger cars, per 1 000 inhabitants	Number	1994	212	434	264	517	342	115	544	91	383	457
Telephones, per 1 000 inhabitants	Number	1994	170	557	350	429	480	397	564	93	509	470
Television sets, per 1 000 inhabitants	Number	1993	427	335	301	429	618	215	261	150	491	
Doctors, per 1 000 inhabitants	Number	1995	3.4	3.9 (94)	3.4	3.0 (94)	1.7	1.6 (92)	1.8 (94)	1.1	2.2 (93)	1.6
Infant mortality per 1 000 live births	Number	1995	11	6.1	6.3	6.6 (94)	4.3	9	5.3 (94)	17 (94)	5.5	7.2 (94)
Wages and prices (average annual increase over previous 5 years)												
Wages (earnings or rates according to availability)	%	1996	..	..	3.7	3.5	1.8	..	..	–1.6	2.4	1.5
Consumer prices	%	1996	23.2	2.6	2.2	4.5	0.7	5.3	2.4	19.7	2.5	2
Foreign trade												
Exports of goods, fob*	Mill. US$	1996	15 674	1 891	48 416	250 842	411 067	129 715	..	96 000	203 953	14 316
As % of GDP	%	1996	35.9	26	68.5	20.7	8.9	26.8	..	29.1	51.5	21.7
Average annual increase over previous 5 years	%	1996	8.9	4	14.8	8.2	5.5	12.5	..	17.6	8.9	8.2
Imports of goods, cif*	Mill. US$	1996	18 105	2 032	35 763	206 904	349 149	150 340	..	89 469	184 389	14 682
As % of GDP	%	1996	41.4	27.9	50.6	17	7.6	31	..	27.2	46.6	22.3
Average annual increase over previous 5 years	%	1996	9.6	3.4	11.5	2.5	8	13.9	..	12.4	7.8	11.8
Total official reserves[6]	Mill. SDRs	1996	6 812	316	5 706	31 954	150 663	23 670	..	13 514	18 615	4 140
As ratio of average monthly imports of goods	Ratio	1996	..	1.9	1.9	1.9	5.2	..	..	1.8	1.2	3.4

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Including non-residential construction.
10. Refers to the public sector including public enterprises.

Sources: Population and Employment: OECD, *Labour Force Statistics.* GDP, GFCF and General Government: OECD, *National Accounts,* Vol. I and *OECD Economic Outlook,* Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators.* Foreign trade: OECD, *Monthly Foreign Trade Statistics,* Series A. Total official reserves: IMF, *International Financial Statistics.*

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Poland	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population											
Total	Thousands	1996	4 370	38 618	9 935	39 270	8 901	7 085	62 695	58 782	265 557
Inhabitants per sq. km	Number	1996	13	123	108	78	20	172	80	240	28
Net average annual increase over previous 10 years	%	1996	0.5	0.3	–0.1	0.2	0.6	0.8	2	0.3	1
Employment											
Total civilian employment (TCE)[2]	Thousands	1996	2 110	14 977	4 475	12 394	3 963	3 803	20 895	26 088	126 708
of which: Agriculture	% of TCE	1996	5.2	22.1	12.2	8.7	2.9	4.5	44.9	2	2.8
Industry	% of TCE	1996	23.4 (95)	31.7	31.4	29.7	26.1	27.7	22	27.4	23.8
Services	% of TCE	1996	71.5 (95)	46.2	56.4	61.6	71	67.4	33.1	71	73.3
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1996	157.8	117.9 (95)	103.6	584.9	251.7	294.3	181.5	1 153.4	7 388.1
Per capita	US$	1996	36 020	3 057 (95)	10 425	14 894	28 283	41 411	2 894	19 621	27 821
At current prices using current PPPs[3]	Bill. US$	1996	106.7	..	130.1	587.2	171.4	180.6	383.3	1 095.5	7 388.1
Per capita	US$	1996	24 364	..	13 100	14 954	19 258	25 402	6 114	18 636	27 821
Average annual volume growth over previous 5 years	%	1996	4.1	2.2 (95)	1.5	1.3	1	0.1	4.4	2.2	2.8
Gross fixed capital formation (GFCF)	% of GDP	1996	20.5	17.1 (95)	24.1	20.1	14.8	20.2	25	15.5	17.6
of which: Machinery and equipment	% of GDP	1996	8.4	..	11.7 (93)	6.1 (95)	7.9	9.3	11.9	7.6	8.3 (95)
Residential construction	% of GDP	1996	2.6 (94)	..	5.2 (93)	4.3 (95)	1.9	11[9]	8.4 (95)	3	4.1 (95)
Average annual volume growth over previous 5 years	%	1996	2.8	5.4 (95)	2.2	–1	–2.6	–0.8	6.9	1.3	6.9
Gross saving ratio[4]	% of GDP	1996	29.9	..	21.6	20.7	16	27.1	22.3	14.6	16.6
General government											
Current expenditure on goods and services	% of GDP	1996	20.5	16.9 (95)	18.5	16.3	26.2	14.3	11.6	21.1	15.6
Current disbursements[5]	% of GDP	1995	45.8	..	42.5 (93)	41.2	63.8	47.7	..	42.3 (94)	34.3
Current receipts	% of GDP	1995	50.9	..	39.8 (93)	37.9	57.5	53.8	..	37.2 (94)	32.1
Net official development assistance	% of GNP	1995	0.87	..	0.27	0.24	0.77	0.34	0.07	0.28	0.1
Indicators of living standards											
Private consumption per capita using current PPPs[3]	US$	1996	11 593	..	8 522	9 339	10 096	15 632	4 130	11 865	18 908
Passenger cars, per 1 000 inhabitants	Number	1994	381	186	357	351	406 (93)	451	47	372	565
Telephones, per 1 000 inhabitants	Number	1994	554	131	350	371	683	597	201	489	602
Television sets, per 1 000 inhabitants	Number	1993	427	298	190	400	470	400	176	435	816
Doctors, per 1 000 inhabitants	Number	1995	2.8	2.3	3	4.1 (93)	3.1	3.1 (94)	1.2	1.6 (94)	2.6 (94)
Infant mortality per 1 000 live births	Number	1995	4	13.6	7.4	6 (94)	4	5	46.8 (94)	6.2 (94)	8 (94)
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1996	3.2	..	..	5.8	4.8	..	..	4.9	2.7
Consumer prices	%	1996	1.9	..	5.6	4.7	2.7	2.2	81.6	2.7	2.9
Foreign trade											
Exports of goods, fob*	Mill. US$	1996	49 576	24 417	24 614	102 067	84 836	79 581	23 301	259 941	625 075
As % of GDP	%	1996	31.4	20.7	23.8	17.5	33.7	27	12.8	22.5	8.5
Average annual increase over previous 5 years	%	1996	7.8	..	8.6	11.2	9	5.3	11.1	7	8.2
Imports of goods, cif*	Mill. US$	1996	35 575	37 185	35 192	121 838	66 825	78 052	43 094	287 033	795 289
As % of GDP	%	1996	22.5	31.5	34	20.8	26.5	26.5	23.7	24.9	10.8
Average annual increase over previous 5 years	%	1996	6.9	..	6.1	5.5	6	3.2	15.1	6.5	10.3
Total official reserves[6]	Mill. SDRs	1996	18 441	12 409	11 070	40 284	13 288	26 727	11 430	27 745	44 536
As ratio of average monthly imports of goods	Ratio	1996	6.2	..	3.8	4	2.4	4.1	3.2	1.2	0.7

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